Kaveri Seed Co (KSCL)

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Call: May 2023

29th May 2023

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir/ Madam,
Sub: Transcript – Kaveri Seed Q4 & FY 2022-23 Results Conference Call on
Wednesday, 24th May, 2023 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith Transcript of Kaveri Seed Company Limited Q4 & FY 2022-23 Results Conference Call made on Wednesday, 24th May, 2023.

The transcript and audio is uploaded on the Company's website as well on below link:

https://www.kaveriseeds.in/wp-content/uploads/2023/05/Transcript.pdf

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

Kaveri Seed Company Limited
Q4 and FY'23 Earnings Conference Call
May 24, 2023

MANAGEMENT : MR. MITHUN CHAND –EXECUTIVE DIRECTOR – KAVERI SEED COMPANY LIMITED
M R. RAMA NAIDU – INTELLECT IR – KAVERI SEED COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Kaveri Seed Company's Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Please note that this conference will be recorded. Joining us today on this call is Mr. Mithun Chand,

Executive Director.
Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. First list of such considerations, please refer to the earnings presentation.
I would now like to hand the call over to Mr. Mithun Chand. Over to you, sir.
Mithun Chand: Thank you. Good evening, and welcome everyone to our quarter 4 and financial year '23 earnings conference call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I will touch upon the operational and functional performance of the company and then open the floor for the question-and-answer session.
We are delighted to declare a good set of numbers for the year on account of realizing good growth in both volumes and revenues. Both Cotton and Non-cotton segments have equally done well during the year and we expect the same trend to continue in the next couple of years. Maize, Rice, Wheat and Vegetable segments continue to do well. And Bajra's growth is very encouraging due to increased focus of Government of India by way of promoting millets as part of the millets mission.
New hybrids launched in Cotton and Maize have contributed for increase in the volumes and realizations, which has in turn resulted in higher EBITDA margins during the year, and the same trend would continue in the next 2 to 3 years. With an increasing number of new variants, we are confident of increasing our market share in cotton. The good growth rate in Maize, both in terms of volumes and revenues were seen during the current year and the trend should continue in the coming years on account of increasing demand for both animal feed and biofuel blending demand in the country.
NITI Aayog has estimated the requirement of ethanol for financial year '26 at 13.5 billion litres, out of which 50% of the ethanol would be made from

maize and rice, and rest from the sugarcane. The biofuel demand would increase the demand for industrial use of maize, which can be achieved only by increasing acreages in the new and high-yielding hybrids introduced by companies like us.
Financial highlights. Revenues from operations were at INR1000.56 crore as compared to INR915 crore in financial year '22, registered a growth of 9.35%. EBITDA was at INR296.94 crore as compared to INR238.41 crore in financial year '22, grown by 24.55%. Net profit was at INR267.04 crore as compared to INR208.9 crore in financial year '22, grown by 27.83%.
EBITDA margin was at 29.68% for the financial year '23 versus 26.09% for the financial year '22, increased by 359 basis points. PAT margins were up to 26.69% for financial year '23 versus 22.83% for the financial year '22, grown by 386 basis points. Cash on books stands at INR538 crore as on 31st March.
Operational highlights. Cotton volumes increased by 7% and revenues increased by 2.87%. Hybrid Rice volumes increased by 12.33%. Selection Rice volumes grew by 6.18%. Maize volumes increased by 25.61% and revenues by 22.37%. The contribution of new products was up from 17.39% to 33.87% of volume in Maize. Bajra volumes increased by 25.16% and revenues increased by 30.66%. The contribution of new products was up from 41.42% to 54.11% of the volumes in Bajra. Vegetable seed sales volumes are stable and revenue increased by 3.76%. Vegetable crops like Bitter Gourd, Tomato, Okra and Waterman h

ave done well during the year.
Bihar, Chhattisgarh, West Bengal, Odisha, Rajasthan, and Telangana are the key States for vegetable seed business. Exports continue to be strong. Export volume has increased by 35.09% and revenues up by 42.44% as compared to the last year. Presently, exporting to Vietnam, Bangladesh, Nepal and few countries of Middle East and Africa. Over the past couple of months, Government panel has given go ahead to field trials for several GM crops like potato, banana cotton besides giving approvals for mustard in the past. I will now open the floor for the question-and-answer session.
Moderator: The first question is from the line of Keshav Garg from Counter-Cyclical PMS.

Keshav Garg: Sir, thank you for good results. And, sir, thank you for repeated share buyback. Sir, I just wanted to get your view on this financial year, FY '24. So what is the expectation in terms of top line and EBITDA? In your judgment, you think we can exceed our all-time high revenue of around INR1100 crore top line and INR310 crore EBITDA that we did in FY '15?
Mithun Chand: We see a good year ahead. Most of the crops would remain same, side-lines of a percentage of 5% plus or minus. We see a good growth rate for Vegetables in the coming year. Apart from that, Maize looks very interesting. Maize has good scope to grow by seeing the yields and the price. Cotton should be a, sidewise. We will be growing in Bajra. Rice and vegetable and hybrid rice, the market may grow by 2% to 3%, we'll be growing around 8% to 10% in both these segments. Overall, as a company, we see a projection of 10% to 12% as a top line growth and 15% to 20% as bottom line growth.
Keshav Garg: Okay, sir. That is very encouraging. And sir, except for Bajra, in this year also, we can see that our volumes in Cotton, Maize, etc., the volumes have grown faster than the revenue growth. So that means that there is some price derealisation. I mean the realizations went down. So is this trend expected to continue? Or is this trend expected to reverse?
Mithun Chand: For example, in cotton, the last year was a very tough year. The realization was much lower last year than compared to the previous year. I mean the current year was lower when compared to the previous year. Whereas Maize, the new hybrids, the revenues were up and the margins were also up. But whereas the older hybrid, the revenues and the margins are lower.
If you see in terms of volume and revenue growth, in Maize, it's more or less same, whereas, in Cotton, the volumes have grown by 7%, but the revenues are only grown by 2%. So we have seen a slight decline in realizations in the cotton. Whereas in the other crops like rice, it's all sideways. From this year, we think the realizations will move up as compared to the previous year.
Keshav Garg: Sure, sir. And sir, lastly, on the margin side, our margins have increased year-on-year as you had told us previously. So for this present year, do you think that we can go back to 29% margin that we did in FY '21?
Mithun Chand: As also, the EBITDA margins are like 26%.

Keshav Garg: Sir, on a consolidated basis, it's around 24% if we take out the other income
Mithun Chand: I'm talking on a stand-alone basis. Stand-alone basis, it's like 24%. Definitely, we can see an improvement of at least 1 to 2% points up when compared to the previous year.
Moderator: We have the next question from the line of Nitin Awasthi from InCred Equity.
Nitin Awasthi: I had a few questions. Starting with, has the cotton seeds price been revised by the government for the current year?
Mithun Chand: Yes. It's up by 5 to 7%. Absolute prices are INR853.
Nitin Awasthi: INR853, and this is for which variety?
Mithun Chand: All varieties, all BG-II.
Nitin Awasthi: BG-II, okay, and previous year it was?
Mithun Chand: It

was close to INR800.
Nitin Awasthi: It was close to INR800. But we realized much lower because we had to pass on substantial amount of the increase of last year to the sales channel, if I'm not wrong?
Mithun Chand: Yes. We have not realized, even though the prices were up this year as compared to the previous year. We couldn't realize it from the market as there was stiff competition and we've given many discounts to the dealer. We have realized, that's what I mentioned earlier also, we have realized a lower rate in cotton.
Nitin Awasthi: Okay. How do you think that will change this year? Do you see again the same amount of pressure and us passing on all the incremental increase in

price to the trade channel? Or do you think we'll be able to retain most of it
like we used to do in the earlier years?
Mithun Chand: We don't see that sort of pressure this year. This year, the stock is also limited
as compared to the previous year. And the availability of the seed is also
limited. We see definitely increase in the realizations as compared to last

year. But to what extent? That we can only say as the market evolve. But
definitely, the realizations will be higher than last year.
Nitin Awasthi: Got it. Sir, the next question I had was, we have set up shop in Bangladesh,
right, through a subsidiary?
Mithun Chand: We were doing business in Bangladesh earlier also. But right now, we are
setting up a subsidiary company in Bangladesh for the further sales, because
we are doing business in Bangladesh for the last 5 to 6 years. The results are
encouraging. So we want to set up our own subsidiary there.
Nitin Awasthi: Understood. But Bangladesh is regulatory more advanced when it comes to
GM crops than India. Is that correct? And if that is correct, do we have
technologies to cater in Bangladesh because there will be players in
Bangladesh who are ahead of us.
Mithun Chand: So basically, what we are doing is that we are having our research centres in
India itself. We are only selling the seeds which are suitable and developed in
India and then selling it in Bangladesh because we even sell it in the other
parts of the World. We are trying to place those headwinds in those markets
and take the market share.
Now when we start research in Bangladesh down the line, then we will be
very much competent with the players. Most of the players there are MNC
players. The same MNCs are present in India as well, we are having the same
competition here and that we are also giving tough fight for them. So that
shouldn't be a great difficulty for us to operate on our own in Bangladesh.
Nitin Awasthi: Understood, sir. Sir, the Government is strengthening its own company,
National Seed Corporation. Are we seeing increasing competition from that
company?
Mithun Chand: Basically, National Seed Corporation deals with varieties, whereas we deal
with hybrids. The majority of our sales are in hybrids. So we don't see any
competition from them.
Nitin Awasthi: Okay. Understood. And sir, some aggregators, some agri aggregators who
were very strong and who have recently raised money and got very strong in
their own businesses, namely DeHaat or be it Agro Star, they have started the
seed business where they're selling seeds under their own brand. And they

have their own seeds business rather than aggregating it from everybody else.
Before they used to aggregate it from seed companies like yourself. Are we
seeing them as a threat in the future?
Mithun Chand: We don't see that because in the seed business, capital is not important. I
mean to say, it's important, but it's just not like if we spend $1 billion, it’s a
long waiting time, it's requires some larger time for the R&D and it's a high
entry-barrier business. And the competition, whatever seed companies that
are there in India, we

are there since last 40 to 50 years. It is not easy to
develop actually in the next 4 to 5 years. And anyone is like setting up a new
company, then definitely, we'll be competing with them. But it's too early for
them to take the market share in the next 5 to 6 years.
Nitin Awasthi: Understood. The last question from my side. We have HTBT, mustard and
cotton, which has been approved by the Government. We also have HT
maize, which was approved by the Government. We have potato, banana also
approved by the Government. And field trials for some of these crops have
started. Are we selected for the field trials of any of these crops?
Mithun Chand: Basically, we are not working in any of the GM crops. We are there in cotton.
We have a tie-up with Monsanto, the current player. Once the government

approves and someone is there to share the technology, we'll definitely take the license and do it.
Nitin Awasthi: But what is the apprehension from the company side. The company has capital, the company has scope, and the company has the marketing legs for the product. So why the company not backward integrating and putting up is own research. So this is simple question that I have. What is the apprehension from the company side?
Mithun Chand: We have our own research. We need to develop our best. But whereas GM technologies, it's not a very old technology. It's already there in certain places. It's just like reinventing the wheel. And it's a high capital-intensive business. And when we are able to get the same technology as a license by paying some sort of a license fee, we don't want to invest in that. For example, it could be Monsanto. We have a license and we can always source that license. And Monsanto, there is not the only company who has the GM technology. There are N number of players. It's not a monopoly.

Nitin Awasthi: Got it, sir. And what about gene editing, which has been passed in China recently for soya, if I'm not wrong? That is a newer technology that is also available with everybody.
Mithun Chand: CRISPR technology is, again, that's a different one. And that does not come under GM crop. We are working on that. We are working with a company, but it will take some time.
Nitin Awasthi: Okay. So that you are working by ourselves, for ourselves?
Mithun Chand: So there are other companies are there. We are adding some sort of a tie-up, but it will take a longer time to get some seal off on that. But in traditional breeding and that marker-assisted breeding activity, we are having our own research, and we are able to get good hybrids in that. But that's a technology which we are already concentrating on.
Moderator: The next question is from the line of Udhayaprakash from Value Research India Private Limited.
Udhayaprakash: Yes, sir. I have 2 questions from my side. The first is, as we see, we have seen good growth in our exports, both volume-wise and revenue-wise. So can you please tell us what is the percentage of export revenue of the total revenue for FY '23 and FY'22? The number available?
Mithun Chand: Yes. Last year, it was like 1.4%. This time, it is slightly closer to 2% of the revenue.
Udhayaprakash: Are we seeing any growth going forward in the export market as we are pushing for it? Or is this completely without any push and growing organically?
Mithun Chand: If you see in the presentation also, we said that we are exploring other parts of the World. And definitely, export is a very big market. Seed business, even it takes longer time to develop a hybrid, and even after developing hybrid to farmer to believe and to trust the hybrid, it takes a longer time. So that’s the time we are taking it. We are in initial stages of, like, export market, and we are very bullish on exports. And that will be a decent contributor going forward to the revenues.

Udhayaprakash: So next year, we can expect the same 2% to 2.5% of the revenues from exports?
Mithun Chand: So we're fairly expanding it. We can't say the absolute number because even other segment, even as a main company, whereas growing at 10% to 12%. So that, we should grow at 20%, 25% there. But we have plans to grow. The base is very small. But we have plans to grow and definitely that's a good area where we are focusing on.
Udhayaprakash: Okay, sir. My next question is on Selection Rice side. It has just put a flattish growth this year. So is this due to the lower realizations? Or are there any other headwinds during the year?

Mithun Chand: This year was a tough year in terms of the realizations in some crops. This is a major product that we deal with, maize and rice. It was a tough year. Even though there was a slight increase in the volume, the realizations were at lower side. But this year, I think the realizations will be on higher side as compared to the previous year. But even though, this year, overall as a company, the EBITDA margins have increased because we have a good year in Bajra and Sunflower.
Even though Sunflower contributes lower, but the margins were really good in Sunflower. So the advantage of our company is that we have a huge product portfolio. When we have tough conditions in 1 crop, another crop will compensate. So in that way, we are able to maintain and increase our realizations. It's the nature of the business, one year it will be tough, one year it will be okay. So in that way, there isn't much to bother about it.
Udhayaprakash: Okay, sir. My final question is on contribution of Cotton and Non-cotton growths. In the last 5 to 6 years, the revenues of Non-cotton as a percentage of total revenue has improved dramatically. It was 42% in FY '19, and right now in this year, 62%. Are we still trying to expand this portion? Or we trying to find a balance at this moment?
Mithun Chand: If you recollect, we were saying that from '14, '15, which was a peak year for us in terms of the revenues, the cotton contributed to more than 75% of our revenue. From that day, we were saying that the dependence of the cotton will go down and non-cotton growth will increase. And going further, non-cotton will contribute more to our growth. That's what we see now. Even now

from going forward, both Cotton and Non-cotton has equal potential to grow in the company. So I think that the 30-70 combination will be there for a couple of years going forward.
Moderator: The next question is from the line of Tarang from Old Bridge Capital.
Tarang Agrawal: A couple of questions on my side. One, in your opening address, you mentioned that the rice market should probably grow about 2% to 3%. But you believe you can significantly outgrow the market. Just wanted to get a sense, I mean, what's driving this confidence given the difficult year we've had and realizations have also taken a significant hit?
Mithun Chand: If you see the current year also, the markets were flat or it were down 1% to 2% as compared to the previous year. Even in the tough conditions, we were able to grow in both in terms of the revenues and in terms of the volumes, both in Hybrid Rice and Selection Rice. This year, we see a slight increase in the market, but our hybrids are doing well. The new varieties, which we have introduced both in Selection Rice and In Hybrid Rice are doing well. And we are confident that we can definitely grow in these 2 segments this year as well. As I said in the earlier remarks itself, last year was a bit tough year in terms of the realizations, but we don't see that sort of difficulty this year as of now.
Tarang Agrawal: Okay. So is this confidence incumbent on your placements currently?
Mithun Chand: Yes, the placements are in line with our anticipation. We are in line with that.
Tarang Agrawal: Okay. The s

econd question is on cotton acreages, right? I mean overall, the outlook for cotton is rather sober. So just wanted to get your sense, what's your view on acreages? It's a big crop contributing in Q1 for you. So how placements there, especially considering globally the prices have come off significantly from where we were at the same time last year?
Mithun Chand: What we see, the cotton area acreages should remain flat or like, I don't see much of an increase in the acreages this year as compared to the previous year because the other crops are doing well. So as a company, we are only anticipating 5% to 10% book in cotton with this. But even the other crops, like in Maharashtra, soya is also, the prices are not that great. That's the only point where we need to look at it, the timely rainfall, then that will move for

the groundnut. Otherwise, if the rainfall is delayed, then that might move to the cotton. Otherwise, in a normal year, the acreages should remain flat for cotton.

Tarang Agrawal: Okay. The third question is what was the customer advances figure as on 31st March '23?

Mithun Chand: It's like INR160 crore or INR170 crore, just I'll reconfirm about the figure. But right now, we are discouraging advances in the last 3 to 4 years. As we are realizing low, we are not taking advances from the market. We're not that aggressively pushing it.

Tarang Agrawal: Okay. The third question is on your bajra and sunflower business. I mean, how big are each of these products? And what was this number for FY '22?

Mithun Chand: Sunflower, we've done close to INR30 crore in FY23, as compared to INR12 crore in FY22. And the realizations were very good in Sunflower. Bajra also, we were like INR 19 crore in FY23 , as compared to Rs. 14 crore in FY22. So overall, we see Bajra will grow going forward. Bajra has the potential to be INR 100 crore next year, whereas Sunflower should remain same or sideways from this year, what we have sold. We don't see any much growth in Sunflower this year.

Tarang Agrawal: Got it. And the last is the INR133 crore of CWIP on the balance sheet. I mean, is this the R&D building or is there something more to it? And how should we see it for getting commissioned, the INR133 crore of CWIP on balance sheet?

Mithun Chand: There are couple of things which are there in that. One is the office building, new office building, which we took, that's one; the property, which is out there. One plant, which is also there. We have set up a processing plant and cold storage and warehouses, that's 1 part. And the other one is the R&D building. It's a combination of all.

Tarang Agrawal: Okay. And all of that should be capitalized in FY '24, correct?

Mithun Chand: Yes, some are like the plant and office should be operational. But R&D may take some time.

Tarang Agrawal: Okay. Just last question. How do you see the placements this year versus the year before?

Mithun Chand: The placements are good as compared to previous year. We're in line with the placements, with their estimates, and we don't see any difficulties as of now in terms of the placements. But nothing has gone into, see, ground as of now, but placements are there, but it all depends on the rainfall. That's a regular activity for us and we'll get a clear picture once the monsoon starts.

Tarang Agrawal: Got it. And given the soft outlook on Cotton, would it be fair to presume that it's a little more skewed towards Non-cotton?

Mithun Chand: Definitely. Going forward as the Non-cotton portfolio is a very big portfolio, and you have many crops in that, and every crop has got a huge scope to grow. But what I said in the initial is that cotton to non-cotton should be like 30-70 going forward because we see that we cannot go below this cotton bracket. And we have very good pipeline as

well, which are coming. So we have a potential to grow to that 80 lakhs to, like, 1 crore in the next 3, 4, 5 years whenever ready. So that's the reason we said that even cotton is a crop that will grow going forward.

Tarang Agrawal: Because that would entail almost doubling your volumes from the current levels?

Mithun Chand: Yes.

Moderator: The next question is from the line of Sanjeev Zarbade from Dream Ladder Investment Advisors.

Sanjeev Zarbade: My first question is regarding the other current liabilities, which have actually gone up from INR296 crore to INR366 crore. So what is that on account of?

Mithun Chand: One is the payables to the production farmers. That is a major chunk in that.

Sanjeev Zarbade: Okay. And also during this year, our biological assets have gone up by almost 40%. So how should we look at it? And what kind of benefit we can expect to accrue in the coming years from this?

Mithun Chand: Nothing is there. Whatever you're talking about, the biological assets, are basically the inventories. And we are anticipating more, so the inventories are also up. That's the only part.
Sanjeev Zarbade: Okay. Okay. And sir, regarding our revenue in the sense that if we see our revenues has been more or less stuck in the same range for the last 4 to 5 years. So what kind of medium-term target or vision we have for the business so that, as an investor, we can take a more favourable look at the growth profile of the company?
Mithun Chand: I don't think it has been stagnant for the last 4 to 5 years. In fact, if you see this year, revenues are up by 20% and profitability is up by more than 25%. I agree that if you take in the last 7 to 8 years, the trend was flattish. But if you see in the other way, the cotton prices were down, cotton volumes are down, cotton acreages are down, and which was contributing 75% to 80% of our total revenues. That is almost like 30% to 35% now.
So the other way to see is that we have grown in non-cotton crops to compensate the degrowth of cotton. But from this point where we see both the crops going forward, we see a revenue growth. Then definitely, we see revenue growth from here. Even in fact, we said that 10% to 12% in the top line and 15% to 20% in the bottom line growth. That should be what we are anticipating, and that should continue. And we are very bullish on the long-term growth, as well for the next midterm for the next 3 to 5 years, we will see this level of growth.
Sanjeev Zarbade: Okay. And sir, lastly, what kind of utilization plans we have for the cash and investment that we have because we've completed one buyback? Now I just wanted to understand our dividend policy in the coming years.
Mithun Chand: So we're a dividend paying company for the last 15 years since the time of listing and we have done buybacks in the last 5 years. If you see the cash in hand numbers in the last five years from 2014 to '15, it's between INR300 crore to INR400 crore or INR500 crore of cash. And whatever we have generated, we have distributed that to the shareholders, whatever free cash we generated. So that should be our policy going forward.
At the same time, if we see any opportunity in terms of the technology or in terms of any company acquisition, in terms of the R&D related or in terms of

any strategic investment for the company, we are open for that. If we don't see any opportunity, we don't want to hold back the cash we want to give it to the shareholders.
Moderator: The next question is from the line of Nitin Awasthi from InCred Equity.
Nitin Awasthi: So I wanted to understand the menace of illegal cotton seeds this time around. Is this still around? Is it still as big as it was last year and the year before that? Or has it been tamed?
Mithun Chand: Illegal seeds is even there now, but the awareness a

mong the farmers and
from the government, they are very strict in terms of the illegal seeds. So in terms of the percentages, I don't see it will increase. In fact, it should come down as a percentage as compared to the previous years.
Moderator: As we have no further questions, we thank you all for joining this call. For any further queries, please contact Mr. Rama Naidu from Intellect IR. He can be reached on 9920209623. On behalf of Kaveri Seed Company Limited, that concludes this conference call. Thank you. You may now disconnect your lines.
Mithun Chand: Thank you.

Call: Aug 2023

21st August 2023

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
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Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

"Kaveri Seed Company Limited
Q1 FY'24 Earnings Conference Call"
August 16, 2023

MANAGEMENT : MR. MITHUN CHAND –EXECUTIVE DIRECTOR –
KAVERI SEED COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed Company's Q1 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an

operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Joining us today on this call is Mr. Mithun Chand, Executive Director.
Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation.
I now hand the conference over to Mr. Mithun Chand. Thank you and over to you, sir.
Mithun Chand: Thank you. Good evening and welcome, everyone, to our quarter 1 financial year '24 earnings conference call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I will touch upon the operational and financial performance of the company, and then open the floor for Q&A session.
Consolidated net profit for the quarter has surpassed the profits delivered during the full year of financial year '23. This has resulted in growth of 15.6% in consolidated EPS to INR49.10 per share. The delay in monsoon has impacted volumes and sales of maize during the quarter. We are expecting that there will be increase in sowing of maize during the Rabi season.
Sunflower and mustard exports will start from the second quarter, and are expecting maize and vegetable seed exports to grow. The contribution of new products continue to drive the profitability of the company. Company focuses on growing exports to Bangladesh, Vietnam, Cambodia, Nepal and Middle East and exploring opportunities in East Africa and Philippines.

Consolidated revenue from operations was at INR736.1 crores as compared to INR685.59 crores in Q1FY23, registered a growth of 7.37%. EBITDA was at to INR289.49 crores as compared to INR254.09 crores in Q1FY23, increased by 13.93%. EBITDA margin improved to 39.33% from 37.06% in Q1FY23, grown by 227 basis points. Consolidated net profit was at INR275.62 crores as compared to INR244.6 crores in Q1FY23, registered a growth of 12.68%. Net profit margin improved to 37.44% from 35.68%, registered a growth of 176 basis points.
Segment wise highlights. Cotton volumes were stable and revenue increased by 8.98%. Bajra volumes and revenue were stable. The contribution of new products was up from 51.59% to 67.67% of the volumes. Hybrid rice volumes were stable, but due to commodity prices, revenue increased by 9.71%. Selection rice volumes grew by 11% and revenue increased by 22.13%. Maize volumes and revenues were down as compared to last year due to delay in rain in some states and expecting early rabi sowings in maize hybrids.
The contribution of new products were up from 28.06% to 40.65% of volumes in maize crop. Vegetable seed volumes has decreased due to decline in commodity prices and revenues were stable as compared to last year. Vegetable crop like bitter gourd, tomato, okra and watermelon had done well during the quarter. Bihar, Chhattisgarh, West Bengal, Odisha, Rajasthan and Telangana are the key states for vegetable business. Company focuses on growing the exports to Bangladesh, Vietnam, Cambodia, Nepal and Middle East. Our focus in R&D helps in launching new products, which are high yielding and pest resistant.
I will now open the floor for Q&A session.
Moderator: The first question is from the line of Anurag Jain, individual investor.
Anurag Jain: My question is on the vegetable seeds business. Kaveri now ha

s more
than 150 different vegetable seeds across different categories of

vegetables like tomato, cucumber, cauliflower, cabbage, chili, okra, various gourds, and brinjal, cowpeas, different melons, pumpkins, etcetera.
And in last few years, have expanded your coverage across different vegetable seeds, including now also launching green peas and ash gourd. So, Kaveri has also expanded its sales team for the vegetables business, seeds business. And has a separate sales team for the vegetable seeds business, separate from the field crops sales teams. And these sales teams have also expanded into different states of India. So, Kaveri has expanded its product range, sales team and also has undertaken geographic expansion. But all these initiatives are not reflecting in the sales numbers in the last 3 years. Last 3 years, the Q1 sales for the vegetable seeds business has been stagnant at INR18 crore.
So, in light of the fact that last 3 years have been stagnant for the vegetable seeds business despite a lot of initiatives on the business side from the company, how does the management see the vegetable seeds business in the next 3 years?
Mithun Chand: Vegetable is a very good business to be in. We are very bullish on vegetables. As you rightly said that we are spending a lot of money on R&D, on men and increasing our geography across the territories. As you know, in seeds business, it takes time to develop and we need to test our products, and farmers only believe after seeing it.
So, we are in a trial stage and we have even tested many hybrids, and we are streamlining these hybrids, which are doing well in some parts. So, we have bifurcated all those things. But as rightly said, in the last 3 years, the sales were stagnated in the first quarter. But we have grown when compared to last 3 years rightly. For the overall year level, we were stable as compared to last year.

But what we see in the next 3 years, vegetable business is definitely going to grow by more than 25%, 30% year-on-year. And still, we see that it has a potential to grow up to close to INR150 crore to INR200 crore in the next 5 to 8 years. And this is a crop where we have high margins. And now we have introduced many varieties across. And vegetable, every 200 kilometres, we have a different requirement of the vegetables. So, we are trying to feed to the market different vegetables. And as we are also exporting vegetable from last year, this year it will be some more vegetables we are expecting. So as overall, we see a very good growth in vegetables, but we are very bullish on that. And all the vegetables are heavily profitable at this time.
Anurag Jain: Okay. If you permit, can I ask one more question?
Mithun Chand: Yes.
Anurag Jain: Yes. Sir, last year, the company had received a tax demand notice. So, company had stated earlier that you will contest this demand. So, is there any update on this tax demand?
Mithun Chand: As of now, no. As stated earlier, we will be appealing it. It's still under the stage of appeals. No further progress on that. Whenever it is done, we'll intimate to the exchanges like how we have done in the last year, any update on that.
Moderator: Next question is from the line of Himanshu Upadhyay from O3 PMS.
Himanshu Upadhyay: Still one thing continuing from the previous participant's question, what are the unique challenges in vegetables to grow? So, when we have been working so hard for the last few years for so many crops -- so many other varieties of seeds. Why is it taking more time to grow that business? In the similar time frame, we have seen other firms have grown much faster. So, any thoughts into that?
Mithun Chand: No, as the answer in the previous question our farmers sees in believing. Just not like they don't believe the brand, even

though they

have a brand, it's very easy to introduce the seeds. But again, it needs to perform better than the other hybrids and then go forward. If you see the entire vegetables, okra, chili and tomato contributes to the majority of the revenues across, not only for the company, but across the industry, these 3 crops contribute more than 50% of the revenue. So, if you are big in this 3 crops, definitely that will grow. But in the last 2 to 3 years, we have some challenges in chili crops, some challenges in okra crop that has just muted our growth.

But on a long-term basis, medium- to long-term basis, vegetables is a very good business and we are very much focused on that. We have made different team. We are spending more on R&D. So that will definitely have a good result going forward. So, we are pretty confident that vegetable will contribute a meaningful size in the next 3 to 5 years.

Himanshu Upadhyay: And one more thing. The government raised the prices for cotton seeds. Did it benefit? Or what is the situation in the market? Are the prices rising for cotton seed? Or realizations?

Mithun Chand: If you see as compared to last year to this year, even though the volumes were flat, the revenues grew by 8% to 9%. So, we were able to realize the prices more in the market when compared to previous year. That's the reason the margins are also good. The margins have also expanded by 2% to 3% over last year. So that are really helping these markets. This time, there was a shortage of cotton seed, and we have realized much better than last year.

Himanshu Upadhyay: Okay. One last question and then I'll join back in the queue. Are you seeing slowdown or what we are seeing in the maize, is the pricing going to be a challenged...

Mithun Chand: Sorry?

Himanshu Upadhyay: Maize, okay, what we have shown in the revenues...

Mithun Chand: I cannot hear you. You are not audible. You are not clear.

Himanshu Upadhyay: I was asking on maize, where we have seen a substantial degrowth from INR87 crores to INR42 crores. Are the pricing under pressure in that market because everybody would be having a lot of inventory? And what is our inventory situation in the market?

Mithun Chand: I don't think we are done. Against INR97 crores or INR96 crores, we have done INR87 crores in maize. We are just down by 8% to 10% in maize in terms of the revenue. In terms of the volumes, they are down by 25%. But when we talk about the volumes, we have not participated in the subsidy this year because we are not having inventory. And subsidy is a low-price business. So, we have not participated in that. But you see at the overall level, we are just down by 8% to 10%. But we are very confident that during the course of the year, we'll exceed the maize revenues by the end of the year. And rainfall was also delayed. There was some spillover sales, which can get registered in Q2 and the rest of the year.

Himanshu Upadhyay: Okay. Because on Slide 8, there is some issue with maize. As you say, INR87 crores of revenue in FY '24 and FY '23, it is written INR43 crores. And then the growth is?

Mithun Chand: I'll just see if that is the case, I'll correct it. But last year, it was INR96 crores to INR97 crores. This year, we have done INR87 crores.

Moderator: Next question is from Nitin Awasthi from InCred Equities.

Nitin Awasthi: I want to understand how much was the illegal seeds penetration last year and how much was it this year in cotton specifically? Because what I'm trying to get at is that what we are hearing in news is that there has been significant reduction in illegal cotton seeds, hence the legal seed market should have grown significantly. But there was a

shortage of seeds in the market, so there was enough demand for the
cotton seeds. However, our volumes are flat. So

, I just want to

understand if you can explain what happened to us specifically and industry?

Mithun Chand: If you see the overall acreage at the India level, the cotton acreages are stable, which has not grown much. But even if you see the illegal seeds as compared to last year to this year, it was flattish. I mean from last year itself; we have seen a decline in that. But if you see as a percentage of illegal seeds as compared to last year, it is almost the same size as last year. But this year, most of the companies are not having over inventory, they were having enough inventory, that's the reason most of the companies have realized more.

Nitin Awasthi: So, you are saying we have not lost any market share?

Mithun Chand: No, no. We've not lost any market share.

Nitin Awasthi: And the news about illegal seeds being lower than last year, as of now has not cleared out...

Mithun Chand: Flattish when compared to last year, it's almost flattish, even the illegal seeds are almost same as compared to last year. So anyhow, illegal seed is coming down.

Nitin Awasthi: By the next year I think there should be a significant reduction, right, because of the track down that has happened.

Mithun Chand: I see the same amount continuing, because it's like 8% to 10% of the total market. I don't think it will go further down from there unless and until the new technology is introduced. But next year, the cotton seeds we need to see because of the delayed rains, delayed sowing, then their crops have been impacted -- early sowing crops have been impacted. But we need to see the quarter inventory for the next year. Quarter inventory is very tight in the industry for the next year. By seeing this condition, I don't see any reduction in the illegal seeds for the next year.

Moderator: Next question is from the line of Vidit Shah from IIFL Securities.

Vidit Shah: My first one was on the maize volumes. Last year, what percentage of volumes were towards the subsidy participation? I understand that we had stopped doing this a couple of years back, right?

Mithun Chand: No, we still participate in the subsidy programs, but based on our availability of the seeds we participate. This time, we were having lower inventory, so we have not participated in that subsidiary program because even the prices are up this year. As you see, the maize prices are up, the inventory cost is also up. So, as we go to subsidies, the realizations are very low. But by keeping this in consideration, we are not participated in subsidy. Subsidy was last year, first quarter, we have done a sale of close to 1,000 tonnes.

Vidit Shah: Okay. Got it. So, a major part of the decline in volumes is just natural, right? Because the subsidy of 1,000 tonnes is just about 5%, 10%.

Mithun Chand: Yes, that's the main thing. But whatever the other decline, as in normal market conditions, that will definitely come up in the second quarter and the rest of the year, because there was some spill over sales of maize in the second quarter. Because as you see, you have seen a delayed monsoon and then continuous rainfall. So that has impacted to some extent. So, I don't see any pressure in maize volumes in the normal trade, leaving subsidy growth. I mean, we will be up when compared to normal trade by the end of the year.

Vidit Shah: So, assuming about 10% is subsidy, can we anticipate just a 10% degrowth in volumes in maize by the end of the year? Or do we expect to catch the stock with that?

Mithun Chand: What I'm trying to say is that if you take out subsidy for the first quarter, we are just down by 8% to 10% in terms of the volumes. But if you compare '23 figures to '24 year-end, by year-end, we'll be up in overall maize volumes in the normal trade. We'll cover up that loss revenues in quarter 2, 3 and 4.
Mod

erator: Next question is from the line of Udhayaprakash from Value Research.

Udhayaprakash: Congrats on a great set of numbers. My first question is on the side of exports. Can you tell me what is the percentage of revenue that we have currently in exports this quarter? And also, last year, our export percentage was around 2%. Now this year, since we are also trying to find new opportunities and are going to start the export of mustard seeds and all. Do you think that number can increase to maybe 3% this year or it would still be around 2% in FY '24, too?
Mithun Chand: We have just started doing it this quarter, but majority of that comes in the second and third quarter. Some in the fourth quarter as well. But if you see our overall percentage, last year, it was 2-odd percent. This year, it should be in between 3% and 3.5% of the total revenue. But the other thing what we need to see is that instead of percentages, we are trying to export to other countries.
As we try to expand to many countries, we have enough product portfolio. So, we can easily get good revenues from different countries. So that's an advantage. In the initial stage, it is very low. But once you penetrate there, it's very easy to enter this new hybrids and to get good traction in the present selling hybrids. So that will help us.
Udhayaprakash: Okay. And this quarter, export as a percentage of revenue, is still small?
Mithun Chand: It is very small. It is very small this quarter. But majority of that will be done in the 2, 3 and 4. 2nd and 3rd are the major quarters. These are the major revenues. For example, last time we had INR20 crores, INR21-odd crores, this year, it should be within INR30 crores, INR35-odd crores.
Udhayaprakash: Okay, sir. My next question is on side of vegetables. You already provided enough detail for us. The only part I want to clarify with you is, are there any vegetables which offer good margins? And are there any vegetables which offer bad margins or have lower demand fluctuations like that within the vegetable segment itself? And in the

future, do you have any plans to exit any one of the vegetables like that?
Mithun Chand: So basically, all the vegetables are very profitable, the EBITDA margin between 30% to 60%. There are some varieties where we have lower margin, but there is very few varieties where we try to sell those varieties. But in terms of the hybrids, most of the margins are very attractive.
As I said earlier, vegetables chili, okra and tomato are the 3 major crops. If you are able to sell products in these crops, we'll have higher revenues and higher margins. But other crops, like cauliflower, cabbage, carrots, we import from other companies and sell it because the market is also growing for these crops. So, we don't do research in that, but we source material and sell it.
So, in terms of we are exploring all options as vegetable is a year-round business, so we want to be aggressive in vegetable division. As the markets are also growing, it is growing more like 15% to 20% year-on-year on an industry basis. So that's a very good space to be. And we have started aggressively last 7, 8 years back. And I think in the next 3 to 5 years, definitely, we'll see result of that.

Udhayaprakash: Okay. So, you're treating vegetables like you treated hybrid rice 2 years ago?
Mithun Chand: Yes. But both are different segments. Because in rice, I'll say 4 or 5 varieties rule the entire market. Whereas in vegetables, every state and every territory have a different taste. So, it is a bit difficult to be a uniform product, but that's the reason we have many hybrids, which we have introduced. But vegetable is a very good space to be.
As a portfolio, we are the only company in India where we have very high product range, I mean to say high cr

op range, and in each and every crop with a huge product portfolio. So that even minimizes our

risk on a single crop dependency, and we'll add value from each crop wherever it's possible.
So, for example, we have added mustard now. Mustard, as a size, is a very small market when compared to cotton or maize or rice. But it's a highly profitable margin, and we can easily do a revenue of INR50 crores to INR100 crores in that. So, these are the ones which will really add some value to the company.
Udhayaprakash: Okay, sir. My final question is on do we have any update on GM crops, sir. Last quarter, you said that you're already in a partnership with Monsanto and you're waiting for some government approvals. Are there any developments on that?
Mithun Chand: Yes. The process is on, very shortly will be released. It's taking some procedural time. But definitely even both the companies and the government, both are working aggressively on that. We don't see any difficulty in getting as of now. I think this year, it should be clear.
Moderator: Next question is from the line of Sanjeev from DreamLadder Investments.
Sanjeev: Yes. Sir, I wanted to know that now that you have declared good results, whether this kind of a trend in profits would continue in the future?
Mithun Chand: Yes. If you see in the last 5, 6 years, we had a muted growth. There were many challenges. If you go back to 2015, where majority of our dependence was on cotton. More than 70% to 75% of the revenues were contributed from cotton. Last year, it was below 35%. And we are adding many crops to it.
Now from here on, with the kind of portfolio what we have, and the amount, what we invested in the last 5 years, if you see in the last 5 years, we invested close to INR180 crores in research itself. So, in terms of the capex, in terms of the infrastructure, setting up new plants

and everything, we've invested more than INR250 crores in the last 5 years, apart from the research part.
So, this all, we have added facilities, we have added new infrastructure, we have strengthened our manpower, strengthened our R&D facilities, strengthened our R&D work in that. But seeing all the work what we have done in the last 5 years and the kind of hybrid portfolio what we have in different crops. By seeing this, we are pretty confident that the growth will continue for the next 3 to 5 years. We don't see any difficulty there. The growth, which was muted in the last 4 or 5 years, I think it will start coming this year.
Sanjeev: And sir, my next question is regarding the exports. Can you give us a picture of how the exports would look 3 years down the line? How sizable the business would be?
Mithun Chand: Export business is a very big business. For example, when you talk about maize and rice, these are the 2 big crops which have got very good potential. For example, if you take in Philippines or Vietnam, or

if you take some Thailand, where maize and rice are the major crops. Even if you take Bangladesh, Pakistan, Nepal, they have maize. So, we have very good hybrids in maize, so we can easily sell them, right? So, we have done trial in Vietnam. Those were very encouraging. Recently, we had talked to the government also from the Vietnam Agricultural Ministry to introduce our hybrid there. They have put it under trial, and we have got a very good result there. If these are the trends in the next 3 to 4 years, it will not grow in a year or 2, but down the line 5, 6 years, these are the areas where we have good growth potential, and we can easily do a revenue of INR200 crores, INR300 crores in export down the line in 4 to 5 years.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Mithun Chand for closing comments.

Mithun Chand: Thank you for joining us for the investor call. For any further queries, you can always feel free to call or ping our investor desk. Thank you.

Moderator: Thank you for joining the call. For any other information, please be in touch with Rama Naidu from Intellect PR on 992-020-9623. On behalf of Kaveri Seed Company Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Nov 2023

"Kaveri Seed Company's Q2 & H1 FY24 Earnings
Conference Call "

November 09 , 202 3

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR ,
KAVERI SEED COMPANY LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Kaveri Seed Company's Q2 & H1 FY24 Earnings Conference C all. As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions at the end of today's presentation. Please note that this conference call will be recorded. Joining us today on this call is Mr. Mi thun Chand, Executive Director.
Before we begin, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risk and uncertainties. For a list of such considerations, please refer to the earnings presentation. I would now like to hand over the call to Mr. Mithun Chand. Over to you, sir.
Mithun Chand : Thank you. Good afternoon. Wel come everyone to our quarter 2 and H1 financial year 24 earnings conference call. We hope you had a chance to review the presentation of our results, which is also available on our website. I will touch upon the operational and financial performance of the company and then open the floor f or question and answer session.
Revenue from operations has registered a growth of 5.75% to Rs. 863.42 crore as compared to Rs. 816.44 crore in first half financial year 23. EBITDA was at Rs. 298.88 crore as compared to Rs. 259.72 crore in financial year 23, increased by 15.08%. EBITDA margin improved to 34.62% from 31.81% in first half financial 2023, improved by 301 basis points. Net profit grew by 14.45% to Rs. 278.56 crores as compared to Rs. 248.39 crores. PAT margin was at 32.26% as compared to 29.81%, grown by 245 basis points. Cash and books stood at Rs. 732 core as compared to Rs. 497 cores.
Major Highlights: Board has recommended 250% dividend, that is Rs. 5 per equity share on a face value of Rs. 2 per equ ity share. Despite stable volumes in rice and cotton, better realizations translated into

substantial revenue growth which has fueled significant improvement in margins. The surge in global rice prices has propelled a remarkable 10.8% incr ease in rice cult ivation area. The company is not only witnessing u nprecedented success in the vegetable business, but also aggressively expanding its footprints in international markets. In

vegetable , major focus is on cold crops like cauliflower, cabbage and
carrot. Cott on volumes are stable and revenues increased by 6.77%.
Hybrid rice volumes are stable, revenues increased by 9.97%. Selection
rice volumes grew by 4.87% and revenues by 14.8%. Maize revenues
were grown by 13.96%. The contribution of new products was up fro m
44.46% to 58.71% in Bajra. Vegetable seeds volume increased by 25%
and revenues ruined by 20.6%. Vegetable crops like bitter gourd,
tomato, okra and watermelon have done well. Export business has
increased by 146.49% on account of expanding US geographie s. Ma ize
sales export volume increased by 129.91% and revenues by 140.52% .
I would now open the floor for question and answer session. Thank you.
Mithun Chand : Thank you very much. We will now begin the question and answer
session. The first question is from the line of Madhur Rathi from Counter
Tech . Please go ahead.
Madhur Rathi: Sir, I wanted to know, sir, our cotton revenues from Q2 -on-Q2 basis
have fallen. So, why, what is the reason for that?
Mithun Chand: Second quarter is a very lean quarter for us. Whatever sale we get is a
spillover sale. Compared to last year, if you see, because of the thin
volumes, the cotton sale is lower. But that is not significant. It's only
2,000 packets , lower than last year.
Madhur Rathi: So, there was a report that this year cotton production was lower. So, do
we think that next year cotton seed or sales will be better than expected

or

what kind of growth are you expecting in the co tton segment for the
next year?
Mithun Chand: The cotton produ ction is a bit tough this year which we are going to sell
for the next year , but that's too early to predict the output on that. We
can only say by the month of January or February what is the produ ction
that we are going to get.
Madhur Rathi: Sir, in your experience, how was the year post El Nino year been in our
business seg ment of cotton and other seeds?
Mithun Chand: So, basically we have done well instead of th is tough condition this year ,
most of the crops were stable or lower, but even in th is tough conditions
we were able to i ncrease the revenues and some cross the v olume as well
And being a multi -crop portfolio, we don't see that sort of a risk when
compared to the other companies which are constantly in
one or two products. In that way, we are ver y much pleased and El Nino year and the other
normal years are well in the cycle. So, we don't see much of a difference
and we are quite bullish in the second h alf and even for the next year.
Madhur Rathi: Hybrid tobacco s eeds that we had guided in our A GM that we had
launched. So, how are they doing?
Mithun Chand: Hybrid tobacco seeds? Whi ch seeds you are talking about?
Madhur Rathi: Yes sir, we had launched hybrid tobac co seeds, we had guided in our
AGM. So, that's what I was asking. How has that responde d? Hybrid
tobacco seeds sir ?
Mithun Chand: Hybrid tobacco, we are not in the tobacco at all.

Madhur Rathi: And sir with Rs. 732 crores on our cash, please do a buyback sir , it will
be ver y helpful for our shareholders.
Mithun Chand: Definitely , we will definitely consider but it is subject to the board
discussion , we will definitely cons ider it.
Moderator: Thank you. The next question is from the line of Anand, who is an
indivi dual investor. Please go ahead.
Anand: My first question is on cotton seeds. What I realize is that seeds like
Jadoo , ATM although they had a very high yield but the feedback that I
have received is these old hybrids take around 160 to 180 days for
maturity and currently these seeds have become susceptible to bollworm
in the later stages of crop. So, is that a fair understanding?
Mithun Chand: Yes, as we move forward , these are old hybrids and if you see after Jadoo

became ATM was there, ATM is still doing well in some parts and after
that, we have introduced M oneymaker w hich is als o doing well now .
After that , now we have introduced couple of hybrids for the north and
the central regions also which are doing well . So, it's a combination of
all and definitely in the industry and as we go over the years previous
hybrids get faded out and new hybrids come in based on the challenges .
Most of the hybrids as you rightly said that we are trying from virus ,
some second best res istance that we are looking at.
Anand: So, the two hybrids that I hear from Kaveri's table are 144 and 36. These
are the hybrids which matured much earlier in the cycle like 100-120
days. So, where are we in, if I were to look at last sea son, if you can give
us a break up of how our sales were betwe en these older hybrid s which
would take higher maturity and these newer hybrid s which would
mature much earlier in the season ?

Mithun Chand: Basically if you take our portfolio, Jadoo, ATM and Money maker
contributes to more than 85% of the revenue. There a re other hybrids
which are sold in very small quantity. So, these are all the new hybrids
which are introduced recently like half a lakh, one lakh packet. So, based
on next year and we are waiting for this year result , as of now it looks
good. But for the next meeting , I can be telling the exact position which
are the promising hybrids based on the performance thi

s year. But what
we see as of now is they are performing well and going forward these
will pick up the volumes.
Anand: So, if I were to look at th is season , I think on a combined with it around
57 lakh packets as a company, a consolidated company, is that the
numb er?
Mithun Chand: Roughly , I don't exactly remember but it is close to last year ..
Management: 55-60 lakhs somewhere in between.
Mithun C hand: It was close to last year 1 lakh plus or minus. It's only 2% more that's it.
Anand: So, going ahead , do you see that so some of these hybrids let's say 36 or
144 depending on how these hybrids perform , do you think that the share
of these would continuously keep going up?
Mithun Chand: Definitely , we think we have very promising hybrids. As I said earlier,
we will wait for another season, but this season end we'll be knowing
the exact system about the p erformance of that. And we'll be giving
guidance which are the hybrids which are looking better. And not only
these two, but we have also tested many other hybrids in different codes,
which I can't reveal right now. We're all testing stage, on ce we are the re
we will disclose . But definitely we see very promising hybrids in our
portfolio. Going forward , we see mom entum in cotton fields as well.

Anand: The next question that I have is again on the same thing. So, what has
happened in the last like I've been t racking Kaveri Seeds like maybe
2015 or maybe even before that. The price of packet of seeds ha s not
moved much like from Rs. 800 to Rs. 850 right now , roughly Rs. 845 I
think that's the price. So, do you see significant margin pressure, and do
you also se e production volumes going down because the farmers are
not getti ng compensated enough for that?
Mithun Chand: Yes, if you see cotton seeds from the last 8-9 years , it has not moved up
when compared to 2015. But in the last 2 years, the selling price is
moved. I t might be so because now the production is very difficult. The
cotton seeds production cost is also going up. So, that is putting a
pressure on the margin , but definitely we are trying to increase the
selling price so that it can compensate .
Anand: One more question in terms of the production side. So, if we have to
plan for next season, then by when can we have seeds wh ich can be used
for production?
Mithun Chand: So, already we are trying for next year pr oduction. We usually s ow in

the month of May 23 for selling something in the Kharif of 24.
Anand: And going by our current production plans, what could be the maximum number of packets you can do in the next season?
Mithun Chand: I may not be disclosing the exact figure that we will not revea l as of now, but we have enough production for next year. As I said in the earlier question, what is the productivity of that, which only we will get to know by year end because the season was also not good. Pest attack was also more so that we'll get to k now by December to January.

Anand: But I understand your difficulty in giving that kind of a prediction , but can we assume like it could be like 20% to 40% more or any range that you can get as compared to last year?
Mithun Chand: So, usually we are saying that cotton will grow in between 5 % to 10%. As a guidance , we are saying cotton will grow in between 5 % to 10% . We are on target on that as of now, but again, sub ject to the weather conditions.
Anand: So, basically for next year, as of now, things might change, you see a 5% to 10% growth in the cotton seed ?
Mithun Chand: We have already given this guidance long back. In the past 1 -2 years, I think 5% to 10% in cotton for the next 2 to 3 years. So, we still give the same guidance.
Anand: I'll move on to ot her crops now sir. We have seen significant growth in

Q2 in maize and you have also highlighted that there is a very strong demand for maize going ahead. So, if you can tell us that what areas this demand is coming from and also on the export side, our exp orts have grown significantly this quarter. You have also allu ded to export growing significantly going ahead. So, what kind of registrations we have in different countries? That is one thing I want to know. So, what are the crops in that sense? And how do you see export growth going ahead in the next few quarters and the next year? And also finally on maize , what kind of growth are we looking at in the coming year?
Mithun Chand: So, maize as a crop looks good both in terms of domestic and internationally. We gave a guidance of 10 % to 15% growth in maize , on a longer term of 3 to 5 years. That we are pretty confident that we will be able to achieve it. And this quarter, especially when talking about coming back to this quarter, maize revenues contributed to the major

growth. One is both in domestic we had a good sale and across India because anyway it's a very lean quarter for us. Second quarter, most of that is spillover sale. Might be in Karnataka, might be in some parts of Andhra, some parts of Maharashtra . But major contribution was from exports, where we have done Rs. 15 crore more than last year. So, again st, Rs. 10 crores of exports, we had Rs. 25 crores of exports. That was a major revenue. And out of those exports , more than 90% of that was maize .
Anand: Can you see th is trend continues?
Mithun Chand: Maize as a crop looks good. Going forward, we see maize goi ng better in exports also. And we are exporting to other countries, so the majority of the exports earlier was only to Bangladesh and some of Nepal, now we are even looking at African countries. And we are concentrating on crops like maize, sunflower, vegetables, and rice. Rice especially for the Southeastern countries like Indonesia, Philippines, Thailand, these are the countries which are conc entrating more, including Vietnam. So, we see a good growth coming in there. And wherever we are tested, our rice hybrid, that's very positive. So, definitely, as you know , it will take some time for us to make growth, but it's very positive, we are moving in a very positive direction and as a company, we are very much bullish on this export segment.
Anand: So, you also mentioned in the presentation this time that vegetable seed

growth has gone up by 25% and 26% roughly, and the revenue grew by around 20%. And you also mentioned that there is unprecedented growth in the vegetable segment for us , success. So, how do you see this portfolio has not changed in last 5 years from like roughly say even stagnant at around Rs. 30 crores. So, how do you see this veget able

going ahead like for this year and for the coming year? How do you see it changing?

Mithun Chand: Vegetable is a very big segment in India and this is a faster growing segment. We are very small in the vegetable segment by seeing the overall market. A nd the way what we have worked in the last 10 years, we have very good hybrids which are there in a pipeline and some hybrids are already launched in the market. And last year, we had done close to Rs. 45 crores as overall sale for vegetables. Again, first half it was Rs. 22 crore as compared to Rs. 26 crore this year . So, in the second half also , we see a similar growth. And we think that vegetable year -on-year will grow by more than 20% to 25% something like that.

Anand: Last question from my side. It's more of, i n case of vegetable companies, to some extent, the demand outlook that we have can also be visualized from the balance sheet in terms of the kind of advances that we get from the customer. So, if I were to look at our H 2 ot

her current liabilities, which I think are mostly coming from advances from customers, they have gone up, they used to be like Rs. 80 crores – Rs. 90 crores 5 years before and now they are almost at Rs. 270 crores. So, if you can give some kind of a br eakup of t hose advances

Mithun Chand: You are tal king about current liabilities?

Anand: Other current liabilities, which are Rs. 270 crores and...

Mithun Chand: So, that means that other current liabilities not only advances, that also is a payment which w e need to give for the production.

Anand: Which we also n eed to give for the production.

Mithun Chand: Usually, it is a very lean season. We don't have much of advance s for this second half. Usually, we get advances for the first half, but the

industry is changing. Nowadays , we are not taking much of an advantage because we need to give more discounts. So, we hav e slightly slowed down on that.

Anand: One last question, sir. So, on the company stock, one of the major hangovers ha s been the income tax issue. Two things, sir, what could be our maximum liability here in this case , in case we lose the case and we do think there could be some kind of a settlement with the department so that this hangover is taken care of?

Mithun Chand: Basically we don't have any litigation as of now. I mean to say we don't have any pending demand other than what we are disclosed in the balance sheet or to the exchanges. Other than that , we don't ha ve any pending demands. We are claiming it as an agriculture income. They might deny it. For that , the liabilities are calculated what basis they do it. But as of now , we have only one year litigation that we are seeking. The other litigation is a different litigation. We never got any demand for that.

Anand: And what is th e amount? I mean, if you can...

Mithun Chand: They never derived any amount for that because as they have not given any demand, so there's n o derivation for the liability.

Anand: This is a major, major hangover because the rest of the crop companies that I see, even s ome of the competitors, they actually don't consider it as an agriculture income like DCM S hriram and others.

Mithun Chand: I don't know which companies you are seeing it. Many companies doing that way. But then the subject is pending and everything is dis closed. The reports and everything is trans parent from the company side. Based

on the other unexpected liabilities, we don't know. If something is there, definitely we will try to intimate.
Moderator: Thank you. The next question is from the line of Manish Shah, who is an indivi dual investor. Please go ahead.
Manish Shah: Sir, in the presentation, you told that the second half also is looking very good. So, what crops are looking good and what kind of revenue growth you can do compared to last year, sir ?
Mithun Chand: Basically second half is all contributed by maize and the other segment what we are looking at exports . These two contributes to the major second half . Both the segments should do well .
Manish Shah: Sir comparison to last year second half shoul d be what 15 %, 10% more ?
Mithun Chand: So, we have given a guidance between 10% -15%, that is what we see for.
Manish Shah: In the guidance you have told that the profit can grow by 15% CAGR for the next 2 -3 years. Do you stick by that guidance sir?
Mithun Chand : If you see the first half , here the profit has grown by close to 14%-15%.
Manish Shah : For the next 2 -3 years is it possible sir to do this kind of numbers?
Mithun Chand : Yes, on a consolidated basis for the first half grew by like 13.5 %. We only said 12 % to 15 % of the bottomline. We are still stick to that.
Manish Shah : Sir, another question is about the exports and the vegetables. Sir, in the

next 3 to 5 years, what kind of figure can you like, can it be a Rs. 100 crore business or more than that e xports and vegetables or any other?

Mithun Chand : Next 3 to 5 years, what we see, both exports and vegetables should be close to 100% .
Manish Shah : A single segment or both?
Mithun Chand : As a single segment.
Manish Shah : And sir, any other pr omising crop?
Mithun Chand : we have started selling mustard also. That is also a good crop. We a lso see growth in that mustard.
Manish Shah : And sir, about the cash on the books of Rs. 732 crores, what are the future plans, sir, any acquisition or any other thi ng?
Mithun Chand : We are open for acquisition. In the previous, as you were not able to find any growth, we have given dividend or buyback. So, again, based on the current scenario, we'll see whether we need to go for the buyback or based on the opportunity we need to acquire a company. That will disclose , but again, that depends on the board . Once any outcome from the board, definitely we'll let you know.
Manish Shah : Sir, what kind of area in acquisition are you looking sir because in the presentation, you ha ve given that the cotton seeds, we are the number two player. And in other segments, where are yo u looking for acquisition, sir?
Mithun Chand : Basically for some vegetabl e companies or some technology.
Manish Shah : Sir, any specific, sir?
Mithun Chand : As of now, nothing. I said that we have not identified any company, and we are open for it. If any company comes in, definitely we will identify . As of now, we have not identified anything.

Manish Shah : So, sir, if there is no acquisition , then there is a buyback ?
Mithun Chand : Yes, that I will not comment as of now. That, again, subject to the board decision, any decisio n taken will definitely inform.
Moderator : We would take that as a last question. On behalf of Kaveri Seed Company Limited , I would like to thank all the participants for joining the call. For any further information, please be in touch with Rama Naidu from Intellect IR. You ca n reach him on 992 -020-9623. On behalf of Kaveri Seed Company, that concludes this conference. Thank you for

joinin g us, and you may now disconnect your lines.

Call: Feb 2024

08th February 2024

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir/ Madam,
Sub: Transcript – Kaveri Seed Q3 & FY 2023-24 Results Conference Call on
Monday, 05th February, 2024 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith Transcript of Kaveri Seed Company Limited Q3 & FY 2023-24 Results Conference Call made on Monday, 05th February, 2024.

The transcript and audio is uploaded on the Company's website as well on below link:

https://www.kaveriseeds.in/wp-content/uploads/2024/02/Kaveri-Seed-Conference-call-transcript.pdf

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

"Kaveri Seed Company Limited
Q3 FY'2 4 Earnings Conference Call "
February 05, 202 4

MANAGEMENT : MR. MITHUN CHAND –EXECUTIVE DIRECTOR –
KAVERI SEED COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed Company's Q3 and Nine Months FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions at the end of today's

presentation. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. Joining us today on this call are Mr. Mithun Chand, Executive Director.
Before we begin, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation. I now hand the conference over to Mr. Mithun Chand. Thank yo u, and over to you, sir.
Mithun Chand: Thank you. Good evening, and welcome, everyone, to our quarter three and nine months financial year '24 earnings conference call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I will touch upon the operational and financial performance of the company and then open the floor for question -and-answer session.
Our revenue from operations was at Rs. 981.89 crore as compared to Rs. 939.93 crore , a very steady growth of 4.46%. EBITDA was at Rs. 321.13 crore, that's compared to Rs. 303.67 crore and increased by 5.75%. Net profit was at Rs. 290.22 crore as compared to Rs. 280.93 crore , a very steady growth of 3.3%. Cash on books stands at Rs. 587 crore as against Rs. 403 crore .
Our quarter three financial highlights. Revenue from operations was at Rs. 118.47 crore as compared to Rs. 123.4 9 crore , down by 4%. EBITDA was at Rs. 222.25 crore and net profit at Rs. 11.66 crore . As envisaged, maize and vegetables are growing in both volumes and revenue s and the same trajectory will continue in the coming quarters too. Company continues to deliver good realization s in both cotton and

rice in spite of volumes remaining stable. Increasing trend of new products contribution in bajra and maize. Efforts in ex ports, yielding results and put the company on the fast track in international markets.
On a quarterly trend, other income was down by Rs. 19.14 crore and depreciation increased by Rs. 1.5 crore , and the rest all it remained flat. The higher other income in quarter three financial '23 was on account of redemptions done from investments made by the company for the implementation of early buyback done during the last financial year. As a part of our continuous endeavo urs to reward our investors, the company had announced a buyback of shares at Rs.725 up to Rs. 325 crore.
Operational highlights. Cotton volumes are stable, but revenue increased by 6.03%. The contribution of new products was up from 45% to 59.67% of volumes in bajra. Hybrid rice volumes are stable but revenue increased by 9.26%. Selection rice volumes are stable, but revenues increased by 8.16%. Maize, increase in maize revenue by 5.36%. Contribution of new products was up from 36.67% to 49.45% of volumes in maize. Vegetables seed sales volum e increased by 22.13% and revenue increased by 24.4%. Revenue -- vegetable crops like bitter gourd, tomato, okra and watermelon had showed good performance. Contribution from exports to revenue has increased by 139%.
I will now open the floor for question s and answers.
Moderator: Thank you very much. We'll now begin the question and answer session. T he first question is from the line of Siddhant Dand from Goodwill Securities . Please go ahead.
Siddhant Dand: So my first question was employee benefit expens es have really shot up this quarter, and it's

our highest ever for any quarter. So any reason as -
- any one -offs? Or is it a higher expense in general?

Mithun Chand: No, that is a continuous trend what we are seeing in the last five to six quarters, as we are increasing the headcount and that's reason the employee cost is going up.
Siddhant Dand: We can expect it to be around Rs. 3500 lakhs
Mithun Chand: Yes. Rs. 3500 lakhs.
Siddhant Dand: Okay. My second question is on a longer term three, five -year basis, how much can we expect our R&D expense as a percentage of sales to be because it has gone up over the years?
Mithun Chand: If you see in the last five years, we have spent close to Rs. 200 crore. Year -on-year basis , it's coming up to like 5% to 6% of our total revenue. So I think this will continue. And going forward, the trend will continue. Further, it may go up.
Siddhant Dand: Okay. Any views on new genetically modified seeds that can be allowed in the market by the government? And when can we expect th at to happen?
Mithun Chand: As of now, we are not working on any genetically modified crops. Working in a sense, we are not developing any technology for that. We are dealing in cotton crop, which is only one crop which is genetically modified crop. But recently, they had a n argument in the Supreme Court regarding the genetically modified mustard but the judgment is reserved. Based on the judgment, new technologies may come for it and the government is favo uring for new technologies. So I think if that is clear, most of the t echnology is going to come to India.
Siddhant Dand: So how quickly can we ramp up in case of mustard or a maize or any crop that is allowed? Can we ramp it up …
Mithun Chand: The technology is already available outside of the country and the most of the tri als are also done in India. So o nce it's approved, it may take three to four years to get introduced.

Siddhant Dand: My other question was, can we expect the promoters to participate in this buyback?
Mithun Chand: Yes. Our offer is that even the promoter w ill participate in the buyback , to what extent, that we 'll decide later on.
Siddhant Dand: I just wanted to understand this accounting query. What is the difference between your CWIP and your biological assets because you have classifie d them as both in th e current assets?
Mithun Chand: Biological assets are the crops, which are, I mean the standing crops which are there in the field. When we give it for the production, some stock wil l be there in the field, so that we call it a biological asset.
Siddhant D and: Okay. And then the RM, CWIP and finished goods will be what assets?
Mithun Chand: That are whic h is already received , which we can physically see that.
Moderator: Thank you. Next question is from line of Yash from Dante Equity. Please go ahead.
Yash: Yes. If you have a retrospective tax on our contingent liabilities for the case that's going on, till what extent are we covered?
Mithun Chand: So what do you mean by that retrospective? We have one case, which is going on, which is already disclosed to th e exchanges and we already mentioned in the annua l report. That's the only thing, which we are having as of now. Any other thing of conce rn, we will definitely disclose
Yash: Yes. So what is the extent of liability if you lose the case?
Mithun Chand: So th at we have given, like for one year financial year, the demand was like for Rs. 65 crore or Rs. 70 crore. I don't remember exactly, that we have already mentioned in the annual report.
Yash: Also, are you sticking with the growth guidance of 12% to 15% consolidated profit and the 12% to 15% consolidated profit growth, does that include the buyback EPS growth or not?

Mithun Chand: Yes, that's a lon g-term guidance what we had given. We are still go with the same thing.
Moderator: Next question is from the li ne of Sanjeev Zarbade from Dream Ladder Advisors . Please go ahead.
Sanjeev: It was regarding the Rs. 1 lakh crore s allocation that the government has done regarding the agricultural sector and R&D. Do you stand to benefit from this initiative, sir?
Mithun Chand: Definitely. Anything in agriculture, we will definitely get benefited, may not be directly, but a lot of indirect benefits will be there. If you can give farmer subsidy or if you can provide some sort of an irrigation facility or some sort of logis tics or to maintain processing anything in respect to agriculture, definitely that will help us indirectly. As the farm income goes up, definitely the farmers can afford good seeds .
Moderator: Thank you. Next question is from line of Dhruv from Flute Aura. Please go ahead.
Dhruv: I just wanted to understand by what time are we expecting the buyback?
Mithun Chand: So we have already given the post al ballot notice. The results are on February 8 th. Once we get the shareholders' approval, after that it may take another one month's time. So most probably, it will complete by March 10th.
Moderator: The next question is from the line of Madhur Rathi from Counter Cyclical. Please go ahead.
Madhur Rathi: Thank you very much for the sixth consecutive buyback, which is the largest in our history. I want to thank you on behalf of all the shareholders for the buyback. Now sir, the concern is that, you are constantly mentioning that we hope to grow by 10%, 15% but in the nine months also, we grew by less than 4.5%, which i s less than the rate of inflation. So till when do you think we can again come back to our growth path?

Mithun Chand: So given a growth of 10% to 12% as a long -term growth, still I'm very much confident that if you take the long -term rate that will match. But based on the seasonality, a year or two, we may lose it, but on a long - term basis, we'll grow in that fashion.
Madhur Rathi: Sir, also wanted to understand that what is our market share in cotton seeds in this financial year?
Mithun Chand: We have clos e to like 15% market share -- 14% to 15% market share for cotton.
Madhur Rathi: Sir, also, sir, in FY15, we used to have 12% market share in pearl millet. So what is the status of this now?
Mithun Chand: Yes, we are working on pearl millet. There are very good pipeline hybrids in pearl millet. We think that we can get back market share and much higher market share what we used to have earlier. We are pretty bullish on pearl millet and we have already tested a couple of hybrids, which are doing well. We can expect pearl millet sales coming in the next years.
Madhur Rathi: Sir, what is our market share in the current financial year?
Mithun Chand: As of time, it's very low. It's like 2% to 3%, not more than that. But we have huge scope to grow in that area.
Mad hur Rathi: So now the thing is that our revenues are flat since FY15. But sir, if we see our R&D expense has increased from Rs. 12 crore to Rs. 63 crore. And similarly, our employees have increased from 814 to 1,275 people . And so similarly, our sale s promotion, farmer meeting expenses, staff and dealer meeting expenses, everything has gone up. So now the thing is that we are spending more on everything, then why are we unable to get the business?
Mithun Chand: So if you see the '14, '15, the mix was l ike more than 75% was from cotton. The other crops contributed only 25% to 30%. The scenario was different. The margins were pretty high in cotton earlier, 35%. But right

now, if you see, the cotton margins are like only 15% odd. And if

you
see the present composition, cotton hardly contributes 35% and we are growing in all other crops except for cotton, where we have declined. And so that's the reason for the flattish revenues and being normal for the last 10 years. But if you see other crops, if you take minus cotton, we are growing in each and every crop. The other thing regarding the costs, it is quite visible that how much we are spending on R&D. We have increased our headcount. We have increased our -- I mean to say, like our network.
We have more dea lers now than what we used to have in 2014, '15. But as we said, we are working for the future. We are very confident about our product pipeline. And what we are spending now that will be reflected in the future growth.
Moderator: Thank you. Sir the line f or the participant dropped. We move to the next participant. Next question is from the line of Rohan from Turtle Capital. Please go ahead.
Rohan: Sir, lately, our market share in cotton in Andhra Pradesh and Telangana has decreased. So whom have we lost ou r market share to? And what can we do to recover that market share? And do we have already plans to recover our market share?
Mithun Chand: So basically, across India, the majority of the market share was taken by RASI, one of the companies. Here also, R ASI is the main player. And we are pretty confident about, as I said earlier, we're very confident about a new pipeline of hybrids where we can think that we can get back on market sharing going forward in cotton as well.
Rohan: Are you saying that R ASI is a market leader?
Mithun Chand: Yes.
Rohan: Okay. And lately, we are also having issues with illegal cotton seed. So how big is illegal cotton seed as a market?

Mithun Chand: As a percentage, it remained same over the years, like 8% to 10% that remained sa me for over the years. But going forward, once the new technology comes in, we might not see this illegal cotton. So I think that will remain sideways for the next year or two on a percentage wise.
Rohan: Yes. So for a year or two, the market share of ille gal will be sideways, but afterwards, it can reduce?
Mithun Chand: No, what I mean to say, as the technologies are pretty old. That's the reason we are seeing illegal cotton. Once the new technology gets into place, then we don't see this type of illegal p roduct coming in.
Rohan: Okay. So another question is that what are the challenges you are having in scaling vegetable business because in the last few years, it has not grown very highly but you are lately saying that you w ant to double it up or grow 25% to 30% in three years. So what are the actions you are going to take? What are the new hybrids you are going to bring in vegetables?
Mithun Chand: If you recollect what we are saying is that in vegetables we will grow at year-on-year at 20% to 25% for the next five years. For last year, we were a bit flattish. I mean to say we just grew by 7% to 8%. This year, we have grown by almost like 10% to 12% as compared to previous year. But as it stands, as I said earlier, because we are more dependent on season and climatic conditions, some years might be good and some years might not be.
But as a long term, you see that we'll atta in that 20% to 25% growth over a five -year period of time that we are pretty confident and we are already seeing the result s for that.
Rohan: Okay. And on export side, what are the geographies that you are targeting for export? And have you created any crop or vegetable portfolio that you want to focus on in export side?

Mithun Chand: Yes. Basically, in vegetables, we are cons idering on gourds, tomato, hot pepper and okra. So these are the crops we are already exporting also. We have done Rs. 1 or Rs. 2 crore of exports

of vegeta ble this year as well. So if you see our export sales have increased comparatively than previous yea r.
We are considering countries like neighbouring countries, especially Bangladesh, Nepal, the other countries like African countrie s and countries like Indonesia and Thailand.
Rohan: Okay. So are you also focusing on field crop side for exports? Because America is a bigger market.
Mithun Chand: We are mainly focussing on crops like rice and maize. These are the two crops which are there in the countries where we are operating, and we are targeting those markets. This year we have done sunflower also. Yes, we have sent sunflower to Tanzania. I don't think that might come next year because it's a onetime sale what we have done and that's a government order.
Further going down the line, if we get a government order of that size, we can do. But otherwise if yo u take that out of the entire export sale, from Rs. 20 crore, we'll be having that Rs. 45 crore, Rs. 50 crore of exports this year, minus government sale.
Rohan: Okay. And in next three to five years, how big can export be for us in revenue size, like how big it will contribute?
Mithun Chand: What we are seeing is that export from last year, it was around Rs. 20 crores, Rs. 25 crores, w e feel like, it should cross more than Rs. 100 crore, in the next three to four years.
Moderator: Thank you. Next question is from the line of Ankit Gupta from Bamboo Capital Partners. Please go ahead.
Ankit Gupta: Yes. So we are likely to end this year sale of around Rs. 1,150 crore and almost I think the sales, which we had done in 2015. So Mithun, from

here on, will it be possible to reach Rs. 2,000 crores kind of revenue over the next three to five years? And if it is, which all segments are expected to contribute towar ds it?
Mithun Chand: From here, from taking the base year of '24, up to 2030, we can easily reach Rs. 2,000 crore. We have a very good pipeline. And as I said, these are the three main crops, field crops like cotton, maize and rice and other crop is vegeta ble, these four will contribute to the majority of the growth. And on the crop, what I mentioned above, we have very good pipeline coming up.
We have very good hybrids, which we are there already trialling , so we are fairly confident that we can go back to our main market shares, and we can further increase our market shares also. From here on, Rs. 2,000 crore, it looks quite possible and not far away.
Ankit Gupta: So if you look at it, cotton sales that cotton, of course, because of the price controls, revenues have fallen, but even our volumes have not grown over the past seven to eight years. Even if I look at maize, there 's hardly any growth in volumes that we ha ve seen in maize and revenue also in 2015 was around Rs. 160 crore, which last year was around Rs. 230 crores. So what efforts are we taking to grow these two segments for cotton and maize specifically so that our revenue can touch the guidance that you ha ve given?
Mithun Chand: If you see maize, it was like Rs. 130 to 140 crores at that particular time , maize today 9MFY24 was at Rs. 198 crore . And if you take rice, rice was hardly Rs. 20 crores, Rs. 30 crores at that particular time. Now, it's more than Rs. 225 crore . Vegetable, we were zero. Now we will be closing around Rs. 50 crores, Rs.55 crore of vegetables.
So except for cotton, on as a crop, we have grown. And we are very

confident that we'll grow going f orward. Cotton, one thing; the acreages were down. I rightly said, because of the price control order and all other things, the margins were down in cotton. The overall acreages were down. And over and above that, we lost some market share in cotton.

So three, contributed for a decli

ne in cotton. Bu t going forward, what we see, we have very good average. We have enough pipeline. We're already testing a couple of hybrids in Northern India also, which are doing well and in central base also. So in the next three to five years, we think that we can get back our market share to what we used to have earlier, like the 20 %-odd market shares and we are fairly confident about that.

Ankit Gupta: Okay. Cotton, we can understand, but even in maize, we h aven't done well over the past seven , eight years.

Mithun Cha nd: So maize, I just need to check it out. Maize is like for Rs. 140 crore to Rs. 250 crores now.

Mithun Chand: That was one year where we had d one huge sales that was in 2013 or 2014, after that it came down, but the portfolio has also changed now. Earlier, the entire market share was in Karnataka and Andhra, combined Andhra but now we are expanding across India and our market shares are up and we're all moving to single crop hybrids.

Ankit Gupta: Okay. What is the market size of rice seeds and veget able seeds in India?

Mithun Chand: Market size, like 8% is like hybridization, you can see 55,000 tons of rice, 55,000 to 60,000 tons of rice of hybrid rice. And vegetable market size is close to Rs. 2,500 crore to Rs. 3,000 crore, slightly above than that.

Ankit Gupta: Okay. Even in vegetables, although we were hardly present in vegetables in FY15. But over the around seven to eight years, our sales have hardly grown to let's say we'll end up this year with somewhere around Rs. 60 crore. So , although this has gone from nil to Rs. 60 crore, but its impact on our overall revenue hasn't been that significant.

Mithun Chand: So one thing. As I said earlier, cotton has contributed to 75% of the total sale in 2015, 73% to 75% of the sale. That's come down to 35% now as a percentage. You can see the growth in other crops. Yes. That's the main

difference as of now. But if you see any crop portfolio minus cotton, they are growing in a good pace.

As going forward, you can see t hat what is the amount that we have spent in the last five, six years in terms of the R&D or in terms of the headcount we have in terms of the increase the market pr esence, increasing the network and setting up thes e facilities . And if you see the grower b ase of more than 1 lakh acres.

So that shows how fast we are going on all the crops except cotton. But as the cotton is a major portion for the company and for the industry as well, so from the cotton also we will grow in the next years to come. So that th e entire growth will come going forward.

Moderator: Next question is from the line of Udhayaprakash from Value Research. Please go ahead.

Udhayaprakash: I know that you already answered the question on exports. But if you could give us a little bit on what is the contribution of exports to total revenue on a nine-month basis. And what is the growth too year -on-year?

Mithun Chand: So for the nine months, we have done around Rs. 40 odd crores, but -- it was for the entire year Rs. 22 crore last year . It is almost like doubled this year, INR40 crores. And we will end up in between like overall for the year, it will be around Rs. 60 crore of exports because som e orders are pending.

So we'll do that. Out of which Rs. 15 crore to Rs. 20 crore of exports are
a onetime sale, as I said earlier, what we have done doing sunflower, we
have shipped one to Tanzania. That may not come next year. But overall
, we are like 7 5% to 80% more than last year.
Moderator: Thank you. T he next question is from Sandeep Abhange from LKP
Securities. Please go ahead.

Sandeep Abhange: I'm saying I had a question regarding non -cotton volumes. So your non -
cotton volumes have g rown significantly in the past

five years. We may
see in the hybrid rice and in vegetables as well as in election time. So I
just wanted to have an outlook going forward, like how big we are seeing
in terms of the non -cotton. Apparently, it is contributing arou nd 65%.
Are we expecting similar kind of contributio n going ahead like in the
next two to three years? Or it will like go past the 65%.
Mithun Chand: So what we see is that as we were saying earlier, cotton should
contribute in between the 30% to 35% becau se cotton is a very big
market. And from the base where we are right now, I may not comment
upon in a year or two, but down the line, we have a huge scope of doing
cotton also. So I don't think the composition will change muc h. It will
be in that about 70% and 30%. 30% will be around cotton and 70% will
be non -cotton.
Sandeep Abhange: Okay. An d secondly, I have a question
Mithun Chand: As we see growth in cotton also, that's the reason we say that cotton will
also contribute to that 30% going forward. In the next…
Sandeep Abhange: Okay. So we can expect a 70 -30 kind of ratio going forward?
Mithun Chand: Yes.
Sandeep Abhange: Okay. And secondly, I have questions regarding your m argins vertical
wise, can you give some clarity on your margins in hybrid r ice, maize,
vegetables, like you say in the quarter you have 15% approximately
margins in cotton. So can you give some like the ballpark number in
terms of margins in your verticals, like if you can give us an idea
Mithun Chand: You see our EBITDA margins are in between the 27% to 28%. It was in
last four to five years between 27% to 30%. So in cotton, we are in
between the 15% to 18% margins. And non -cotton segment we'll have
that 35% to 40% segment. Even in each crop, each hybrid has got a

different margi ns. So overall I am just giving a ben chmark of the 35%
to 40% EBITDA .
Sandeep Abhange: Okay, okay. And is that -- do we have high margin in hybrids, hybrid
rice and vegetables? Or is it kind of in the similar space ?
Mithun Chand: Usually the m argins are a bit high in vegetables, but the volume is very
low. As of now, we are operating as a separate division. So the expenses
are also pretty high. Once the volume and price goes up, then the chance
of margins going up are pretty high.
Sandeep Abhan ge: Okay. And just ending in the same note, like in the same verticals, like
how is the overall market share, like in hybrid rice and selection rice and
maize, if you can give some clarity on that?
Mithun Chand: Maize, roughly, we have 8% to 9% market sh are. Hybrid rice, we have
10% to 11% market share. In selection r ice, we have 10% to 12% market
share s.
Sandeep Abhange: Okay, sir, that's very helpful. And overall, how is the realization in terms
of value growth as well, like are you seeing good value grow th across
your non-cotton portfolio? I just wanted to take a view on the value
growth, how is the value growth doing?
Mithun Chand: Volume growth?
Sandeep Abhange: Value growth, value growth. Like volume growth, I'm not talking about
volume growth, I'm talking about the value growth, the realization

growth in the realizations across your non -cotton portfolio?
Mithun Chand: So as I said that we work on margin in between that 35% to 40%, in between 30% to 40% crops. So that will remain the same going forwa rd also. But as most of the costs, you can see the headcount and if you see, the R&D expense are pretty high, even the depreciations are pretty high. Once the sales volume goes up, definitely the margins will be slightly 2% to 3% better than what it is right now.

Sandeep Abhange: Yes, you have given a guidance of R s. 2,000 crores by FY 2030. So in that, like what we have seen in FY '15, you had a major contributor cotton. But right now, you

have quite diversified. So how are we expecting the non -cotton portfolio to majorly contribute to the Rs. 2,000 crore revenue? And as well as exports like you said exports would be around 100% and all. So how would be the split of domestic and export and how much will be the cotto n and non -cotton, like on the Rs. 2,000 crores?
Mithun Chand: So majority of that will be a domestic one. We see at least like 7% to 8% from the export market like around Rs. 150 crores from the export market. But as I sa id, the composition will be 30% to 70%; even in that scenario, 30% will be from cotton and 70% will be non -cotton.
Moderator: Next question is from the line of Amit Doshi from Care Portfolio. Please go ahead.
Amit Doshi: Sir, recently, there's been news about this maize in focus going for this ethanol production and the news that sugarcane farmers are also shifting to maize crop. So do you see any thing on the ground, just want to have your comments overall on that and impact on Kaveri?
Mithun Chand: So maize is a very good crop both in terms of climatic conditions and in terms for the farmers. And with the ethanol coming up, as of now the estimated is like 1/3 of the total production is required if all the plants are commissioned. And going forward, we see that the maize acreages may go up and that will help definitely Kaveri because we are one of the major players in maize. So that will defi nitely help Kaveri also.
Amit Doshi: And do you see that thing changing on the ground in terms of farmers shifting their sugarcane crop to the maize?
Mithun Chand: It's too early because the plants seem to be commissioned. But down the line, we will definitely grow.

Moderator: Next follow -up question is from the line of Madhur Rathi from Counter Cyclical. Please go ahead.
Madhur Rathi: So I was talking about a news art icle which appeared recen tly, which said that Nuziveedu seeds will double their revenue s in 5 years and they hope to recoup their lost market share in cotto n from 15% now to 30%, and we are also more or less talki ng about the same thing. So I mean, everybo dy cannot take market share because the market is constant. So basically, what edge do we have vis -a-vis the competition? And sir, what has changed in the past 2 years that market share that we have lost in cotton, what gives you confidence now that this w ill get reversed?
Mithun Chand: I may not comment about the other companies about their projections and what they do. But coming back to Kaveri, we are pretty confident about our hybrids. The entire projection base or entire comment what we are doing as of now, it's only on the basis of the hybrids, which are there in th e pipeline. So we are seeing the performance of the pipeline hybrids, we are pretty confident that we can go to those levels.
Madhur Rathi: Okay. And sir, there was like news articles regarding the cotton association telling that the seed production would be 30% to 40% less in this Kharif season. So do you see an impact of that on our seeds?
Mithun Chand: I may not say that 30% to 40% down but this as slightly lower as

compared to last year production, overall cotton is down, down for this
year, but going forward, even I see the same issue for the next year as
well because we see a shortage in the seed.
Madhur Rathi: And sir, what about our production?
Mithun Chand: As of now, we have no t received the entire production, even we will be
also shortage of that seed. But as of now, we are still receiving in this
year, and we are testing the quality of it. Once w e get that report, we'll
let you know. By next quarter end, we'll give a clear pic ture for that. But
as of now, initially, what we say is that even our production got impacted

that we were saying for th

e last 2 quarters, to what extent, that we need
to see.
Madhur Rathi: And sir, do we see some kind of price spike in this year Kharif se ason
as well as the next year when the production will be down?
Mithun Chand: I don't know. Again, it's all again the government need to decide, the
central government need to decide on the pricing. We need to see that.
But definitely production costs and everything has gone up. So in that
view, the price also needs to go up.
Moderator: Next question is from the line of Mohammed Patel from Care Portfolio.
Please go ahead.
Mohammed Patel: Can you give some more qualitative details on the production in the
pipeline, both cotton and non -cotton?
Mithun Chand: So this year, the entire production, both cotton and n on-cotton got
affected . But in non -cotton, we have enough inventory, enough
production, we have planned in different locations. So we are quite
saved wh en compared to industry. But in cotton, as the areas are very
limited, we got affected in cotton production.
To what extent, that only after the next 1 to 2 months, you can get to
know because as we are yet to receive the stock, we need to test for the
quality. Then only we can get to now. But for sure, we have been
impacted. To what extent that I can give in the next 4 or 5 weeks later.
Mohammed Patel: So you are saying that FY '25, the cotton sales could get impacted
because of this?
Mithun Chand: Yes, d efinitely. To what extent, I don't know, but whether we'll have the
same level of production or slightly above or lower 5 to 10% that we
need to see.
Mohammed Patel: Okay. Can you give some more details on the pipeline, both cotton and
non-cotton, based on which we are confident of growing?

Mithun Chand: So we have a very good pipeline in hybrids, both cotton and non -cotton
segment in all the crops, in fact, we have been in different zones, as I
said earlier, we had tested one in Northern India, one in Ce ntral India.
So we see a good performance as of now, and we are pretty confident
about that.
Mohammed Patel: Can you share the number of products in pipeline for cotton and non -
cotton?
Mithun Chand: That's a diffe rent thing because there are n number of pr oducts. So only
one or two will be there. So once we launch officially, we ca n share the
number of products.
Mohammed Patel: Okay. And next question is, how many products have we launched in
FY '24?
Mithun Chand: I just need to take the figures, but across the crops, we might ha d done
like 12 to 14 products approx.
Mohammed Patel: Okay. And how much do we expect on...
Mithun Chand: Just we need to check on that number. Usually, we don't track that
number, how many products because we have got like 8 to 10 c rop
portfolio s. For example, only in vegetables, we have 10 crops. So each

crop will have different hybrids in different segments. So usually, we
don't track that number.
Mohammed Patel: But do w e expect to launch more than 12 to 15 products on an annual basis?
Mithun Chand: that's a minimum number what we test every year. That's just a minimum number of what we do every year. So trac king that number will not give any figures as such.
Mohammed Patel: Okay. So I just wanted to unde rstand out of this 4% growth that we have done in the 9 months, how much of that would have come from the new products?

Mithun Chand: That we have already given in the presentation, each crop has got a different contribution. What we see is a new introduct ion, new products, everything has contributed more and each crop details, we already shared in the presentatio n.
Moderator: Thank you. Next question is from -- next follow -up question is from the line of Sandeep Abhange from LKP Securities. Please go ahead .
Sandeep Abhange: Just had

a follow -up question on the size of the market, like can you give a number in terms of how big is the unorganized market like versus organized one in the seed, hybrid seed market?
Mithun Chand: Overall Indian seed mar ket, we are estimating around Rs. 55,000 cror es to Rs. 6,000 crores, out of which hybrid seed market, most of that is organ ized market, it's like around Rs. 22,000 cores to Rs. 25,000 crores.
Sandeep Abhange: Okay. So almost half of it is organized and half of it is unorganized?
Mithun Chand: Yes. Basically, the unorganized market is there in varietal crops, wherein unorganized is the sense that the farmer reuses his own seed, but basically in the last 15 years, the seed replaceme nt ratio has also gone up to 60 to 65% level from 20% to 25% levels. So they are all moving to the organized market.
Sandeep Abhange: Okay. So what is the seed replacement pattern in the non -cotton portfolio, like across your non -cotton portfolio?
Mithun Chand: No. Only in varieties we tal k about seed replacement ratio, whereas in hybrids, there are 100% seed replacement.
Sandeep Abhange: Okay. And just to understand the hybrid penetration of like you mentioned in hybrid rice, the hybrid penetration is sti ll 6% to 8%. But what is it for no n-cotton portfolio, how is the hybrid penetration in that area?
Mithun Chand: So the rice is also year -on-year increasing but not to the pace as we thought, but r ight now it has reached like 8% to 10% of the overall

portfolio . Whereas in maize, it's almost like 75% to 80% is hybridized. So majority of that is already hybrid. Only area which is not hybridized is rice. That is slowly going up.
And there are different reasons for that because there are different segments in rice, we are yet to get good hybrids which can replace varieties which are high yielded there. But year -on-year, it's changing, and we see a huge potential in rice. And going forward, it will definitely increase.
Moderator: Next follow -up question is from the line of Siddhant Dand from Goodwill Warehousing. Please go ahead.
Siddhant Dand: I just wanted to understand what the worst case scenario that cotton will be affected this year?
Mithun Chand: As I said earlier, it's too early f or us to say. But might be a 5% to 10% plus-minus than t he previous years.
Siddhant Dand: Okay. I just had a question that in case there's a proper disaster or something, do we have insurance over our crop or something like that?
Mithun Chand: We had some but not successfully done here. We don't have insurance

for that.
Siddhant Dand: Okay. Apart from that, the rice, there's some restrictions on rice exports, will they affect the production or sale in the year?
Mithun Chand: I don't think so becaus e what we are doing is hybrid market. So the exports imports, tha t's the government policy, usually that will not impact the acreages as such when we have seen the acre ages in the rice in the last 15 to 20 years, it rem ained stable at that 40 to 44 million hectares.
Siddhant Dand: Okay. Are we present in Basmati over there?
Mithun Chand: Right now, no. but we are working on Basmati also.

Siddhant Dand: Okay. Any potential market size for us in Basmati?
Mithun Chand: Yes. Potential is already there, but usually, we are working on the hybrid, which has got major market s hares like medium slender or something like those type of grains maturity. We are working on those. These are very niche markets, very specialized markets for that. We are doing well, but our main focus is on the mainstream.
Moderator: Next question is fro m the line of Anurag Jain, Individual Investor. Please go ahead.
Anurag Jain: My question is, in the quarter gone by, how has been the performance of mustard seeds?
Mithu

n Chand: Mustard is good. We have tested one hybrid last year. That's still in a trial, trialling stage. It's still in sleeves. Last week, we visited, but it's good, it's doing well. Mustard is a crop which will have a good scope in India, and we are working on hybrid mustard. So definitely that will also contribute going forward.
Anurag Ja in: Okay, sir. And one earlier answer, I wanted to clarify on the R&D expenses, the R&D expenses are around 5% of sales. And you mentioned that you expect this to increase. So at what level do you think this will stabilize; R&D expenses as a percentage of sales, at what level they will stabilize from the current 5%?
Mithun Chand: So it might go up to 8% to 9% going forward, that includes your capital expenditure.
Moderator: Thank you. Next follow -up question is from the line of Dhwanil Desai from Turtle Cap ital. Please go ahead.
Dhwanil Desai: So, my question is, looking at your commentary in the current call and in the past, essentially three things are clear that you will gain market share in the cotton side. And then I think your non -cotton portfolio will grow at 15% to 20%, all put together. So non-cotton has a higher margin. So I'm slightly not sure how to read into that 12% to 15% growth

guidance because if you put this all together, I thi nk it should be higher. So am I missing here?
Mithun Chand: So th at's the guidance what we have given right now . So 12% to 15% is what we see. The next six years, it is almost like 70% to 80% growth.
Dhwanil Desai: Okay. But is it fair to assume that your non -cotton portfolio will grow at 15% to 20% because your export and vegetables will grow at much faster pace?
Mithun Chand: Yes, that's all comes to the non -cotton segment?
Dhwanil Desai: Okay. So by saying that non -cotton as a segment can grow at 15% to 20%, is that a fair assumption?
Mithun Chand: So what we say is t hat overall, as a company, we will g row in between the 12% to 15% growth for the next 5 to 7 years. And the percentage will be like 30% cotton and 70% in the non -cotton, the mix might remain same.
Dhwanil Desai: And I think you guys are at 8% to 9% in the maize and in the hybrid, right, I think you said around 10% market share. And we have been in

both these segment for a long time. So how do we see room to increase our ma rket share from 10% to like 15% to 17%? What are the levers to do that?
Mithun Chand: One th ing the maize market itself is expanding. We may not be necessarily that from the other market share we'll take it. If you s ee in the last 7 to 8 years, it has gone up by 20% to 30%. And as a trend as an industry , what we see, they give a growth rate of 7% to 10% for the next 20 years for the seed industry. So we'll grow in that respect as a company as we are there in money crops. We are adding new portfolios, which aims between the 12% to 15% growth for us . And by seeing the pipeline hybrids and wher ever what we have done in the last 5 to 7 years, we're pretty confident that we will reach the position what we are at this now.

Moderator: Thank you. Next question is from the line of Manish Shah, Individual Investor.
Manish Shah: Sir, our seed business, cotton seed business might be affected due to lack of production. You told that it should be minus 5% to 10% bu t it should be maximum minus 5% to 10% or it can go more, sir?
Mithun Chand: As of now it looks like that. As I said earlier, it may take like ot her 3 to 4 weeks. But as of now initial like 5% to 10%.
Manish Shah: So 5% to 10%, I think it's th e normal. I think every year 5% to 10%, even the acreage is also dropping by 2% to 3%. So I think 5% to 10% should not be an issue
Mithun Chand: Usually we ma intain inventory. This time based on that i

nventory and everything, we are getting short of it. But I tell, it's too early for me to say, but as a guidance, I'm just saying, but I will get to know only after 3 to 4 weeks later.
Manish Shah: But sir, if the production itself is affected in the whole industry, then the acreage should also get affected and farmers will go for other crops. So what do you think the other crop should be?
Mithun Chand: Usually, in the inventory, as an industry, they have 15% to 25 % more inventory than required. So the acreages what it was laid, it may remain same or slightly come down by later. But this time, for a good quality seed, there will be shortage. I mean to say that my hybrid is in demand. I may not be having those hybrid seed, but a different hybrid seed will do.
Manish Shah: So do you think the price should go up then?
Mithun Chand: I said it's a government controlled thing. And it being an election year, I'm not particularly sure how much will it go up.
Manish Shah: Sir, what are the other products which we are going for in this Kharif season? Othe r big launches?

Mithun Chand: So basically, we are there in rice, maize and other crops. So all other crops will do well. We don't have any issue with the inventory.
Manish Shah: And sir, one thing I wanted to ask you is that the cash on book size has dropped from quarter -on-quarter. What is the reason, sir?
Mithun Chand: What was that on September?
Manish Shah: Yes, it was from Rs. 787 crore. Now has come to Rs. 587 crores.
Mithun Chand: We may have done some investments. I mean, we have made some farmer payments, production cost, inventory we will be receiving it, the payments we have made.
Manish Shah: So you are building up inventories?
Mithun Chand: Yes. This is the time we pay for the inventory.
Manish Shah: Sir, what are the other new products which will be targeting in this Kharif season like new hybrids or something other new products, special products or something like that?
Mithun Chand: No, all whatever products we launch will be in those hybrids in those

crops where we are dealing with. As I said, like rice, maize, cotton and
vegetables are the major crops where we focus on and that there, the
launches will be also there in these crops.
Manish Shah: And sir, one mor e question about the consolidated employee cost, which
has gone up by 30%. It should be because of some temporary hiring or
something like that or what?
Mithun Chand: No, we have had many people in R&D. We have increased the same to
close to 200 now. And w e have appointed many people across in all
locations. So that's the main cost for us.
Manish Shah: So that would be a permanent cost now?
Mithun Chand: Yes, That will go up.

Manish Shah: So what is the reason for hiring -- are you very hopeful of the next year?
Or what is the reason?
Mithun Chand: This is a continuous activity, we have developed many hybrids. We are
marketing in to areas as of now. That's the reason the headcount and the
salaries year -on-year, both are going up.
Manish Shah: So we a re pret ty confident that next 2 to 3 years will be very good?
Mithun Chand: We are pretty confident abo ut our business, not for just 2 to 3 years, on
a long -term basis, also, we are very confident, bullish on business.
Moderator: Next question is from the line of Udhayaprakash from Value Research.
Please go ahead.
Udhayaprakash: Yes. Sir, I just want to ask if you could elaborate between what is the
difference between the selection rice and hybrid rice. And what is the
margin prof ile? Is it same or are they different?
Mithun Chand: Hybrids are nothing but where two different parents are involved.
Selection rice is like the varieties. That's it. But these are the varieties
which are developed by o

ur own company , that is the reason t hey are
called the selection rice.
Udhayaprakash: And the margin profile for both, is it same or is it different, sir?
Mithun Chand: Hybrid rice has got a slightly higher margin.
Udhayaprakash: Sir, the last con call, you had stated that we focus more on v egetables
not just because of the margin but also because it is not as seasonal as
other crops. And also the use cases in most states as compared to oth er
crops. So do we have to special focus for the supply chain in order for
the growth to territory of th e seeds or what are we trying to do there on
a supply chain front for vegetable seeds?
Mithun Chand: So we have a separate division for vegetables even though that is part of
Kaveri. It's 100% part of Kaveri, but we run it as a separate division
because as I said, it's a year -long crop. The payment, the collection, the

crop cycles are ent irely different. That's the reason we have set up a ne w
team for that for the last 6 to 7 years. That's how they are running the
business that operates independently.
Udhay aprakash: Okay. So my next question is also in the last few years, hybrid rice and
selection rice have been the growth driver for us and since after 2015
the focus on cost then started shrinking. So do you believe that rice will
be the g rowth driver going forward or do we have identified any specific
growth driver or all the crops that you're focusing on, we are betting on
them for future growth?
Mithun Chand: So we, as a company, we are there in many crops and all crops are
important for us. But based on the conditions like acreages and
conditions, these are the 3 main crops; cotton, maize, rice and all
vegetables including. These are the 4 main crops, which we need to
focus on. And majority of the growth will also come from this because
the other crops ar e also there like mustard, like pearl millet, Sorghum,
Sunflower. But the overall size, overall size of the market to the entire

seed market is very low. Even though we are big in that, we cannot make
a big impact in terms of the revenue. But these are the 4 crops where we
have the growth and which should contribute to the ma jor revenues.
Saying that, we do not regress those crops also, we are working on those
crops also.
Udhayaprakash: And so sir, is it safe to assume that whatever R&D that we are going to
do going forward in 3 to 4 years, it is for 3 to 4 crops, it appears. Is it
safe to assume that?
Mithun Chand: So we are doing R&D in many crops. But as I said, as these 4 crops are
contributing to 80% to 85% of our sales, even the R&D spend will be
80% to 85% on these crops only.
Udhayaprakash: Okay. And finally, my question is on exports. Can you give the revenue
contribution to export on a 9 -month basis? And what has been the year -
on-year growth?

Mithun Chand: So overall, the growth is like 140% like o r so. The production, the
overall expo rt for the 9 months is Rs. 40 to Rs. 45 crore. But I think we
have given in the slide in the presentation also , but for the entire year, it
should be around the Rs. 60 odd crores, it will be like 4% to 5%.
Udhayaprakas h: Okay. And finally, you've answered this enough, but it's hope that
interpreted the idea. So in 2015, let's say, till TDM basis, our revenue
has been around the same level, and that is mostly because of the
contribution of cotton has fallen over the year s. But on the other crops
also, we had to start almost from scratch and only now let's say, we have
a very established trends on all the crops. So can we say that this
stagnation won't persist going forward now given that we have good
presence in all the s egments?
Mithun Chand: So as I said that like more than 70% was contributed by cotton in 2014,
'15. Fro m there

now 65% to 70% of the total volumes or the total revenue
is contributed to noncotton crops. Even in non -cotton crops, we are
having portfolios li ke rice, which was very low earlier, then vegetables
which also we have added. So in that way, we are focusing on more
crops and we are increasing revenue in most of the crops where we are
operating.
Cotton is the only product where we have lost our sales and revenue and
margins. Even in these tough conditions, we were able to maintain the
entire marg ins. I f you go back to those levels, the EBITDA margin was
around 30 odd percent. Now also with very low margins in the cotton,
we are able to maintain the 27 % to 30% EBITDA. And if you see the
R&D spend or if you see the infrastructur e and the head count what we
have now as compare d to 2014 and 20 15, it is pretty high now. I have
rightly said that employee costs sits at double or triple as compared to
those le vels.
So what we see as we are adding more crops, we see good years going
forward. And whatever we had spent in the last 5 to 7 years that will
convert to revenue in the next 5 to 10 years.

Udhayaprakash: Okay sir. Thank you. That's it from my side.
Moder ator: Thank you very much. As there are no further questions, I thank all the
participants for joining the call. For further information, please be in
touch with Rama Naidu from Intellect IR on 992 -020-9623. On behalf
of Kaveri Seed Company Limited, that c oncludes this conference.
Thank you for joining us. You may now disconnect your lines.

Call: May 2024

27th May 2024

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir/ Madam,
Sub: Transcript – Kaveri Seed Q4 & FY 2023-24 Results Conference Call on
Thursday, 23rd May, 2024 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find attached herewith Transcript of Kaveri Seed Company Limited Q4 & FY 2023-24 Results Conference Call made on Thursday, 23rd May, 2024.

The transcript and audio is uploaded on the Company's website as well on below link:

https://www.kaveriseeds.in/wp-content/uploads/2024/05/EarningCallTranscript_23052024.pdf

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

"Kaveri Seed Company Limited
Q4 FY'24 Earnings Conference Call"
May 23, 2024

MANAGEMENT : MR. MITHUN CHAND –EXECUTIVE DIRECTOR –
KAVERI SEED COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed Company's Q4 and FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Please note that this conference call will be recorded. Joining us today on this call is Mr. Mithun Chand, Executive Director.
Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation.

I would now like to hand the conference over to Mr. Mithun Chand.
Over to you, sir.
Mithun Chand: Thank you. Good evening, and welcome, everyone, to our quarter 4 and FY '24 Earnings Conference Call. We hope you had a chance to review the presentation of our results, which is also available on the website. I will touch upon the operational and financial performance of the company and then open the floor for the question-and-answer session.
Financial highlights for financial year '24. Revenues from operations were at Rs. 80.54 crores as compared to Rs, 60.64 crores in Q4FY23, grown by 32.82%. EBITDA was Rs. 15.5 crores as compared to (Rs. 6.73) crore last year, registered a growth of 3.32 times. Net profit was at Rs. 2.79 crore as compared to a loss of (Rs.13.89) crores, in Q4FY23, grown by 1.2 times.
Cash on the books stands at Rs. 443 crores in FY24 as against Rs. 538 crore in FY23. Revenue from operations were at Rs. 1,062.43 crore as compared to Rs. 1,000.56 crore in FY23, grown by 6.18%. EBITDA was at Rs. 336.63 crore as compared to Rs. 296.94 crore in FY23, grown by 13.37%. Net profit was at Rs. 293 crores as compared to Rs.267.04 crores, registered a growth of 9.72%.

I'll just highlight some of the major highlights. Witnessed an increased trend of vegetable segments doing well on both volume and revenue trend on account of increasing share of new variants launched during the year. The volume increase in vegetable crops have resulted in good realizations. Other segments with cotton, hybrid rice and selection rice realizations were higher due to demand for these seeds segments and price increases.
Our efforts in the last three years in capturing the market shares in above outlined segments is really paying off. To fast-track company's growth in international markets recently incorporated subsidiary in Bangladesh. Exports are showing good traction and expected to be sizable business. In our endeavour to reward our shareholders, the company had done a buyback of 44.83 lakh shares at Rs. 725 per share announcing amounting to Rs. 325 crore.
Some of the operational highlights. Cotton volumes were stable, but revenue increased by 3.37%. Selection rice volumes are stable but revenue increased by 10.43%. Maize revenue increased by 2.79%. The contribution of new products was up from 33.87% to 47.96% of the total volumes in maize crop. Vegetable seed sales volume increased by 19.79% and revenue increased by 23.69% as compared to last year. Vegetable crops like bitter gourd, tomato, okra and watermelon had shown good performance this year. Exports increased by 250% as compared to last year.
Now I would like to open the floor for question-and-answer session.
Moderator: Thank you very much. The first question is from the line of Nitin Awasthi from InCred Equities. Please go ahead.
Nitin Awasthi: I had a few questions, one regarding the Bangladesh market and remaining related to core products in India. I'll start with the Bangladesh market questions. Sir, I just want to understand that cotton in Bangladesh, the BT, if I'm correct, has been approved. Is that correct? Or is it still at an approval stag

e?

Mithun Chand: I think they are approved, but as far as the license agreement, we can't export to any other country apart from India. We need to sell only in India. So we are not doing any cotton sales in Bangladesh as such.
Nitin Awasthi: Okay. There are universities which have tied up with companies and

they have developed traits of Bt. Can you do something like that and export to Bangladesh or you have to do that with the university or any organization in Bangladesh?

Mithun Chand: So basically, as of now, we are not looking for cotton as such in the present couple of years, but Bangladesh market is growing big. And we were doing a business from India. We are willing to add distributors and they were selling. So we want to pick up our own brand, develop our own brand and research there. So that's the reason we have set up a subsidiary company. So it may take two to three years to get the entire base and first, we will do marketing, then we will start research there.

Nitin Awasthi: Okay. Understood. So basically, the business as of now is just export and people can brand in their own brand and sell it in Bangladesh. The move is within two to three years to convert that into your own brand owned products?

Mithun Chand: Yes.

Nitin Awasthi: Okay. Understood. And cotton market as of now, we are not entering in Bangladesh?

Mithun Chand: Yes.

Nitin Awasthi: Okay. That is the question for the Bangladesh market. Secondly, on the Indian products, cotton market, this year, I think government has not given a very big hike in the approved increase in sale price, it's about Rs. 10 per packet. However, what I have observed is last year's massive hike of around Rs. 40 per packet was not completely gained by the company. So what are we thinking right now that we will be

able to gain that both of these combined from Rs 810 to Rs.864, if I'm not wrong, where the rates have been changed to, can we still try and get around Rs. 30 or Rs. 25 of this increase?

Mithun Chand: We can definitely realize more than last year based on each individual company regarding the realization. But one thing we need to observe this year, the cotton production costs have also gone up. So a significant hike is there in the production costs as compared to previous year, the Rs. 60, Rs. 70 is more than a packet. We incur more than Rs. 60, Rs.70 per packet. But whatever we try to realize from the market, definitely we will realize more than what we had realized last year.

Nitin Awasthi: Okay. So basically, yes, there is an opportunity to gain more from the customer; however production cost is strongly be high if you are giving that rate. I don't think so that increases ever happened before in production cost?

Mithun Chand: Yes.

Nitin Awasthi: Okay. Understood. Sir, secondly, about the second product, which I want to discuss about a little was about maize. There has been massive campaign from the government side and other agencies to start maize farming in a very big way. And for the first time, we have seen prices stabilize much above MSP and stay there for some time, which is giving comfort to farmers to shift all across India to maize. Are we seeing growth in our segment, are we seeing growth in our demand for our maize seed products?

Mithun Chand: Definitely. Going forward, maize is a very good crop by even government has initiated ethanol plants. So as of now the estimate is like more than 33% of the total production will be utilized by ethanol when it is fully commissioned.

So definitely, there will be more pressure to produce maize. And as a crop now with the stable prices and these are not above the MSPs so it

is much lucrative for the farmer. So definitely as a long-term crop, not only for this year, definit

ely the maize acreages will slightly grow up.
And the longer term view also maize is a crop, which will definitely
gain market growth.
Nitin Awasthi: As of today, in the market, what is our market share in the maize seed
market? And what would be our ranking?
Mithun Chand: As of now in the markets, we are like close to 7% to 8% market share
as of now.
Nitin Awasthi: Okay. And that would conclude us at which rank?
Mithun Chand: We are in the top 5 players.
Nitin Awasthi: Top 5. Okay. Understood.
Moderator: The next question is from the line of Sanjeev Zarbade from
Dreamladder Investment Advisor. Please go ahead.
Sanjeev Zarbade: Yes, sir. Congratulations on a good set of numbers. Sir, I just wanted
to understand your vision regarding the vegetable business and what
kind of market size and the business can command in the medium
term?
Mithun Chand: Vegetable market is a very interesting market in India. It's growing at
much faster than any other crop. Major component in vegetables are
chilly, okra, tomatoes and gourds. So these are the crops where we are
concentrating much. And in the recent, we have developed good
hybrids and even that has given a good performance in the markets.
Our production is also stabilizing now in terms of doing that. So we
see a very good growth in vegetables going forward. As of now, we are
a very small base, but a decent base when compared to vegetable crop,
we are to close to that Rs. 55 to Rs. 60 crore mark. Definitely, we see a
good growth in vegetable segment, at least 20% growth going forward
year-on-year.

Moderator: The next question is from the line of Guneet Singh from Counter
Cyclical PMS.
Guneet Singh: Sir, in the balance sheet, we see that other current liabilities have gone
up from around Rs. 400 crore to Rs 510 crore year-on-year. So what I
would like to understand how much of this is the advances from
customers?
Mithun Chand: I just need to check the exact number, it should be close to like Rs. 160
crores to Rs. 180 crores.
Guneet Singh: All right. Rs. 160 crores to Rs. 180 crores. And we are two months in
to Q1, right, currently, and this is reported for us. So what kind of
demand uptake are we looking at currently based on the current
scenario?
Mithun Chand: We see good demand for across all the crops, but the main constraint is
in cotton. We don't have enough production for cotton for this year.
That's the only crop where we are seeing a bit of difficulty. Whereas
other crops, the demand is also good, and we have enough production
for that. So we see good growth coming in other crops leaving cotton.
Guneet Singh: All right, sir. So in terms of cotton, I mean do we expect to maintain
the volumes of last year? Or do we see a degrowth?
Mithun Chand: As of now, we see a slight degrowth in that because we don't have
exact inventory. We have done 52 to 53 lakh packets in cotton last
year. So we have inventory close to 47 or 49 lakhs. I don't know the
exact number, something close to that. So we'll be down by 4% to 5%
as compared to previous year.
Guneet Singh: All right, sir. And sir, I mean, what would be the main reason for this?
We also heard some news of shortage of supply in cotton seeds. So has
that impacted the company?
Mithun Chand: Yes, it's across the industry, we see a shortage across the industry. It's
not only for Kaveri. We had a very bad year in terms of the production.

So entire production got affected, it was India. And there was pests
infected and different types of difficulty in producing. That's the reason
the production is down and the production cost has also gone up. So
these are the two impacts of that. Not only in cotton, in other crops also
this immense pressure on the production and most of the industry says
that this shortage of most popular hybrids. But in some other crops, w

e
try to manage it, but in cotton, we are not able to do that.
Guneet Singh: All right, sir. Would we be able to maintain the EBITDA margins of
last year in cotton?
Mithun Chand: Slightly down as compared to previous year because as I said that we
might realize more in the market as compared to previous year, a
couple of rupees having the increase in the price but the production
cost has also gone up. So there's a slight impact on the EBITDA
margin. But what we see is that, might be compensated with the other
crops where we see good growth in other crops. And the cotton is only
30% of our total sale now. The other 70% will see a growth. So we
have to be confident that we'll grow across on overall consolidated
basis.
Guneet Singh: Right sir. And how do we look at the demand for non-cotton segments,
specifically the rice segment, hybrid and selection rice?
Mithun Chand: And the other main crops like maize, rice and what we call it selection
rice, even that is also rice. We see good demand in these crops, and we
see double-digit growth in these crops.
Guneet Singh: All right, sir. And in terms of realizations for the non-cotton segment,
how are they currently? And what that margin should we expect from
the non-cotton segment. Do we see any improvement?
Mithun Chand: It should be in line with this year. Even though the production costs are
up in those crops, we'll be able to pass it on to the farmer. So we don't
see any pressure on the non-cotton segment.

Guneet Singh: All right, sir. And on a consolidated basis, what kind of volume growth
or degrowth are you looking at in FY '25?
Mithun Chand: If you see like non-cotton segment, volume growth is more than 10%
across.
Moderator: The next question is from the line of Madhur Rathi from Counter
Cyclical PMS.
Madhur Rathi: Sir, I'm trying to understand that according to news reports, the cotton
seed production is down something like 25%. So firstly, I wanted to
get your view on that, whether the shortage is actually 25% or
thereabout? And sir, if so, then since we are expecting something like
5% volume degrowth in cotton, do you think it can be set off by higher
realization in cotton seeds? And sir, also, what was our realization for
cotton seeds last year and what is it now?
Mithun Chand: So I think you missed the first question. I've already answered this.
The realization will be slightly higher than last year, but the production
costs have gone up. So that will compensate what we try to realize
from the market. In fact, there will be some sort of a negative, I mean
to say, we may not be able to maintain last year EBITDA margin
because the production cost has significantly gone up. Even though we
realize more from the market, since we'll have some dent on that.
Madhur Rathi: So on an overall basis, in your best judgment for FY '25, sir, you think
we can reach around Rs. 300 crores EBITDA that we are doing since
last many years, or you expect a fall?
Mithun Chand: So if you see the overall percentage of cotton, cotton is only 30% of
our total sales as of now, close to 30%. But we see a good growth in
the other 70%. So definitely, we see good year coming. And in terms
of what you say EBITDA, definitely, this will be higher than what it is
now.
Moderator: The next question is from the line of Rohan Patel from Turtle Capital.

Rohan Patel: Sir, as of now, what is about cotton market share?
Mithun Chand: We have like 12% to 13% of the total market.
Rohan Patel: And if you see over the period of time, we have lost our market share considerably, like it's half of what we used to be having before, some years ago. So who have we lost our market share to? Is it unorganized players or organized players? What has happened over there? Can you just elaborate it?
Mithun Chand: So I'll just try to correct, we

were never at 25% market share. We were at a market share of like 17% to 18% at peak. Then the cotton market size were also up to significant like 5 to 5.5 crore packets. Now the market size itself is 4.5 crores. The cotton market has declined, and we have lost market share, especially in Andhra where we had more than 40% market share that has come down.
And then cotton was shaken by all other players. And basically, there are one or two companies which have taken the majority of market share.
Rohan Patel: Okay. And are we trying any initiatives to recoup that going back to 17% on pan-India basis?
Mithun Chand: Definitely, because we have introduced many hybrids and still there are some more pipeline headwinds. So we are pretty confident going to that market shares in the coming years. They are very promising hybrids, some are already tested and launched in the market that we are going to see the sale in the next coming 2 to 3 years for that.
Rohan Patel: So it will take us 2 to 3 years?
Mithun Chand: I mean to say, this is the real growth towards that path, you will see in the next 2 to 3 years.
Rohan Patel: Okay. And as of now, what is the share of new products in cotton?

Mithun Chand: This year, it's less because we were not able to produce the cotton. As I said that there was a tough condition in terms of production. If you see the major markets again with Moneymaker, Jaadoo, and ATM, these are 3 main products which are contributing more. But going forward, there will be other products which will be having a size in total contribution.
Rohan Patel: Okay. And what was the packet sold in 2024 or for the quarter?
Mithun Chand: That is already given in the presentation, it's around 51 to 52 lakh packets. The exact number is there in the presentation.
Moderator: The next question is from the line of Sandeep Abhange LKP Securities Limited.
Krushi Parekh: I just want clarity. So you mentioned that the advance from customers in the other current liabilities is, what's the number this year?
Mithun Chand: It's between Rs. 160 crores to Rs. 180 crores.
Krushi Parekh: Rs.160 crores to Rs.180 crores?
Mithun Chand: I will just find out the exact number, but it will be Rs. 160 crores to Rs. 180 crores. It's as of March 31, we need to see the exact number.
Krushi Parekh: Because I think last year, it was somewhere around Rs. 270-odd crores, if I'm not wrong?
Mithun Chand: Last time also, it's in the same number. Usually, it's in and around the Rs. 200 crores mark.
Krushi Parekh: Okay. So around Rs. 160 crores to Rs. 180 crores is what you're suggesting at. Okay. And second thing, we again got this income tax notice some month back or so. How different is the demand this time versus what we had received in some of the prior years. And I'm sure we are confident on the agricultural income portion of it. But how different it is versus the earlier claims that the department has made?

Mithun Chand: On the same lines. If you see the previous year and a couple of years back, we had another demand. In the same line, the demand was raised this year, but nothing is admitted. Now the case is one of the cases in the commissioner of Appellate, nothing has gone through, it is still at the initial stages.
Krushi Parekh: Okay. Okay. But, so nothing different right
Mithun Chand: Nothing different. It was all done on the same lines.
Moderator: The next question is from the line of Yogesh Mittal, an Individual Investor.
Yogesh Mittal: I have a question about the vegetable seeds that I know that the company has multiple vegetable seeds as the offering. Out of these, which seeds are companies own development by the R&D and which are from like outside like the license or something like that?
Mithun Chand: More than 90% of the revenues are our own seeds. There are some seeds like cabbage and cauliflower that we import. But otherwise, it's all our own seeds.
Yogesh Mittal: Okay, sir. Sir, one thing more, last year, what have been invested in R&D expenses, both capex and opex, FY '23 to '24?
Mithun Chand: For the FY '23, the R&D expenditure was Rs. 45 crores to Rs. 47 crores. For FY '24, it was around Rs.57 odd crores.
The majority of that is in the recurring expenses.
Yogesh Mittal: Majority in recurring. Okay.
Moderator: The next question is from the line of Anurag Jain, an Individual Investor.
Anurag Jain: I just wanted to clarify on the advance from customers. Sorry for repeating this question. See, earlier last year, the balance sheet shows that the advance from customers was Rs. 276 crores. So if this year, it

is between Rs.160 crores to Rs.180 crores, is there a change in strategy by the company?
Mithun Chand: Nothing, because I just need to check the exact number on 31st March. But what we are seeing as compared to the last year, the advances are in line or slightly better than last year because we don't have cotton seed. We have got huge advances for cotton. Anyhow, I will come back on this on exact number.
Anurag Jain: Okay, sir. My second question is, sir, this is coming from the consolidated cash flow statement. The consolidated cash flow statement shows that for FY '24 and FY '23 combined the company has spent for property, plant and equipment almost Rs. 208 crores. Rs. 99 crores in one year and another Rs. 108 crores in FY '23. So I wanted to understand what is this capital expenditure of Rs. 208 crores on and by when the benefit for these would be available?
Mithun Chand: So there are a couple of things. One is the new office, which we are constructing, that we will move into next 1 or 2 months. The other thing is all about the plant. We have set up plants and cold storage in the last couple of years. So that the main capex what we have done. All the plants and most of the plants are already commissioned. From this year, we are already using it.
Anurag Jain: Okay. And Sir, the cold storage would be operational by when?
Mithun Chand: Even the cold storage is also operational.
Anurag Jain: Okay. And sir, one more question, in the fourth quarter, the other segment has witnessed sales of Rs. 31.5 crores. This was a significant contribution in the fourth quarter.
Mithun Chand: Sorry, can you please. I have missed it?
Anurag Jain: I will repeat, sir. In the fourth quarter of the previous year of FY '24 the other segment, basically, if I take the total sales of the company and remove the sales for cotton, rice, selection rice, hybrid rice and

maize then what is left is basically the others. So if I take the others,
the sales contribution products has been Rs. 31.5 crores in Q4, which
last year Q4 was around Rs. 5.5 crores.
Mithun Chand: Basically that is export business, which have come in from, that is sunflower.
Anurag Jain: Sunflower and exports business.
Mithun Chand: For exports, we have done for sunflower. Majority of that was in the fourth quarter.
Moderator: The next question is from the line of Sidhant Dand from Goodwill.
Sidhant Dand: My question on a broad basis, what does the industry need to do or the government needs to do to encourage in the cotton sales production or
harvest to go back to the previous time that we saw a decade ago?
Mithun Chand: One thing, you're talking about the price or in terms of the area?
Sidhant Dand: Area.
Mithun Chand: Area that the government I don't think will act on the area because that all depends on the demand and supply.
Sidhant Dand: Demand and supply.
Mithun Chand: Yes, demand is low. But the price is good. So I don't see areas going down from here. If there's a real demand, the area will go up. But the
one thing what we need to obser

ve in cotton is that there are new
technologies which are waiting for the approval, that's one thing which
will increase the value. And the other thing is that in terms of the close
plantation, high-density population that is also coming in, wherein the
volume will go up. The area might remain the same, but the volume
will go up by 2 to 3 times. So these are the things which are awaiting,
yes.
Sidhant Dand: Is there any timeline or something

Mithun Chand: Nothing. No timelines. I think the new technology will come at any time. Most of the approvals have already done. That's most probably in
the next 6 months, right? Hopefully, that should be done if nothing
goes wrong.
Sidhant Dand: Okay, but you are not like 3 to 5 years.
Mithun Chand: Yes. And the other thing, evenly for the closed plantation, it's in very advanced stages. If you get the right product, definitely, it will also
move in. So in the next 3 to 5 years, these are 2 things which are
coming up. That will definitely increase the volumes of the cotton
market irrespective of the area.
Sidhant Dand: Okay. Understood. And secondly, is there any update around new genetically modified sales possible? Or is it still a long time to go?
Mithun Chand: That's what I said. Most of the approvals have already done for
Sidhant Dand: No. I am asking for non-cotton.
Mithun Chand: Noncotton, its most of the crops are under trial. I think even when compared to a couple of years back, now we are on a very positive
side, even that might be approved. That's my personal feeling. Nothing
to add.
Moderator: Thank you for joining the call. For any other information, please be in touch with Mr. Rama Naidu from Intellect IR on 992-020-9623. On
behalf of Kaveri Seed Company Limited, that concludes this
conference. Thank you for joining us. You may now disconnect your
lines. Thank you.

Call: Aug 2024

16th August 2024

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
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This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

"Kaveri Seed Company Limited Q1 FY25 Earnings
Conference Call"

August 13, 2024

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR,
KAVERI SEED COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed Company's Q1 FY '25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation.
I now hand the conference over to Mr. Mithun Chand - Executive Director. Thank you, and over to you, sir.
Mithun Chand: Thank you. Good afternoon and welcome everyone to our Quarter 1 Financial Year '25 Earnings Conference Call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I would touch upon the operational financial performance of the Company and then open the floor for a question-and-answer session.
The Company is very bullish on both Maize and Rice and expect both volumes and realizations to go up in the years to come. Increase in volumes in both Maize and Rice have resulted in good growth rates in revenues. The sowing area of Maize and Rice had increased across several states by 10% and 5.28% respectively as compared to last year.

Company is able to successfully pass on the incremental cost of cultivation and are able to maintain our margins.
Exports during the quarter have been very encouraging and would continue to do well in the coming years to come. The contribution of new products have substantially increased in both Maize and Bajra. Cotton volumes and revenues were down by 35% and 27% respectively.
Standalone financial highlights:
Revenue from operations was at Rs. 808.08 crore as compared to Rs. 767.37 crore in Q1FY24, registered a growth of 5.32%. EBITDA was at 292.29 crore as compared to Rs. 279.09 crore in Q1FY 24, an increase by 4.91%. Net profit was at Rs. 282.91 crore as compared to Rs. 267.84 crore, registered a growth of 5.63%. The cash on books stands at 605 crores.
Hybrid rice volumes increased by 10% and revenues increased by 17%. Selection Rice volumes increased by 15% and revenues increased by 27%. Maize volumes increased by 97% and revenues increased by 80%. The Contribution of new products was up from 67.67% to 75.79% of volumes in Bajra. The Contribution of new products was up from 40% to 52% of volumes in Maize crop. Cotton volumes as well as revenue decreased by 35% and 27% respectively.
Vegetable Crops like Beet root, Tomato, Ridge guard, Sponge Guard and Marigold have been performed well. Export business sales is increased by 451.73% compared to last year quarter 1.
I will now open the floor for question-and-answer session.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Siddhant from Goodwill.
Please go ahead.
Siddhant: You know, last quarter you had guided for a 4 to 5% volume fall in cotton, if I am not wrong. And volumes have fallen drastically by 35%.
And what would your guidance be for a year or an approximate one?
And what has caused this huge 35% fall?
Mithun Chand: When we started last year, we thought that the cotton acreage would go

up this year, and we thought that the supply will be lower this year. But when we see this year, the acreages were down by 10% across the country. And there was more steep fall in the states of northern India where we were very strong. And there was some issue with pr

oduction
also where the hybrids which were in demand was in shortage for us. And there was a huge supply in the market. And as we want to retain our realizations, we are compromising volumes as well. So, that is the major impact which we have seen this year.
Siddhant: Will we be able to catch up some of our cotton sales in the upcoming quarters, or is it?
Mithun Chand: Majority of the sale is already done for this year. I don't think the cotton acreage, cotton sales will happen in the next coming quarters. But this is the sale what we anticipate, and this will remain as it is.
Moderator: Thank you. Next question is from the line of Rishi Kothari from Pi Square Investments. Please go ahead.
Rishi Kothari: Sir, this is the first time I am attending the Kaveri Seed's Con Call. So, while going through the financials, what I saw is that on a quarterly basis, the June quarter is one of the quarters that posts the highest sales

among all other quarters. So, what exactly is it because of the crop that we grow or if at all that is the reason? Is there any other possibility of changing the dynamics from a full year rather than a seasonal revenue posting for us?
Mithun Chand: We are in a business where it is very much seasonal because we get the monsoon in the month of June-July and the majority of the crop comes after the monsoon. Especially, for example, if you take cotton, cotton only comes in the month of May, June and July. So, we will be in line with the season, but if you see our portfolio, we have one of the largest portfolio with a good mix of crops. And going forward, I think this will remain the same, but the percentage is slightly changed going forward. But definitely, first quarter will be the major quarter for us.
Rishi Kothari: But eventually, let's say, 2-3 years down the line, what are the revenue targets do we have in terms of the growth targets? Do we have anything on our mind internally that we have decided?
Mithun Chand: So, we anticipated a growth of 10% in terms of the top line and 15%-20% in the bottom line. We gave that guidance, but this year, unfortunately, we couldn't do well in the cotton crop because the crop has come down and for various reasons might be there because of the pest attack or otherwise the returns on the crop were lower this year. But otherwise, if you see the other way, we have managed in spite of cotton being more than 35% of our portfolio where we have lost 35% of the revenue, in spite of that downfall in the revenues, we were able to manage by growing in other segments, especially like maize and rice, wherein maize has grown by more than 75% and rice has grown by more than 25%.

So, that gives us a better edge than other companies where we have a good mix, and we can compensate revenue loss in other crops. But going forward, even we are bullish on cotton. As I said that sometimes based on the seasonality and the price of the commodity, it varies, but I don't see a threat on the long-term business as there will be a year or two where we see this type of unexpected thing, but we should take a compounded way, 10%-12% revenue growth and 15%-20% of the bottom line is quite possible.
Rishi Kothari: For how many years are we experiencing, for 2-3 years or any?
Mithun Chand: No, going forward, I am taking about 5-10 years' view.
Rishi Kothari: 5 to 10 years view, okay. And in terms of the cotton prices that you said, right now, I read the report that cotton prices recently have increased like on an average of 4 to 5%. So, is that beneficial to us or is

it a harmful thing for us as a Company?
Mithun Chand: It is a beneficial thing for us. If the prices go up, that gives more revenue for the farmer. But the other way is that even our production costs have gone up and we were not able to reduce

the cost of
production, and we were not able to pass it on to the farmer because it is controlled by government and that is one of the reason where we have lost the sales.
Rishi Kothari: So, we have in a way absorbed the cost of production that has increased for us and not passed on to the farmers. So, that is in a way capped our margins in a way.
Mithun Chand: Yes, exactly.
Rishi Kothari: And in terms of the CAPEX, what are we targeting for next year, FY '25?

Mithun Chand: So, CAPEX is a continuous thing as we are increasing volumes in other crops, we require new plants and facilities to process the seed. And the other thing is that we are spending a lot in R&D. So, as we have said earlier also, Rs. 40 to 50 crores is what we spend on a year-on-year basis for the CAPEX. That should be more than sufficient for us.
Moderator: Thank you. Next question is from the line of Jahnavi from Aequitas Investments. Please go ahead.
Jahnavi: My question is on the lines of the announcement on 109 seeds during elections by PM Modi. So, in a few articles, I read that these seeds also include a few rice and cotton seeds. So, could you help with out of 109 seeds, how many seeds can we end up benefiting from and what sort of size of opportunity are we looking at in case of approvals?
Mithun Chand: So, basically those seeds are released by the government. We need to see the performance of those seeds. But anyhow, we are not accessing those seeds. We have our own in-house R&D where we breed for it, and we sell in the market. So, we don't use those seeds. But the other way, we have ties with the universities where we source the main, we have access to their Germplasm, and we have ties with all the government bodies and international institutes where we take the access to the Germplasm in using or in developing hybrid seeds for us.
Jahnavi: But however, even if the performance for some of these seeds comes out really well, we would not end up using these seeds or not end up benefiting from this at all.
Mithun Chand: No, as of now because we have our own research, and we need to see that. But we have many hybrids which we need to see the performance

of that. This is the first year where they are launching it. We can only comment after seeing the results of that.
Moderator: Thank you. Next question is from the line of Sanjeev Zarbade from Dream Ladder Advisors. Please go ahead.
Sanjeev Zarbade: Can you give me a sense of the demand outlook for the future over the medium term?
Mithun Chand: If you see the crop where we are dealing with, we are mainly with rice, cotton and maize. These are the three big crops. Apart from these, we are into vegetables, Bajras and all other crops.
But if you see the top four crops like maize, rice, vegetables and cotton, we see a good growth in most of the crops because the maize area is increasing year-on-year. As the government has initiated for the ethanol projects, that will give a good way for maize.
And in rice, the hybridization percentage is going up. That's a good sign for us to increase the market shades of hybrid rice and we are a part of it.
And apart from that, cotton, if you see year-on-year, it's coming down. But definitely cotton has acreage in the medium term, three-to-five-

year view, definitely that should go up. And vegetables as a segment is increasing at more than 15% year-on-year. So, we are there in most of the segments.
Apart from that, we are there in niche markets like mustard and bajra. So, these are also doing well including sunflower. So, we see a good growth in most of the crops and we are not worried about the cropping pattern as such as we are a well-diversified portfolio and in most of the

crops we are in

the top 3. So, we will definitely get advantage of that.
We see good growth in the coming years.
Sanjeev Zarbade: And what would be the size of exports over the next 3 years timeframe?
Mithun Chand: If you see exports, last 3-4 years we have gained some traction in exports, especially in crops like sunflower, rice and maize. These are 3 big crops where we are exporting including vegetables is also there, where we are doing in a very small way.
But as you are aware it takes a longer time for us to establish in different countries, because the farmer only believes in seeing. So, it takes some time, but it is very fortunate that the samples or the experiments or what we have done in the last years, it has given a very good result.
Going forward, we are targeting many countries, especially the African countries and the Southeast Asian countries, these are the two new countries where we are concentrating on, and we are getting good traction through that. So, if you see in the down line 3 to 5 years, we are very bullish on exports and exports will definitely growing more faster than our normal growth.
Moderator: Thank you. Next question is from the line of Mohammed Patel from Care Portfolio Managers Private Limited. Please go ahead.
Mohammed Patel: Textile Minister mentioned that we can expect approval of the new BT cotton variety. So, where are we on that?
Mithun Chand: We are one of the largest pair in BT cotton segment, hybrid BT cotton segment and we are already a part of the entire program. Whenever they give the licenses, we will be one of the top most to get benefited

from that. So, we are very optimistic that most of the approvals will be given, approved now, and we already are in tie-up with the service provider. So, it should not be a problem for us and it's a very good sign for the industry as well, because once the idea of genetically-modified crops are cleared, there is not only cotton, there are many other crops to come in. So, that's a very good sign for the industry and we are very bullish and optimistic about that.
Mohammed Patel: So, can we expect this to be a part of our sales next year?
Mithun Chand: I can't time, we can't time exactly because it depends on the government approval, but by seeing the pace and by seeing the approach of the service provider and the government's approach towards approving the genetically modified crops, it looks that it will be released as early as possible.
Mohammed Patel: And whenever this happens, what kind of opportunity this can bring for Kaveri?
Mithun Chand: So, basically the entire cropping pattern will shift, will move to the new technology. So, as we are already there in that business and we are in line, we are in tie-up with the service provider, so, definitely we will be a part of it. And again, based on our hybrid performance, definitely we have an opportunity to increase our market shares. So, that's why we are in like very positive, very well placed for the new technology.
Mohammed Patel: And so, whenever this happens, we can expect to grow 20%-30% much higher than what you would have grown with the older technology.

Mithun Chand: See, that all depends. It's not about technology. Definitely, technology will definitely make an improvement in the yields for the farmer, but

again it depends on the hybrid. The compatibility with the technology with the hybrid, that matters, but the pipeline hybrid is what we have. It might be too early, but the experience, what we can say is that the hybrids what we have in the pipeline will definitely help us to increase the market share.

Mohammed Patel: So, you are saying after the approval, you can see higher growth in the cotton segment for a few years?

Mithun Chand: Definitely, if not even, I will just say, even if the t

echnology is not approved, but the pipeline hybrid is what we have, are giving better yields. Down the line, we see that even if the technology is approved or not approved, we will definitely increase our market share in the coming years.

Mohammed Patel: And what will be the pricing for this new technology, with the government regulator pricing?

Mithun Chand: Again, that needs to be decided and discussed both with the technology provider and the government. We are too early on that, but definitely, they are working on that one, the technology. They will work on that once the technology is approved.

Mohammed Patel: My next question is, any update on the contingent liability and the tax matters?

Mithun Chand: As of now, I think what we have disclosed is what we have and something comes up, definitely, we will disclose it to the exchanges and investors.

Mohammed Patel: And what is the exports number for Q1? Absolute number?

Mithun Chand: Q1 is a very lean quarter. Exports, I will just click it anyway, before the end of the call, I will just click it.

Mohammed Patel: It's okay. My next question is, so maize grew 80%. So, have we gained market share as compared to last year that is resulting in high growth? Maize has grown 80%. So, I was just trying to understand, have we gained market share as compared to last year?

Mithun Chand: Definitely, the maize acreages are up by 10% and in terms of the volume, they are up by 50%. Definitely, we have gained market share in that.

Mohammed Patel: Can you share the number, market share? Can you share the market share number?

Mithun Chand: We will be around 10% to 11% of the market share now.

Mohammed Patel: And what was this number last year?

Mithun Chand: It will be, I am just figuring out the first quarter, but we need to see market share at the end of the year. It's too early to decide about the market share.

Mohammed Patel: What are the R&D spends expected for FY '25?

Mithun Chand: It will be 15% higher than last year. Last year was around 55% and the CAPEX was around 15 odd crores, 70% to 80% of the total expenditure on R&D. That will go up by 15%.

Moderator: Thank you. Next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: Some data points I want from your side. As for March, as for the Financial Year ‘24, what would be our cotton sale? As of March '24,

for Financial Year ‘24, what would be our cotton sale in volume as well as in value? For Financial Year ‘24, what would be the cotton sales for the year in value and volume terms?

Mithun Chand: Our cotton sales usually, majority of the sale happens in the first quarter. The numbers which are there for the first quarter is more or less like for the year. Last year, we have sold around 55 lakh packets. This year around 35 to 36 lakh packets.
Rohan Patel: I am asking for Financial Year ‘24. Is this for financial year 24?
Mithun Chand: Yes, more or less like Financial Year ‘24, 55, 56 is the total sale.
Rohan Patel: And what would be in value terms for Financial Year ‘24?
Mithun Chand: As of now, I don't know the exact numbers of the entire financial year for cotton crop, but I can tell you the quarter basis because (+/-5%), this is the total sale for the year. For the Financial Year ‘23-'24, the cotton sale was close to 350 crores. This year it is like Rs. 250 crores, for the first quarter. So, more or less, it should look the same for the entire year.
Rohan Patel: And I just missed your comments on the reason why our cotton sales fair for this quarter 1 FY '25. Can you just help me?
Mithun Chand: I was explaining the earlier but anyhow, as we had lower inventory this year compared to last year, we had a constraint in getting this stock for our main hybrids. Tha

t is one thing where we had lost the sales. The other thing, cotton acreage as a whole in India decreased by 10%. And in the areas where we are strong, especially in Northern India, the acreages accounted more than 20%.

The other thing is that as the production cost has gone up, and I mean to say like the selling price got increased by only Rs. 10. So, we wanted to realize more. In that way, consciously we have lost some sales. So that's where we lost. There are four or five reasons as a combination of all where we have lost the market share and sale.
Rohan Patel: So, the main would be that one, the acreages are down by 10%; second, the cost has increased, which you could not be passed on. So, we wouldn't want to sell it at certain realizations which are not profitable for us. These are the two to three main reasons.
Mithun Chand: And other thing where we were very strong in northern India, we lost. I mean to say, the acreages were down by 20%.
Rohan Patel: Acreages were down by 20% for quarter.
Mithun Chand: Where we were strong, especially in northern India. And the other reason is that we were not having hybrids because there was a production constraint last year because of pest and rainfall. We couldn't get the desired quantities of the most, I mean to say, popular hybrids. That is one of the reasons.
Moderator: Thank you. Next question is from the line of Ranjit from IIFL Securities. Please go ahead.
Ranjit: First thing on the cotton front. So, would it be too early to kind of give some comments over the next year's availability? How is the production turning out this year?
Mithun Chand: It's early, but we will definitely get an indication because this year we were able to get more production area and as of now the crop also looks good because we have good rainfall this year. I don't see any constraint in terms of availability for next year, not only for Kaveri but

for the industry. We don't see any constraint for that. The production will be sufficient for next year.
Ranjit: So, would it be fair to assume that we can go back to the FY24 kind of volumes?
Mithun Chand: Definitely, we are pretty confident about that and there are a couple of new hybrids which were launched last year, but we couldn't sell in a good quantity this year. Even we are expecting a good production for that hybrid. So, if that comes in, definitely we see a good growth in cotton.
Ranjit: And the second question is on the margins front. So, despite cotton

underperforming significantly, we are still able to protect our margins. So, what is happening on the non-cotton seeds front? Which are the seeds or the segments that we have seen a bit of an improved profitability this year and how sustainable that would be?

Mithun Chand: Non-cotton crops' pricing is not controlled by the government, and we can easily pass it on to the farmers. So, we work on different margins in those crops. Even though if you see the production costs have increased in non-cotton segment as well, but we were able to pass it on to the farmer. So, that's the reason we were able to maintain our margins.

Ranjit: Can you give ballpark numbers on the margins for the non-cotton seeds?

Mithun Chand: That will be a bit difficult, but if you see the first quarter figures, the EBITDA margins, I mean to say, they are like minus other income, the EBITDA margins stood at like 35%. So, this should be something like close to 38 to 39%. But when we talk about the margins, we need to

see this for the entire year being first quarter being the major year, the margins look higher.

Ranjit: So, we should settle on 24% to 25%.

Mithun Chand: That's it.

Ranjit: Can you guide us how much has been the quantum of the price increases in the non-cotton side?

Mithun Chand: If you see it's like the more than in between 10% to 15% is the price hike. That's the same we have incurred, I mean to say, even the cost of production has also gone up by more than 10% to 15%. We have increased in the same ratio as what the cost of production got increased.

Ranjit: And finally, any thoughts on continuing with the rewarding of the institution of these profits? So, we were earlier doing buybacks and dividends.

Mithun Chand: Again, that's a good call we need to take. But if you see in the recent budget, there were changes in the taxation front. That we need to again discuss in the board and then we will take a call on that. But we have not discussed anything about that because we had just completed a buyback last quarter. So, we will come up with the decision in a later part of.

Moderator: Thank you. Next question is from the line of Janish Shah, who is an individual investor. Please go ahead.

Janish Shah: Just wanted to get some understanding on the product mix. Basically, I think you have already managed to have almost like a two-third, one-third kind of a mix between the cotton and non-cotton in the season,

basically the first quarter, which is the most remunerative quarter for the Company.

Going ahead now, how do we see the seasonality getting even out or do you think the variations in revenue can be a little bit balanced going ahead as we go ahead, maybe next two, three years given that we have launched new varieties, and we are also trying to diversify the crop patterns? So, how do we see that change?

And of course, you have already mentioned the profitability is higher. Do you think this year in spite of the sharp decline in the sales of cotton, the margin, the profitability which you guided around 15%, 20% growth in bottom line could be achieved or do you think it will get pushed back to the subsequent years?

Mithun Chand: First, coming back to your last part, in terms of the profitability, as first quarter is a major quarter, I don't think we will attain that 15% to 20% margin profitability, because we have grown at 5% to 7% in terms of the profitability for this year. I think that should remain same by plus

or minus the other 2% here and there.
But when coming back to the seasonality and the business, even I explained in the earlier call, as India being majority of the Indian, I mean this agriculture, majority of the acreage comes after the monsoon, which is in the month of May, June, July. So, these are the main quarters for us, and for India, this will be the main season.
So, we will be in line with the Indian seasonality, but yes, going down the line by like 3-4 years, as a percentage of contribution in the first quarter and in the next subsequent three quarters will change. As a percentage, it will come down. If you see, 10 years back and now, 90% to 95% of the revenue used to come in the first quarter, but right now

it's only 65% to 70%. Going forward it might come down further, but definitely first quarter will be a major quarter for us. Not only for us, any hybrid seed Company.
Janish Shah: And is there any outlook on export, in a sense, in terms of numbers what kind of visibility or targets you set for yourself for next two to three years? As you already mentioned, export is going to grow faster than the overall Company growth rate. So, if you can just give some more flavor to it, that will be helpful. And does it a margin accretive? Do we have an export as a higher margin than the domestic one?
Mithun Chand: Export looks very good for us as every time, every year we are adding new countries. When you see in the last five, six years, every year our habitats are getting introduced to different countries. So, going forward, we are very bullish on expo

rts and export market as a whole
is also growing as an Indian perspective and as crops, we have enough crops to export to other countries.
Going down the line, we see better growth as I rightly said, but we see a better growth in exports when compared to normal growth, but as of now it's only 4% to 5% of our total revenue. Down the line 3 years, it should be like close to 10% of our total revenue.
Janish Shah: And margins are better?
Mithun Chand: It's like in line with the normal market, but right now we are even slightly compromised in the margins as well as we need to establish our hybrids in the market. But down the line, once we get the good market grip or when our hybrids get popular in those countries, definitely we will try to increase the realization. As of now, it's slightly lower than what we realize here.

Moderator: Thank you. Next question is from the line of Krushi Parekh from Pentacle. Please go ahead.
Krushi Parekh: So, my question is that just this last week government released some new varieties of seeds, the breeder seeds, which I believe will take about two, three, four years for the companies to start developing and making it available commercially. So, how is the market dynamics likely to change because of this? And is there going to be any impact on Kaveri Seed's business going forward?
Mithun Chand: Even I explained some of the question earlier. See, these are new hybrid which are launched right now. We need to see the performance of the hybrids. But technically, if you see, there are many companies which are introducing hybrids every year. Not 100 hybrids, there are thousands of hybrids which get introduced every year across India, whether it is by government or whether it is by private players.
So, as a Company, we are competing with all these and doing business in most of the crops. So, that doesn't make much difference for us because we are more dependent on our own R&D, and we are pretty confident about our own R&D and the pipeline hybrid is what we are seeing now. So, as of now, we can't comment about those hybrids which are going to get released in the next 1 to 3 years. But by seeing

our present portfolio and the pipeline hybrids, we are pretty confident that we will do better than the industry.

Krushi Parekh: And how is our product mix likely to change over the next 3 to 5 years?

Mithun Chand: I don't see much change in the product mix because we have already lost a significant revenue in cotton. Last year also, we said that we can't go below in cotton, but due to some circumstances, we lost

revenues in cotton as well from the bottom, what we thought as a bottom. But if you see the crops of the portfolio where we operate, we don't see any decline from now.

So, what I mean to say is that the product mix will not change much going forward. Going forward, the cotton percentage might slightly grow what we had this year because we see a good growth in cotton in the coming next 3 to 5 years. And definitely we are growing in other crops also. As a low base, cotton will grow much faster than other crops.

Moderator: Thank you. Next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat: So, I have some basic questions. So, first of all, do we procure seed from outside or do we manufacture it in-house?

Mithun Chand: Basically, we produce the seed. We take land on lease, and we have our own seeds where we take the production activity and produce for ourselves.

Pradeep Rawat: So, you mentioned earlier that the supply of seeds was not good for cotton, so that's why our volume took a hit. So, I didn't get the point. So, can you elaborate on that?

Mithun Chand: As I said that we take land on lease and produce it ourselves. Last time there was some

deficit rainfall in some areas where we have produced.

And the other thing is that the delayed, the intervals between the rainfalls were too high and there was some pest infestation. So, these all are the effect of production activity. That's the reason we are not able to get the desired inventory levels.

Pradeep Rawat: And where do we have our lands? So, it is spread out over India or is it consolidated in some regions?

Mithun Chand: So, we don't purchase land. Based on our need and requirement, we take land on lease for the season and then develop, produce the habitats. There are some specific areas where the climatic conditions are good. So, we produce there.

For example, in cotton, we produce in Andhra, I mean to say the Gadwal region or some Maharashtra, Gujarat and some Karnataka. So, based on the climatic condition, we choose the land and that's how we produce it. Based on the need and requirement, we take land on lease and produce it.

Pradeep Rawat: And second question is, are we seeing decreased acreage of cotton, partly due to the high demand for maize and rice, due to ethanol policy? So, more land is being utilized for growing rice and maize, rather than cotton. So, is that understanding correct?

Mithun Chand: There are many reasons for that. As of now, the maize price has a high. One reason might be because of ethanol, but most of the ethanol projects are not started. But still the maize price is pretty high now. The maize crop looks much lucrative than the cotton. That's the reason farmers are also moving it. And the other thing is that cotton cultivation has become a bit difficult now, one, because of the pest, and second, because of not that lucrative price for the cotton. That's another reason why the cotton acreages are down.

Pradeep Rawat: And the key requirement per hectare of cotton acreage, so is it higher than the rice, maize? So, do we need more amount of seed to grow per hectare of cotton?

Mithun Chand: We can't specify that because some require in Kg, some require in grams. For example, per acre of land, cotton they require just like 900 or 1 Kg of seed, whereas in rice it require 10 Kg to 30 Kg. So, that all depends on which crop we are cultivating. In vegetables, it is in grams.
Pradeep Rawat: So, my next question is regarding the export. So, you mentioned that this was a lean quarter for export. So, can you highlight which is the bulk quarter for exports?
Mithun Chand: Usually second, third and fourth, because as of now we are very small, I mean to say, the base is very low. And when we add new countries, the sale based on their climatic condition, the export will go up, but usually 2, 3 and 4 quarters are the major quarters.
Moderator: Thank you. Next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.
Rohan Patel: Again, just to reiterate what you just said, that due to low base in cotton, we will be expecting cotton to grow faster than other crops in next 3 to 5 years. Is that right?
Mithun Chand: Yes, as I said that the overall Company growth in terms of the revenue should be 10% to 12% going forward, when you take a 3 to 5 years view, but being a cotton low base, from here, we expect higher double, I mean to say, like, better growth than the normal the normal growth in cotton.
Rohan Patel: And see, for that to happen and to capitalize on that, first the cotton acreage needs to be increased, and second is, we have to gain the market share for that. Is that assumption right?
Mithun Chand: Yes, definitely cotton acreages should remain stable or at least should go up. And the other thing is that we need to have enough production

where we can supply for the demand. The other thing is that we need to

have good hybrids, pipeline hybrids or new hybrids which got introduced or which are getting to introduce next 1 to 2 years should do well. So, out of these 3, we expect the acreages going up. Second thing, we have a good production for the coming years and next, we have better hybrids. So, as a combination of these three, we see a good growth in cotton.
Rohan Patel: And do we see that just marginal increase in acreage, just to see that rice and maize are having good realizations for the farmers, and if cotton acreages don't grow substantially, with stable acreage or current acreage, we can grow at 10% to 12% the cotton seed for next 3 years. Is that possible?
Mithun Chand: Yes, even if by seeing the present acreages and if they are stable, still we can grow in those segments because we lost market share or we lost volume. Basically, we don't have the desired hybrid levels, hybrid what they want. For the next coming years, we will definitely have those hybrids because the production looks good for this year. And we had a very aggressive production program this year. So, I don't see any challenge for the desired products.
Rohan Patel: And can you name what kind of hybrid you are bringing into the market that will help us grow our share?
Mithun Chand: Sir, there are different segments and different hybrids. As a Company, as a whole, we market more than 200 hybrids. So, there are not only for the cotton but for a mix as a whole as a Company. So, we market more than 200 hybrids. So, based on each segment, we have different hybrids and different pipeline hybrids which are performing well. And that gives us confidence to say that we will grow much better in cotton in the coming year.

Rohan Patel: And just to confirm, like in previous calls you were saying that over the next 3-5 years, if we take, our non-cotton portfolio will be growing in range of somewhere around 15%, plus or minus 2%.
Mithun Chand: Yes, you see, we have grown much better this year when compared to what we have guided earlier. But we have lost our sale in cotton like more than 35% of our revenues and volumes.
Rohan Patel: Yes, I get that.
Mithun Chand: So, we are able to do better in non-cotton segment than cotton. But when you see as a combine as a whole for the next 5 years, even if you recollect, I was saying that there will be a year or two where we see ups and downs based on the seasonality and the pests. So, this is the season where we see that sort of difficulty. But when you compare in the next 3 to 5 years, as a consolidated or a CAGR basis, definitely we are growing between 10% to 12% in terms of revenue and 15% to 20% in terms of the margins.
Moderator: Thank you. Next question is from the line of Yash Gandhi from Stallion Asset. Please go ahead.
Yash Gandhi: I just want to understand how does the pricing sort of work in the industry and how do farmers sort of compare prices of different, different competitions? So, if you just sort of comment on that, just to sort of my understanding.
Mithun Chand: Definitely farmers compare with the price and with yield. If you see the expenditure or spend on seed as a total contribution is less than 5% for the farmer. So, he doesn't mind to spend more for the good quality seed which gives better yield than the competition. So, based on the

competition, based on our hybrid performance, we price it 10% plus or minus of the prevailing hybrid which is doing better in those markets. And in that way, the other thing is that when we are in the market, when our production cost is going up, that will be similar for the other competition as well. So, they will also increase the prices. In that way, more or less, we will be in line with the competition 10% to 20% based on our hybrid performance. So, that sh

ouldn't be a challenge for us.
Yash Gandhi: And sir, like, over here, would your distributors have some sort of leverage in terms of what areas or what state they want to sell, let's say, one particular brand against some other brands or do you have like sole distributors?
Mithun Chand: So, basically it's not like definitely distributors or retailers will have a say in the call, but more than 75% to 80% of the farmers buy the seed by seeing the performance. So, if our hybrid has those sort of a like what you say like potential to give better yield, then the farmer will definitely ask for that.
As rightly said, some distributors will have where they will say that 15% to 20% of the market where they push some products or where they get or the farmer, they take new hybrids, which are newly introduced in the market to try. Otherwise, like 75% to 80% of the farmers buys by seeing the performance of the habitats.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, on behalf of Kaveri Seeds, that concludes this conference. Thank you all for joining us. For any more information, please be in touch with Rama Naidu from Intellect IR on 9920209623.
Thank you. You may now disconnect your lines.

Call: Aug 2024

"Kaveri Seed Company Limited Q1 FY25 Earnings
Conference Call"

August 13, 2024

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR,
KAVERI SEED COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed Company's Q1 FY '25 Earnings Conference Call.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
Before we begin, I would like to mention that some of the statements made in today's call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation.
I now hand the conference over to Mr. Mithun Chand - Executive Director. Thank you, and over to you, sir.
Mithun Chand: Thank you. Good afternoon and welcome everyone to our Quarter 1 Financial Year '25 Earnings Conference Call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I would touch upon the operational financial performance of the Company and then open the floor for a question-and-answer session.
The Company is very bullish on both Maize and Rice and expect both volumes and realizations to go up in the years to come. Increase in volumes in both Maize and Rice have resulted in good growth rates in revenues. The sowing area of Maize and Rice had increased across several states by 10% and 5.28% respectively as compared to last year.

Company is able to successfully pass on the incremental cost of cultivation and are able to maintain our margins.
Exports during the quarter have been very encouraging and would continue to do well in the coming years to come. The contribution of new products have substantially increased in both Maize and Bajra.

Cotton volumes and revenues were down by 35% and 27%
respectively.
Standalone financial highlights:
Revenue from operations was at Rs. 808.08 crore as compared to Rs. 767.37 crore in Q1FY24, registered a growth of 5.32%. EBITDA was at 292.29 crore as compared to Rs. 279.09 crore in Q1FY 24, an increase by 4.91%. Net profit was at Rs. 282.91 crore as compared to Rs. 267.84 crore, registered a growth of 5.63%. The cash on books stands at 605 crores.
Hybrid rice volumes increased by 10% and revenues increased by 17%. Selection Rice volumes increased by 15% and revenues increased by 27%. Maize volumes increased by 97% and revenues increased by 80%. The Contribution of new products was up from 67.67% to 75.79% of volumes in Bajra. The Contribution of new products was up from 40% to 52% of volumes in Maize crop. Cotton volumes as well as revenue decreased by 35% and 27% respectively. Vegetable Crops like Beet root, Tomato, Ridge guard, Sponge Guard and Marigold have been performed well. Export business sales is increased by 451.73% compared to last year quarter 1.
I will now open the floor for question-and-answer session.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Siddhant from Goodwill. Please go ahead.
Siddhant: You know, last quarter you had guided for a 4 to 5% volume fall in cotton, if I am not wrong. And volumes have fallen drastically by 35%. And what would your guidance be for a year or an approximate one? And what has caused this huge 35% fall?
Mithun Chand: When we started last year, we thought that the cotton acreage would go up this year, and we thought that the supply will be lower this year. But when we see this year, the acreages were down by 10% across the country. And there was more steep fall in the states of northern India where we were very strong. And there was some issue with pr

oduction
also where the hybrids which were in demand was in shortage for us. And there was a huge supply in the market. And as we want to retain our realizations, we are compromising volumes as well. So, that is the major impact which we have seen this year.
Siddhant: Will we be able to catch up some of our cotton sales in the upcoming quarters, or is it?
Mithun Chand: Majority of the sale is already done for this year. I don't think the cotton acreage, cotton sales will happen in the next coming quarters. But this is the sale what we anticipate, and this will remain as it is.
Moderator: Thank you. Next question is from the line of Rishi Kothari from Pi Square Investments. Please go ahead.
Rishi Kothari: Sir, this is the first time I am attending the Kaveri Seed's Con Call. So, while going through the financials, what I saw is that on a quarterly basis, the June quarter is one of the quarters that posts the highest sales

among all other quarters. So, what exactly is it because of the crop that we grow or if at all that is the reason? Is there any other possibility of changing the dynamics from a full year rather than a seasonal revenue posting for us?
Mithun Chand: We are in a business where it is very much seasonal because we get the monsoon in the month of June-July and the majority of the crop comes after the monsoon. Especially, for example, if you take cotton, cotton only comes in the month of May, June and July. So, we will be in line with the season, but if you see our portfolio, we have one of the largest portfolio with a good mix of crops. And going forward, I think this will remain the same, but the percentage is slightly changed going forward.

But definitely, first quarter will be the major quarter for us.
Rishi Kothari: But eventually, let's say, 2-3 years down the line, what are the revenue targets do we have in terms of the growth targets? Do we have anything on our mind internally that we have decided?
Mithun Chand: So, we anticipated a growth of 10% in terms of the top line and 15%-20% in the bottom line. We gave that guidance, but this year, unfortunately, we couldn't do well in the cotton crop because the crop has come down and for various reasons might be there because of the pest attack or otherwise the returns on the crop were lower this year. But otherwise, if you see the other way, we have managed in spite of cotton being more than 35% of our portfolio where we have lost 35% of the revenue, in spite of that downfall in the revenues, we were able to manage by growing in other segments, especially like maize and rice, wherein maize has grown by more than 75% and rice has grown by more than 25%.

So, that gives us a better edge than other companies where we have a good mix, and we can compensate revenue loss in other crops. But going forward, even we are bullish on cotton. As I said that sometimes based on the seasonality and the price of the commodity, it varies, but I don't see a threat on the long-term business as there will be a year or two where we see this type of unexpected thing, but we should take a compounded way, 10%-12% revenue growth and 15%-20% of the bottom line is quite possible.
Rishi Kothari: For how many years are we experiencing, for 2-3 years or any?
Mithun Chand: No, going forward, I am taking about 5-10 years' view.
Rishi Kothari: 5 to 10 years view, okay. And in terms of the cotton prices that you said, right now, I read the report that cotton prices recently have increased like on an average of 4 to 5%. So, is that beneficial to us or is it a harmful thing for us as a Company?
Mithun Chand: It is a beneficial thing for us. If the prices go up, that gives more revenue for the farmer. But the other way is that even our production costs have gone up and we were not able to reduce

the cost of
production, and we were not able to pass it on to the farmer because it is controlled by government and that is one of the reason where we have lost the sales.
Rishi Kothari: So, we have in a way absorbed the cost of production that has increased for us and not passed on to the farmers. So, that is in a way capped our margins in a way.
Mithun Chand: Yes, exactly.
Rishi Kothari: And in terms of the CAPEX, what are we targeting for next year, FY '25?

Mithun Chand: So, CAPEX is a continuous thing as we are increasing volumes in other crops, we require new plants and facilities to process the seed. And the other thing is that we are spending a lot in R&D. So, as we have said earlier also, Rs. 40 to 50 crores is what we spend on a year-on-year basis for the CAPEX. That should be more than sufficient for us.
Moderator: Thank you. Next question is from the line of Jahnavi from Aequitas Investments. Please go ahead.
Jahnavi: My question is on the lines of the announcement on 109 seeds during elections by PM Modi. So, in a few articles, I read that these seeds also include a few rice and cotton seeds. So, could you help with out of 109 seeds, how many seeds can we end up benefiting from and what sort of size of opportunity are we looking at in case of approvals?
Mithun Chand: So, basically those seeds are released by the government. We need to see the performance of those seeds. But anyhow, we are not accessing those seeds. We have our own in-house R&D where we breed for it,

and we sell in the market. So, we don't use those seeds. But the other way, we have ties with the universities where we source the main, we have access to their Germplasm, and we have ties with all the government bodies and international institutes where we take the access to the Germplasm in using or in developing hybrid seeds for us.
Jahnavi: But however, even if the performance for some of these seeds comes out really well, we would not end up using these seeds or not end up benefiting from this at all.
Mithun Chand: No, as of now because we have our own research, and we need to see that. But we have many hybrids which we need to see the performance

of that. This is the first year where they are launching it. We can only comment after seeing the results of that.
Moderator: Thank you. Next question is from the line of Sanjeev Zarbade from Dream Ladder Advisors. Please go ahead.
Sanjeev Zarbade: Can you give me a sense of the demand outlook for the future over the medium term?
Mithun Chand: If you see the crop where we are dealing with, we are mainly with rice, cotton and maize. These are the three big crops. Apart from these, we are into vegetables, Bajras and all other crops.
But if you see the top four crops like maize, rice, vegetables and cotton, we see a good growth in most of the crops because the maize area is increasing year-on-year. As the government has initiated for the ethanol projects, that will give a good way for maize.
And in rice, the hybridization percentage is going up. That's a good sign for us to increase the market shades of hybrid rice and we are a part of it.
And apart from that, cotton, if you see year-on-year, it's coming down. But definitely cotton has acreage in the medium term, three-to-five-year view, definitely that should go up. And vegetables as a segment is increasing at more than 15% year-on-year. So, we are there in most of the segments.
Apart from that, we are there in niche markets like mustard and bajra. So, these are also doing well including sunflower. So, we see a good growth in most of the crops and we are not worried about the cropping pattern as such as we are a well-diversified portfolio and in most of the

crops we are in

the top 3. So, we will definitely get advantage of that.
We see good growth in the coming years.
Sanjeev Zarbade: And what would be the size of exports over the next 3 years timeframe?
Mithun Chand: If you see exports, last 3-4 years we have gained some traction in exports, especially in crops like sunflower, rice and maize. These are 3 big crops where we are exporting including vegetables is also there, where we are doing in a very small way.
But as you are aware it takes a longer time for us to establish in different countries, because the farmer only believes in seeing. So, it takes some time, but it is very fortunate that the samples or the experiments or what we have done in the last years, it has given a very good result.
Going forward, we are targeting many countries, especially the African countries and the Southeast Asian countries, these are the two new countries where we are concentrating on, and we are getting good traction through that. So, if you see in the down line 3 to 5 years, we are very bullish on exports and exports will definitely growing more faster than our normal growth.
Moderator: Thank you. Next question is from the line of Mohammed Patel from Care Portfolio Managers Private Limited. Please go ahead.
Mohammed Patel: Textile Minister mentioned that we can expect approval of the new BT

cotton variety. So, where are we on that?
Mithun Chand: We are one of the largest pair in BT cotton segment, hybrid BT cotton segment and we are already a part of the entire program. Whenever they give the licenses, we will be one of the top most to get benefited

from that. So, we are very optimistic that most of the approvals will be given, approved now, and we already are in tie-up with the service provider. So, it should not be a problem for us and it's a very good sign for the industry as well, because once the idea of genetically-modified crops are cleared, there is not only cotton, there are many other crops to come in. So, that's a very good sign for the industry and we are very bullish and optimistic about that.
Mohammed Patel: So, can we expect this to be a part of our sales next year?
Mithun Chand: I can't time, we can't time exactly because it depends on the government approval, but by seeing the pace and by seeing the approach of the service provider and the government's approach towards approving the genetically modified crops, it looks that it will be released as early as possible.
Mohammed Patel: And whenever this happens, what kind of opportunity this can bring for Kaveri?
Mithun Chand: So, basically the entire cropping pattern will shift, will move to the new technology. So, as we are already there in that business and we are in line, we are in tie-up with the service provider, so, definitely we will be a part of it. And again, based on our hybrid performance, definitely we have an opportunity to increase our market shares. So, that's why we are in like very positive, very well placed for the new technology.
Mohammed Patel: And so, whenever this happens, we can expect to grow 20%-30% much higher than what you would have grown with the older technology.
Mithun Chand: See, that all depends. It's not about technology. Definitely, technology will definitely make an improvement in the yields for the farmer, but

again it depends on the hybrid. The compatibility with the technology with the hybrid, that matters, but the pipeline hybrid is what we have. It might be too early, but the experience, what we can say is that the hybrids what we have in the pipeline will definitely help us to increase the market share.
Mohammed Patel: So, you are saying after the approval, you can see higher growth in the cotton segment for a few years?
Mithun Chand: Definitely, if not even, I will just say, even if the t

echnology is not
approved, but the pipeline hybrid is what we have, are giving better yields. Down the line, we see that even if the technology is approved or not approved, we will definitely increase our market share in the coming years.
Mohammed Patel: And what will be the pricing for this new technology, with the government regulator pricing?
Mithun Chand: Again, that needs to be decided and discussed both with the technology provider and the government. We are too early on that, but definitely, they are working on that one, the technology. They will work on that once the technology is approved.
Mohammed Patel: My next question is, any update on the contingent liability and the tax matters?
Mithun Chand: As of now, I think what we have disclosed is what we have and something comes up, definitely, we will disclose it to the exchanges and investors.
Mohammed Patel: And what is the exports number for Q1? Absolute number?

Mithun Chand: Q1 is a very lean quarter. Exports, I will just click it anyway, before the end of the call, I will just click it.
Mohammed Patel: It's okay. My next question is, so maize grew 80%. So, have we gained market share as compared to last year that is resulting in high growth?
Maize has grown 80%. So, I was just trying to understand, have we gained market share as compared to last year?
Mithun Chand: Definitely, the maize acreages are up by 10% and in terms of the volume, they are up by 50%. Definitely, we have gained market share in that.
Mohammed Patel: Can you share the number, market share? Can you share the market share number?
Mithun Chand: We will be around 10% to 11% of the market share now.
Mohammed Patel: And what was this number last year?
Mithun Chand: It will be, I am just figuring out the first quarter, but we need to see market share at the end of the year. It's too early to decide about the market share.
Mohammed Patel: What are the R&D spends expected for FY '25?
Mithun Chand: It will be 15% higher than last year. Last year was around 55% and the CAPEX was around 15 odd crores, 70% to 80% of the total expenditure on R&D. That will go up by 15%.
Moderator: Thank you. Next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.
Rohan Patel: Some data points I want from your side. As for March, as for the Financial Year ‘24, what would be our cotton sale? As of March '24,

for Financial Year ‘24, what would be our cotton sale in volume as well as in value? For Financial Year ‘24, what would be the cotton sales for the year in value and volume terms?
Mithun Chand: Our cotton sales usually, majority of the sale happens in the first quarter. The numbers which are there for the first quarter is more or less like for the year. Last year, we have sold around 55 lakh packets. This year around 35 to 36 lakh packets.
Rohan Patel: I am asking for Financial Year ‘24. Is this for financial year 24?
Mithun Chand: Yes, more or less like Financial Year ‘24, 55, 56 is the total sale.
Rohan Patel: And what would be in value terms for Financial Year ‘24?
Mithun Chand: As of now, I don't know the exact numbers of the entire financial year for cotton crop, but I can tell you the quarter basis because (+/-5%), this is the total sale for the year. For the Financial Year ‘23-'24, the cotton sale was close to 350 crores. This year it is like Rs. 250 crores, for the first quarter. So, more or less, it should look the same for the entire year.
Rohan Patel: And I just missed your comments on the reason why our cotton sales fair for this quarter 1 FY '25. Can you just help me?
Mithun Chand: I was explaining the earlier but anyhow, as we had lower inventory this year compared to last year, we had a constraint in getting this stock for our main hybrids. Tha

t is one thing where we had lost the sales. The other thing, cotton acreage as a whole in India decreased by 10%. And in the areas where we are strong, especially in Northern India, the acreages accounted more than 20%.

The other thing is that as the production cost has gone up, and I mean to say like the selling price got increased by only Rs. 10. So, we wanted to realize more. In that way, consciously we have lost some sales. So that's where we lost. There are four or five reasons as a combination of all where we have lost the market share and sale.
Rohan Patel: So, the main would be that one, the acreages are down by 10%; second, the cost has increased, which you could not be passed on. So, we wouldn't want to sell it at certain realizations which are not

profitable for us. These are the two to three main reasons.
Mithun Chand: And other thing where we were very strong in northern India, we lost. I mean to say, the acreages were down by 20%.
Rohan Patel: Acreages were down by 20% for quarter.
Mithun Chand: Where we were strong, especially in northern India. And the other reason is that we were not having hybrids because there was a production constraint last year because of pest and rainfall. We couldn't get the desired quantities of the most, I mean to say, popular hybrids. That is one of the reasons.
Moderator: Thank you. Next question is from the line of Ranjit from IIFL Securities. Please go ahead.
Ranjit: First thing on the cotton front. So, would it be too early to kind of give some comments over the next year's availability? How is the production turning out this year?
Mithun Chand: It's early, but we will definitely get an indication because this year we were able to get more production area and as of now the crop also looks good because we have good rainfall this year. I don't see any constraint in terms of availability for next year, not only for Kaveri but

for the industry. We don't see any constraint for that. The production will be sufficient for next year.
Ranjit: So, would it be fair to assume that we can go back to the FY24 kind of volumes?
Mithun Chand: Definitely, we are pretty confident about that and there are a couple of new hybrids which were launched last year, but we couldn't sell in a good quantity this year. Even we are expecting a good production for that hybrid. So, if that comes in, definitely we see a good growth in cotton.
Ranjit: And the second question is on the margins front. So, despite cotton underperforming significantly, we are still able to protect our margins. So, what is happening on the non-cotton seeds front? Which are the seeds or the segments that we have seen a bit of an improved profitability this year and how sustainable that would be?
Mithun Chand: Non-cotton crops' pricing is not controlled by the government, and we can easily pass it on to the farmers. So, we work on different margins in those crops. Even though if you see the production costs have increased in non-cotton segment as well, but we were able to pass it on to the farmer. So, that's the reason we were able to maintain our margins.
Ranjit: Can you give ballpark numbers on the margins for the non-cotton seeds?
Mithun Chand: That will be a bit difficult, but if you see the first quarter figures, the EBITDA margins, I mean to say, they are like minus other income, the EBITDA margins stood at like 35%. So, this should be something like close to 38 to 39%. But when we talk about the margins, we need to

see this for the entire year being first quarter being the major year, the margins look higher.
Ranjit: So, we should settle on 24% to 25%.
Mithun Chand: That's it.
Ranjit: Can you guide us how much has been the quantum of the price increases

in the non-cotton side?
Mithun Chand: If you see it's like the more than in between 10% to 15% is the price hike. That's the same we have incurred, I mean to say, even the cost of production has also gone up by more than 10% to 15%. We have increased in the same ratio as what the cost of production got increased.
Ranjit: And finally, any thoughts on continuing with the rewarding of the institution of these profits? So, we were earlier doing buybacks and

dividends.
Mithun Chand: Again, that's a good call we need to take. But if you see in the recent budget, there were changes in the taxation front. That we need to again discuss in the board and then we will take a call on that. But we have not discussed anything about that because we had just completed a buyback last quarter. So, we will come up with the decision in a later part of.
Moderator: Thank you. Next question is from the line of Janish Shah, who is an individual investor. Please go ahead.
Janish Shah: Just wanted to get some understanding on the product mix. Basically, I think you have already managed to have almost like a two-third, one-third kind of a mix between the cotton and non-cotton in the season,

basically the first quarter, which is the most remunerative quarter for the Company.
Going ahead now, how do we see the seasonality getting even out or do you think the variations in revenue can be a little bit balanced going ahead as we go ahead, maybe next two, three years given that we have launched new varieties, and we are also trying to diversify the crop patterns? So, how do we see that change?
And of course, you have already mentioned the profitability is higher. Do you think this year in spite of the sharp decline in the sales of cotton, the margin, the profitability which you guided around 15%, 20% growth in bottom line could be achieved or do you think it will get pushed back to the subsequent years?
Mithun Chand: First, coming back to your last part, in terms of the profitability, as first quarter is a major quarter, I don't think we will attain that 15% to 20% margin profitability, because we have grown at 5% to 7% in terms of the profitability for this year. I think that should remain same by plus or minus the other 2% here and there.
But when coming back to the seasonality and the business, even I explained in the earlier call, as India being majority of the Indian, I mean this agriculture, majority of the acreage comes after the monsoon, which is in the month of May, June, July. So, these are the main quarters for us, and for India, this will be the main season.
So, we will be in line with the Indian seasonality, but yes, going down the line by like 3-4 years, as a percentage of contribution in the first quarter and in the next subsequent three quarters will change. As a percentage, it will come down. If you see, 10 years back and now, 90% to 95% of the revenue used to come in the first quarter, but right now

it's only 65% to 70%. Going forward it might come down further, but definitely first quarter will be a major quarter for us. Not only for us, any hybrid seed Company.
Janish Shah: And is there any outlook on export, in a sense, in terms of numbers what kind of visibility or targets you set for yourself for next two to three years? As you already mentioned, export is going to grow faster than the overall Company growth rate. So, if you can just give some more flavor to it, that will be helpful. And does it a margin accretive? Do we have an export as a higher margin than the domestic one?
Mithun Chand: Export looks very good for us as every time, every year we are adding new countries. When you see in the last five, six years, every year our habitats are getting introduced to different countries. So, going forward, we are very bullish on expo

rts and export market as a whole is also growing as an Indian perspective and as crops, we have enough crops to export to other countries.
Going down the line, we see better growth as I rightly said, but we see a better growth in exports when compared to normal growth, but as of now it's only 4% to 5% of our total revenue. Down the line 3 years, it

should be like close to 10% of our total revenue.
Janish Shah: And margins are better?
Mithun Chand: It's like in line with the normal market, but right now we are even slightly compromised in the margins as well as we need to establish our hybrids in the market. But down the line, once we get the good market grip or when our hybrids get popular in those countries, definitely we will try to increase the realization. As of now, it's slightly lower than what we realize here.

Moderator: Thank you. Next question is from the line of Krushi Parekh from Pentacle. Please go ahead.
Krushi Parekh: So, my question is that just this last week government released some new varieties of seeds, the breeder seeds, which I believe will take about two, three, four years for the companies to start developing and making it available commercially. So, how is the market dynamics likely to change because of this? And is there going to be any impact on Kaveri Seed's business going forward?
Mithun Chand: Even I explained some of the question earlier. See, these are new hybrid which are launched right now. We need to see the performance of the hybrids. But technically, if you see, there are many companies which are introducing hybrids every year. Not 100 hybrids, there are thousands of hybrids which get introduced every year across India, whether it is by government or whether it is by private players.
So, as a Company, we are competing with all these and doing business in most of the crops. So, that doesn't make much difference for us because we are more dependent on our own R&D, and we are pretty confident about our own R&D and the pipeline hybrid is what we are seeing now. So, as of now, we can't comment about those hybrids which are going to get released in the next 1 to 3 years. But by seeing our present portfolio and the pipeline hybrids, we are pretty confident that we will do better than the industry.
Krushi Parekh: And how is our product mix likely to change over the next 3 to 5 years?
Mithun Chand: I don't see much change in the product mix because we have already lost a significant revenue in cotton. Last year also, we said that we can't go below in cotton, but due to some circumstances, we lost

revenues in cotton as well from the bottom, what we thought as a bottom. But if you see the crops of the portfolio where we operate, we don't see any decline from now.
So, what I mean to say is that the product mix will not change much going forward. Going forward, the cotton percentage might slightly grow what we had this year because we see a good growth in cotton in the coming next 3 to 5 years. And definitely we are growing in other crops also. As a low base, cotton will grow much faster than other crops.
Moderator: Thank you. Next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.
Pradeep Rawat: So, I have some basic questions. So, first of all, do we procure seed from outside or do we manufacture it in-house?
Mithun Chand: Basically, we produce the seed. We take land on lease, and we have our own seeds where we take the production activity and produce for ourselves.
Pradeep Rawat: So, you mentioned earlier that the supply of seeds was not good for cotton, so that's why our volume took a hit. So, I didn't get the point.
So, can you elaborate on that?
Mithun Chand: As I said that we take land on lease and produce it ourselves. Last time there was some

deficit rainfall in some areas where we have produced.
And the other thing is that the delayed, the intervals between the

rainfalls were too high and there was some pest infestation. So, these all are the effect of production activity. That's the reason we are not able to get the desired inventory levels.

Pradeep Rawat: And where do we have our lands? So, it is spread out over India or is it consolidated in some regions?

Mithun Chand: So, we don't purchase land. Based on our need and requirement, we take land on lease for the season and then develop, produce the habitats. There are some specific areas where the climatic conditions are good. So, we produce there.

For example, in cotton, we produce in Andhra, I mean to say the Gadwal region or some Maharashtra, Gujarat and some Karnataka. So, based on the climatic condition, we choose the land and that's how we produce it. Based on the need and requirement, we take land on lease and produce it.

Pradeep Rawat: And second question is, are we seeing decreased acreage of cotton, partly due to the high demand for maize and rice, due to ethanol policy? So, more land is being utilized for growing rice and maize, rather than cotton. So, is that understanding correct?

Mithun Chand: There are many reasons for that. As of now, the maize price has a high. One reason might be because of ethanol, but most of the ethanol projects are not started. But still the maize price is pretty high now. The maize crop looks much lucrative than the cotton. That's the reason farmers are also moving it. And the other thing is that cotton cultivation has become a bit difficult now, one, because of the pest, and second, because of not that lucrative price for the cotton. That's another reason why the cotton acreages are down.

Pradeep Rawat: And the key requirement per hectare of cotton acreage, so is it higher than the rice, maize? So, do we need more amount of seed to grow per hectare of cotton?

Mithun Chand: We can't specify that because some require in Kg, some require in grams. For example, per acre of land, cotton they require just like 900 or 1 Kg of seed, whereas in rice it require 10 Kg to 30 Kg. So, that all depends on which crop we are cultivating. In vegetables, it is in grams.

Pradeep Rawat: So, my next question is regarding the export. So, you mentioned that this was a lean quarter for export. So, can you highlight which is the bulk quarter for exports?

Mithun Chand: Usually second, third and fourth, because as of now we are very small, I mean to say, the base is very low. And when we add new countries, the sale based on their climatic condition, the export will go up, but usually 2, 3 and 4 quarters are the major quarters.

Moderator: Thank you. Next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.

Rohan Patel: Again, just to reiterate what you just said, that due to low base in cotton, we will be expecting cotton to grow faster than other crops in next 3 to 5 years. Is that right?

Mithun Chand: Yes, as I said that the overall Company growth in terms of the revenue should be 10% to 12% going forward, when you take a 3 to 5 years view, but being a cotton low base, from here, we expect higher double, I mean to say, like, better growth than the normal the normal growth in cotton.

Rohan Patel: And see, for that to happen and to capitalize on that, first the cotton acreage needs to be increased, and second is, we have to gain the market share for that. Is that assumption right?

Mithun Chand: Yes, definitely cotton acreages should remain stable or at least should go up. And the other thing is that we need to have enough production where we can supply for the demand. The other thing is that we need to

have good hybrids, pipeline hybrids or new hybrids which got introduced or which are getting to introduce next 1 to 2 years should do well. So, out of these 3, we expect the acreages going up. Second thing, we have a good production for the coming years and next, we have better hybrids. So, as a combination of these three, we see a good growth in cotton.

Rohan Patel: And do we see that just marginal increase in acreage, just to see that rice and maize are having good realizations for the farmers, and if cotton acreages don't grow substantially, with stable acreage or current acreage, we can grow at 10% to 12% the cotton seed for next 3 years. Is that possible?

Mithun Chand: Yes, even if by seeing the present acreages and if they are stable, still we can grow in those segments because we lost market share or we lost volume. Basically, we don't have the desired hybrid levels, hybrid what they want. For the next coming years, we will definitely have those hybrids because the production looks good for this year. And we had a very aggressive production program this year. So, I don't see any challenge for the desired products.

Rohan Patel: And can you name what kind of hybrid you are bringing into the market that will help us grow our share?

Mithun Chand: Sir, there are different segments and different hybrids. As a Company, as a whole, we market more than 200 hybrids. So, there are not only for the cotton but for a mix as a whole as a Company. So, we market more than 200 hybrids. So, based on each segment, we have different hybrids and different pipeline hybrids which are performing well. And that gives us confidence to say that we will grow much better in cotton in the coming year.

Rohan Patel: And just to confirm, like in previous calls you were saying that over the next 3-5 years, if we take, our non-cotton portfolio will be growing in range of somewhere around 15%, plus or minus 2%.

Mithun Chand: Yes, you see, we have grown much better this year when compared to what we have guided earlier. But we have lost our sale in cotton like more than 35% of our revenues and volumes.

Rohan Patel: Yes, I get that.

Mithun Chand: So, we are able to do better in non-cotton segment than cotton. But when you see as a combine as a whole for the next 5 years, even if you recollect, I was saying that there will be a year or two where we see ups and downs based on the seasonality and the pests. So, this is the season where we see that sort of difficulty. But when you compare in the next 3 to 5 years, as a consolidated or a CAGR basis, definitely we are growing between 10% to 12% in terms of revenue and 15% to 20% in terms of the margins.

Moderator: Thank you. Next question is from the line of Yash Gandhi from Stallion Asset. Please go ahead.

Yash Gandhi: I just want to understand how does the pricing sort of work in the industry and how do farmers sort of compare prices of different, different competitions? So, if you just sort of comment on that, just to sort of my understanding.

Mithun Chand: Definitely farmers compare with the price and with yield. If you see the expenditure or spend on seed as a total contribution is less than 5% for the farmer. So, he doesn't mind to spend more for the good quality seed which gives better yield than the competition. So, based on the

competition, based on our hybrid performance, we price it 10% plus or minus of the prevailing hybrid which is doing better in those markets. And in that way, the other thing is that when we are in the market, when our production cost is going up, that will be similar for the other competition as well. So, they will also increase the prices. In that way, more or less, we will be in line with the competition 10% to 20% based on our hybrid performance. So, that sh

ouldn't be a challenge for us.
Yash Gandhi: And sir, like, over here, would your distributors have some sort of leverage in terms of what areas or what state they want to sell, let's say, one particular brand against some other brands or do you have like sole distributors?
Mithun Chand: So, basically it's not like definitely distributors or retailers will have a say in the call, but more than 75% to 80% of the farmers buy the seed by seeing the performance. So, if our hybrid has those sort of a like what you say like potential to give better yield, then the farmer will definitely ask for that.
As rightly said, some distributors will have where they will say that 15% to 20% of the market where they push some products or where they get or the farmer, they take new hybrids, which are newly introduced in the market to try. Otherwise, like 75% to 80% of the farmers buys by seeing the performance of the habitats.
Moderator: Thank you. Ladies and gentlemen, as there are no further questions from the participants, on behalf of Kaveri Seeds, that concludes this conference. Thank you all for joining us. For any more information, please be in touch with Rama Naidu from Intellect IR on 9920209623.
Thank you. You may now disconnect your lines.

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Page 6 of 10e next question
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r 14, 2024

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Page 9 of 10ing to bring s o
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Call: Feb 2025

18th February 2025

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir / Madam ,
Sub: Transcript – Kaveri Seed Q3 & FY 20 24-25 Results Conference Call on
Thurs day, 13th February , 202 5 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited Q3 & FY 20 24-25 Results Conference Call made on Thursday, 13th February , 202 5.

The transcript and audio is uploaded on the Company's website as well on below link :

https://www.kaveriseeds.in/wp -content/uploads/2025/02/Transcript.pdf

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPAN Y LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

"Kaveri Seed Company Limited
Q3 & 9 Months FY25 Earnings Conference Call "
February 13 , 202 5

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR–
KAVERI SEED COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

Kaveri Seed Company Limited
February 1 3, 202 5

Moderator: Ladies and gentlemen, good day and welcome to Kaveri Seed Company 's Q3 and 9 Months FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode a nd there will be an opportunity for you to ask questions a t the end of today's presentation. Please note that this conference will be r ecorded. Joining us today on this call is Mr. Mithun Chand, Executive Director.
Before we begin, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation. I would now like to hand the conference over to Mr. Mithun Chand. Thank you and over to you, sir.
Mithun Chand: Thank you. Good afternoon and welcome everyone to our Quarter 3 & 9 Months Financial Year '25 Earnings Conference Call. We hope you had a chance to review the presentation of our results which is al so available on our website. I will touch upon the operational financial performance of the company and then open the floor for a question and answer session. Our standalone financial highlights for the quarter 3.
Revenue from operations was at INR154.77 crores registered a growth of 30.63% from INR118.47 crores in quarter 3 '24. EBITDA was at INR25.09 crores, registered a growth of 12.77% as compared to INR22.25 crores in quarter 3 financial year '24. Net profit was at INR15.04 crores as compared to INR11.66 crores in quarter 3 financial '24, grown by 29%.
For the first 9 months financial highlights, revenue from operations registered a growth of 6.3% to INR1044.61 crores as compared to INR981.89 crores in financial year '24.
EBITDA was at INR324.78 crores as compared to INR321.13 crores registered a growth of 1.14%. Net profit was at INR294.6 crores as compared to INR290.22 crores, grown by 1.46%.
Cash on book stands at INR499 crores. Operational highlights. Rice and maize continued to do well during the quarter. Increase in volumes in both selection, hybrid rice and maize has resulted in good growth rates on account of good realization and passing of increased production costs.
In spite of continuous disruption in exports, continued to maintai n growth in our profits at both EBITDA and PAT levels. Hybrid rice volumes increased by 14% and revenues by 27%.
Selection rice volumes increased by 18% and revenue increased by 34%. Maize volumes increased by 8% and revenues increased by 25%. Volumes of c otton hybrid decreased by 35% and revenues decreased by 27%. The contribution of new products to volumes of Bajra was up from 60% to 70%.
Vegetable seed sales volumes increased by 2%, whereas revenue increased by 3%. Export sales stand at INR18.23 crores as compared to INR38.1 crores in financial year '24. The decline is due to political unrest in Bangladesh. I would now open the floor for question and answer session. Thank you.
Moderator: Thank you very much sir. Ladies and gentlemen, we will now begin wi th the question and answer session. The first quest ion is from the line of Siddharth Dant from Goodwill. Please go ahead.

Siddharth Dant : Yes. For the 9 months, I've noticed that our product mix has shifted largely towards non -cotton with 26% growth there and a degrowth of 27% in cotton. So why has there not been a gross and an EBITDA level margin improvement considering non -cotton products are higher margin in general?
Mithun Chand: Usually, this time, the cost of production was also higher in most of the crops as the other expenses. If you see cost of goods remained same most of the time, slightly increased, but other expenses also have gone up in terms of the employee cost. All of them have added up to it. As the revenue is flattish on a year -on-year

basis, we see a slightly decline in EBITDA margins, which usually shouldn't be. But it should be corrected over the years.
And this time, it was a very, very high production cost w as also there, both in terms of the cotton and in terms of the other crops. So that has slightly impacted the margins of the company.
Siddharth Dant : Okay. And do you expect this to continue going forward the higher cost of goods sold?
Mithun Chand: No, th at we are trying to pass it on to the farmer. As we increase our revenues that everything will be stabilized.
Siddharth Dant : Okay. My second question was on new products within cotton. What is the status of our newer products a nd will we see commercializa tion in next year a nd can we expect cotton to have bottomed out this year?
Mithun Chand: Yes, we can think of that. We have launched a couple of hybrids in cotton. We have already

launched commercially, I mean to say, not in the pipeline. We have launched commercially and tested some hybrids. They are looking very promising. We think that we can definitely grow in cotton as well and this should be bottom year in the cotton crop.
Siddharth Dant : Okay. That's great to hear. And thirdly, I wanted to ask you ab out the payout policy. Last year this time we had done a buyback, but is that still on the cards or in the new tax regime or are we going to shift to dividends?
Mithun Chand: We need to think of that. We have not discussed in the Board because it's not eve n 1 year now. I will just discuss on that. But again, that's a Board decision. With the new taxation, we need to see what's best. Once we decide in the Board, we will come back to you on this.
Siddharth Dant: Okay. Thank you.
Moderator: Thank you. The next question i s from the line of Krushi Parek from Ugle Rock. Please go ahead.
Krushi Parek : I want to understand now that we are in the inventory gathering season right now, how is it looking as compared to the previous year in terms of volumes and in terms of value as well. I believe you mentioned that cost of production has been going up. But how are we looking to ensure we have enough inventory in terms of volume as well for the growth purposes?

Mithun Chand: So in terms of the production compared to previ ous year we are slightly comfortable this year. In fact, we have produced more compared to the previous year. We wanted to maintain some buffer stock as well going forward. So as of now, at this particular point of time, we don't see any threat for our pro duction. Crops are arriving now.
But still, there are other 1 or 2 months which are left out, especially for paddy. If we get any unseasonal event that should slightly impact. But as of now, we are very comfortable and we should not see any difficulty in t erms of the production aspect.
In terms of the cost of goods, yes, the cost of goods have gone up and slightly even now in the Rabi also the cost of goods have gone up, but we are trying to pass it on to the farmer. That we have done something in Rabi. An d for the next year, definitely, we can pass it on to the farmer.
Krushi Parek : Okay. Any color on how much the cost of production has gone up?
Mithun Chand: Based on hybrids and based on different crops, it has gone up. Usually, the cost of production is up by 5% to 10% in most of the crops. In some crops, it is more than 10%.
Krushi Parek : Okay. So except for maybe cotton, which continues to remain a bit regulated, we are looking to pass on the cost as much as...
Mithun Chand: Cotton is slightly difficult because the government need to increase the prices. That's what we pass it on the farmer. But end of the day, these are very temporary issues. It's like it's all in the business here and there, but we can definitely maintain our margins.
Krushi Parek : Okay. And how long does it take for us to get some kind of a realizat

ion increase from the government?
Mithun Chand: That again depends. Every year, they are increasing. This year also they need to take a decision. Still the time is there up to March, most pr obably they take in the month of February and March. So the time is there, we need to see. We need to wait and watch for that. But they also know the costs have gone up. By considering that, usually, they increase the prices. But being a government policy, it's not c orrect for me to comment on it, b ut they take into consideration everything.
Krushi Parek : Okay. Can I continue with one more question or there is a queue?
Mithun Chand: You can.
Krushi Parek : I can. Okay. So in terms of the new product launches, I mean, I believe the Bajra you mentioned that about 60%, 70% are the new ones and similar traction we are witnessing in the rice as well . So how much -- if we just want to try and understand that how m uch better are we as compared to the competitive products in terms of yield or the benefit? What is the internal benchmarking that we are look ing at? are we at par, a re we at significantly better as compared to the competition that we have?
Mithun Chand: Most of the times, not only for Kaveri, for the entire industry, if you launch normal hybrid or on par hybrid, you may not get any market share. You need to show some benefit over the

existing one. Then only the farmer will shift or purchase your seed. So i n that way, we see the growth it definitely shows that the farmer is interested to buy our products. That's what is reflecting in our sales.

Krushi Parek : Okay. So this increase in hybrid rice and selection rice by volume, is it more of a reflection of the products being better or that...
Mithun Chand: Yes, that's what we need to see.
Krushi Parek : Okay o r is it also a function of that we have made them available ?
Mithun Chand: So it's a combination of all. The top priority is for the performance of the hyb rid, then the availability of the product, your reachability, all comes in that 30% to 40%, but more than 50% to 60% lies with the performance of the hybrid.
Krushi Parek : Okay. Got it. And in terms of exports, how are we shaped up now, especially that -- I mean what we have seen thus far has been a little volatile for us. And now that we have also set -up an office in Bangladesh. So apart from Bangladesh -- so Bangladesh is one and then I think even in Africa we were looking to make some inroads. So how is that shaping up?
Mithun Chand: When compared to last year, we are down in export, but last year, we have done INR65-odd crores in terms of export, wherein close to INR35 crores was from Bangladesh and INR30 crores from other countries. Even in other countries, it was from Tanzania, majority of the sale where we got the government order.
Last time itself, we told that it's a one -time order, we may not expect this. But the normal organic growth, we can -- we thought that we'll continue. But during -- by seeing the political situation in Bangladesh, we are down by more than INR20 crores itself in Bangladesh. So that's the reason we have seen a dent.
But going forward, we see a very good market for exports. S o we have expanded to many other countries. That will eventually result in revenues in the next 2 to 3 years. So we are pretty confident of our exports. And most of the hybrids we have taken trial in other parts of the world are very promising and encourag ing.
Krushi Parek : Okay. Got it. And the cotton prices have been flattish to even a bit decline -- I mean, a bit muted as compared to, say, last year ?
Mithun Chand: Sorry?
Krushi Parek : The cotton prices.
Mithun Chand: Commercial prices you're talking abou t?
Krushi Parek : Yes, the commercial cotton prices. So do we expect any shrinkage of acreage in cotton because of this?

Mithun Chand: No, I don't see. But even the central government is also taking initiatives to -- if you see the budget, they want to give support to the cotton and the textile people. But we don't see any decline in cotton as of now. It should remain as it is. Maybe 5% plus or minus based on the monsoon, but we don't see any decline anywhere like something r eally for the cotton agri used to go down.
Krushi Parek : Okay. If there is no one in the queue may I continue.
Mithun Chand: I don’t know.
Moderator: Can we request you to come back in the queue.
Krushi Parek : I will. Thank you.
Moderator: The next question is from the line of Sanjeev Zarbade from Dream Ladder Investments. Please go ahead.
Sanjeev Zarbade : My first question is what would be the outlook for maize in the next two quarters?
Mithun Chand: Next two quarters?
Sanjeev Zarbade : Yes.
Mithun Chand: Anyway, fourth quarter is a very insignificant quarter for us. We don't have any sales in that. But first quarter is the main quarter for us, that is for the next year financial year. We see very good growth in maize, like it is 10% to 12% growth in terms of the volumes for the next year. And the maize acreages are also going up. As a crop also, maize looks very good going forward.
Sanjeev Zarbade : Yes, I have two more questions. First one is, when will you see a breakout adoption in rice?
Mithun Chand: It's -- the adoption is really slow. It did not go the way what we thought. But if you see, the seed replacement ratio has gone up in rice also. It was like 25%, 30% like 12, 13 years back, but now it has moved to 60%, 70% now. That's really encouraging with the first step to go for hybrid.
So going forward, if we have hybrids in the right segment, definitely, I think the hybridization will be very fast. And most of the companies are coming with those type of hybrids, including Kaveri. So we don't -- as of now I can't say that exactly h ow fast will it grow, but definitely, eventually, it will move to hybrids.
Sanjeev Zarbade : Okay. And is there any progress on HTBT cotton from government end?
Mithun Chand: It is much positive when compared to 3 years back. It's moving on. We can expect a ny time.

But again we are not able to time it, but the government response is encouraging in terms of the new technologies.
Sanjeev Zarbade : Okay. Sir that's it from my side and thanks for answering the questions.

Moderator: Thank you. The next question is from the line of Harsh Vora from DR Choksey. Please go ahead.
Harsh Vora: I have one question regarding the -- what do you expect to be the growth rates for the next 2 years at both sales and PAT level?
Mithun Chand: We think that we c an grow at 10% to 12% at the top -line and 15% to 20% at the bottom -line. This year was -- we couldn't grow in that way because of the cotton and the increase in the production cost. But going forward, that should continue. That's the broader guidance what we give.
Harsh Vora: Okay. And any investment on expanding capacity that you have planned?
Mithun Chand: That's a continuous activity. We are already doing it. Again, we are constructing other processing line and warehouses. But in terms of the capex, year -on-year, INR30 crores to INR40 crores should be at a very high er for the next 2 to 3 years.
Harsh Vora: Right, sir. Thank you so much.
Moderator: Thank you. Th e next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.
Rohan Pate l: Yes. I wanted to ask like the new seed share in -- if you can give us a proportion of what are the contribution of new seeds in cotton, hybrid rice, selection rice and maize for this year?
Mithun Chand: Sorry, I couldn't hear you properly.
Rohan Patel: Yes, sure, I will go ahead. Contribution of new products, basically new seeds

to volumes in
cotton, hybrid rice, selection rice and maize. Like contribution of new products ?
Mithun Chand: Contribution of new products. I don't have the exact figure as of now, but contribution in most of the crops, except for cotton, all the other crops, like it remains in between 30% to 40%. Cotton contribution is slightly lower because most of the hybrids are pretty old hybrids. Cotton it should be like 10% to 15%, but ot her crops are in between 30% to 40%. I don't have the exact figure, but surely that range is in that figure.
Rohan Patel: Okay. And going forward for next year, considering that cotton is at a lower base and we are -- like last quarter, you said that it ca n grow at 15%, 20%. So how much would be the contribution of new products in that growth for us?
Mithun Chand: In terms of the cotton, whatever we are talking about the growth, majority of that will be from the new products.
Rohan Patel: Okay. And for othe r like non -cotton products, how will this new product share improve?
Mithun Chand: Because most of the hybrids are very new, in our terms, we say like new products are nothing but 0 to 4 years in terms of our reporting. So most of the hybrids are new hybri ds. If some hybrids moves out of the 0 to 4 years, some other hybrid may contribute. But usually, it should

be like 30% to 40% going forward as well, because every year, new hybrid comes in and another hybrid goes out. So we say like 0 to 4 years is only w hat we say the contribution from new hybrids.
Rohan Patel: Okay. And can you explain us like how will we -- like we are growing top -line at 10%, 12%, that's fair enough, like considering our product portfolio. But how will t he margin improve from here on, like it will be like price increases or like better quality, high margin ?
Mithun Chand: So when I say the revenue of 10% to 12%, it is a combination of price and the volume. But as we grow -- as we increase our sales, the other costs also get optimized. So at the EBITDA level, we can definitely increase our margins.
Rohan Patel: Okay. So this would be more from -- coming from higher scale rather than high -value product or increase in…
Mithun Chand: We are already there because as we are already passing on to the farmer, all the production cost is also up. So it may not be immediately in 1 year or so where we can pass it on the entire cost. But overall, with all the other things contributing to it, we can go in that fashion.
Rohan Patel: Okay. That was from my side. If I have any more questions I will get back in the queue. Thanks.
Moderator: Thank you. Th e next question is from the line of Mohammed Patel from Care Portfolio Managers. Please go ahead.

Mohammed Patel : Sir, what was the regulatory price increase given by the government in last year for cotton in percentage terms?
Mithun Chand: In terms of the absolute, it was like 1.5% or 2%. I don't remember that selling price is like INR857 now. It was from INR845 or INR840.
Mohammed Patel: And what was the increase in cost of production for cotton this year?
Mithun Chand: Cost of production has gone up somewhere in between based on the hybrid went in between INR50 to INR100.
Mohammed Patel: Okay. So do you think that this time around, the increase will be higher than 2%, 3% from the government side?
Mithun Chand: If you take the previous year not for the last year, but if you take the previous year, it was like close to 5% to 7%. So certainly, the prices have moved up last year. That we have already represented to the government saying that the prices have moved up, but they need to take a call. Eventually, what -- it may not be this year or so, but eventually, they need to increase the cost because that is the way otherwise the cotton seed industry may n ot survive. So tha t they keep everything in the back of the mind and then dec

ide on the price.
Mohammed Patel: So if you are saying it will be lower than the cost of production increase, then there will be pressure on cotton margins for FY '26?

Mithun Chan d: Definitely, there will be pressure in the cotton margin, but the other crops will be doing well. So that's the reason as an overall basis, we will not be that much stressed.
Mohammed Patel: Okay. My next question is, you said seed production is good as compared to last year. But if you can answer separately for non -cotton crops what is the growth? And for cotton, what is the growth of production of seeds?
Mithun Chand: Across the board, across all crops, we have increased the production, both in terms o f the cotton and non -cotton segment. Production will be definitely higher like 25% to 30% more than the last year.
Mohammed Patel: Across all crops?
Mithun Chand: Across all crops.
Mohammed Patel: Okay. And for which crop you said the cost of production is higher by 10%? That is cotton?
Mithun Chand: One is cotton, even rice, some parts of maize.
Mohammed Patel: Okay. So rice, we should be able to pass it on, right?
Mithun Chand: Yes, because this is not control with the government. We are already doing it. For example, Rabi, we have started passing on to the farmer. Next year, we'll definitely pass on more.
Mohammed Patel: Okay. And you said cotton new product contribution is right now 10% to 15%. So in the next few years, are you expecting this to increase to 30%, 40% like the other crops?
Mithun Chand: Definitely, In fact, it will be in the next 2 to 3 years, majority of the contribution to the revenues will be from the new products. So definitely, that will also go to between 30% to 40%, 50%. At an avera ge, any given point of time, what we see, what we are looking at trend in the previous years and most of the crop, the contribution from the new crops are in between 30% to 40% across.
For example, in some crops, cotton, it might go up because most of the varieties are very old.
For example, in B ajra, it looks like 60%, 70% because the base is very small. As you increase the base, definitely, the contribution will be in between the 30% to 40%.
Mohammed Patel: So you are saying next few years, cotton should do well, non -cotton should do well. Overall, I think next few years are looking much better than the last 2 years ?
Mithun Chand: Yes, exactly.
Mohammed Patel: And on the exports, is it a higher margin business?
Mithun Chand: Yes, decent margins. We can relate it to the normal margins here apart from a few countries of some stock. But otherwise, other crops are profitable. Very few occasions we sell at a very low price. But otherwise, okay, for example, last time we did to Tanzania, but we wanted an entry

so that we have given at a lower price. But usually, when we sell in a normal open markets, we maintain our margins.
Mohammed Patel: Okay. So you still stick to the INR150 crores, INR200 crores guidance for exports in the next few years?
Mithun Chand: 3 to 5 years, yes, definitely between close to INR160 crores we can see, 3 to 5 years.
Mohammed Patel: Thank you.

Moderator: Thank you. The next question i s from the line of Krushi Parek from Ugle Rock. Please go ahead.
Krushi Parek : Yes. So one thing is, I mean, I just want to clarify the inventory volume growth we are expecting in the March will be somewhere around 10% is what you mentioned, right?
Mithun Chand: It will be more than that, but it may not be -- it depends on the arrival of the crop, may not be exactly by March end. It should be before March or after March, that depends on the crop arrival. But across the previous year, we can see at least 20% more than -- 15% to 20% more than previous year's volumes.
Krushi Parek : In ter

ms of volumes?
Mithun Chand: Yes.
Krushi Parek : Okay. And so we were talking about this rice hybridization, it's not picking up. Can you give some sense on what are the bottlenecks that the industry is facing or even we are facing that is stopping this hybridization process?
Mithun Chand: Basically, when we try to introduce a new variety or a hybrid, it should do better than the existing one. In rice, the existing varieties are doing well. And across the industry, we are not having standard rice hybrids. Most of that are in bol d rice. Now the pipeline hybrids are coming in standard rice. Once it comes in, it might pick -up.
Krushi Parek : Okay. So basically, what you're suggesting is that the product is not that -- I mean, it's not -- and even in terms of yield or just product?
Mithun Chand: Everything, yield, and product both. Wherever we are able to show better yield than the existing varieties, there the hybridization is much faster. And now most of the rice have moved to the standard rice segments. For example, in Southern Indi a, we don't see much of an hybridization except for the Northern India.
Krushi Parek : Okay. And so basically, currently, even our offering is not that materially different versus what is available in the market currently?
Mithun Chand: Yes. Most of the pla yers are in the same segment, but the new pipeline hybrids are coming in the standard segment for us.

Krushi Parek : Okay. And one last question. In terms of adding our distribution, how are we placed? So I believe in most of the states of India, we are now present. In terms of expanding our reach and making our products available, how are we placed this year as compared to the previous year? And how we are likely to be in the next 3 to 5 years?
Mithun Chand: In terms of the network, we have got one of the l argest network. As rightly said, we are there in more than 23, 24 states across India. We have the largest network in terms of the distribution in terms of the warehouse network across India. We have a complete reach in most of the places where we operate.
In terms of adding of new dealers, it may not be that significant because we are already there in most of the segments. But wherever we have left behind some segments where our products are there, where we might have, but that will be very negligible whe n compared to the existing one.
Krushi Parek : Okay. So basically, whatever growth we are likely to expect is from the new launches and introducing more products in the same segment?
Mithun Chand: Yes, most of that will be from the new launches and very lit tle from the area where we are not present.
Krushi Parek : Okay, got it. Thank you so much.
Moderator: Thank you. Th e next question is from the line of Siddharth Dant from Goodwill. Please go ahead.
Siddharth Dant : Yes, I had one follow -up question. Could you just comment on why BG 3 cott on has not yet come into India a nd has there been any progress on that or is it still stuck?
Mithun Chand: The trials are complete, almost complete. It's been long waiting for BG 3. We are wa iting the government appro vals, b ut compared to 2, 3 years back now at least the government is much positive and they are still trailing o n it and the discussions are happening. So we are pretty -- we see that it might come any time. But that's why I was saying for the last 1.5 yea rs. There's some progress. Like unlike in the previous years it was completely stalled, that's not the case now.
Siddharth Dant : Okay. And what about pricing over here? Is there any -- is there a simil ar price cap we can expect in BG 3 or there's nothing o ut there?
Mithun Chand: Yes, price cap will be there. But again, the price will be negotiated by the service provider for the government and the players.
Siddharth Dant : Okay. That's great to hear. And anything else on

other GM crops in terms of trials?
Mithun Chand: No, once it need to -- most of the crops also the trailings are happening. But first of all, BG 3 need to be cleared, then the other crops might come. First crop to come will be BG 3. But the trailing -- most of the tra iling and the data is a lready present in the government and the service providers, technology providers.

Siddharth Dant : Okay. That's great. Thank you.
Moderator: Thank you. Th e next question is from the line of Rohan Patel from Turtle Capital. Please go ahead.
Rohan Patel: First of all, I want some data points, like how many packets of cotton we have sold this year and the revenue that we have generated?
Mithun Chand: Cotton, we have sold around -- we have sold 36 lakh packet, 35 lakh, 36 lakh packets. The revenue is INR258 cror es.
Rohan Patel: Okay. And sir, can you provide us with market share in like regarding cotton in Gujarat, Maharashtra, Telangana, Andhra Pradesh and UP and Madhya Pradesh?
Mithun Chand: We are there, but we have the highest market share in Gujarat, because this year was a low base, we have close to 20% -odd market share in Gujarat. In all other states, between like 5% to 10% market share.
Rohan Patel: So we have probably lost our market share significantly from Maharashtra as well as Telangana, Andhra Prades h if we see that 5% to 10%.
Mithun Chand: Yes. See, we have done only 36 lakh packets of a total market share of close to INR4 crores -odd. So we are in between that 8% to 10% market share now. So earlier, we were at 15%, but this year we lost. If you take the last year sales, we were like 55 lakh packets, which is close to like 13%, 14% market share.
Rohan Patel: Okay. And what was the main reason? Like were we lagging behind with hybrids or like there was a pricing issue or new players that have come in an d sold, penetrated...
Mithun Chand: It's a combination of all. One is that it was pretty old hybrids. There are some other competitive hybrids which are doing well. The other thing is the availability was also low and we were trying to realize more from th e competition when compared to the competition. These all contributed for a degrowth.
But we were pretty conscious what we are doing about. And now when we talk about going for the future, we said that new hybrids are coming up, which we already tested an d sold even commercially sold in the market. Those are really performing well and we see good sales in those hybrids.
Rohan Patel: Okay. So considering that now we will be having our new hybrids back, so can we think about that growing this from, say, 37 l akhs to again to, say, 60 lakhs or about 55 lakhs, 60 lakhs?
Mithun Chand: Definitely. In the next couple of years, definitely, that's the margin we are looking at. In fact, if everything goes right, we can go back to our peak levels, which were like that 8 million packets in the next 5 to 7 years.
Rohan Patel: In next 5 to 7 years, back to 8 million packets?

Mithun Chand: That's our internal target, but we'll again update you in between. But for the next couple of years, we definitely see the growth, 2 to 3 years.
Rohan Patel: Okay. Thanks.
Moderator: Thank you. The next question is from the line of Janish Shah , an Individual Investor. Please go ahead.
Janish Shah : Yes. I just have one broader question may be related to the macro kind of a question. Basically, you've seen the weather patterns have been changing and even in India for the last couple of years, the monsoon has been very erratic. How are you planning to -- or I mean how do you see this change im pacting your business, whether positively, negatively?
And how do you see the farmers adopting or changing their behaviours with regard to your seeds or maybe any other prod

ucts or any other segment which may see a kind of a change in adoption or the practices?
Mithun Chand: If you see the last 10, 15, 20 years, even more than that, every year, the climate is changing. As you rightly said, we have erratic monsoons. Not only monsoons, like very unseasonal rains, which are really damaging. So this is definitely affecting the cropping pattern. And more than the crop, because usually what happens most of the time, the farmers at th e initial showers, for example, once we receive the rainfall in Kharif ranging from May to July across the country.

Once the soil has got the enough moisture, they try to sow the seeds and harvest according to duration of the cr ops. By changing climatic c onditions, by erratic monsoons, we are -- the crops are getting new pests, new diseases, new viruses. So that's what impacting the yields. So as there are new tests and new diseases, we are trying to develop hybrids which are resistant to those.

So that's the reason every time the farmer requires new hybrids, usually, the cycle like 3 to 5 years is the cycle of the hybrid, again a new hybrid comes in. So that's how it goes on. And I think that will continue going forward also.

Janish Shah : Okay. And with r egard to the pricing, I mean, you said cost, which is already up by 5% to 10%, how is the pricing is being marked to farmers? Especially a situation where we ha d like last year, there was a deficient monsoon and farmers' income generally were under stress . This year monsoons have been better, but it is on the higher side.

I'm saying there's an excess in some part. I don't know how that is going to have an effect. But in general, like how do you price your product to ensure that the demand is right , the pr oduct is well adopted by the farmer, I mean, without impacting their cost of production or maybe any cost benefit analysis that you can share with us?

Mithun Chand: There are basically two sets of farmers. We deal with production farmers. Production farmers are nothing like the farmers who produce seed. Like we have our own research, we take land on lease and produce our own seed. So for us, the cost is like the lease cost, the pesticides a nd

what are the labor, fertilizers, everything comes into our cost. And end of the day, you need to get a better yield. So these are the costs involving for us.

And usually, when we do the farming the other costs are going up, definitely, the seed product ion cost will also go up. And that will be the same for the commercial farmer also.

Commercial farmer, nothing but where we sell our hybrid seeds and they grow it on their own and the grain is sold in the market.

So for him also, the cost is same. Over an d above that, either yields or MSP s have gone up, the cost of cultivation is definitely high. So that's where the cost of production goes up. If you get a bumper yield, the cost of production will be down.

Janish Shah : Okay. So -- but your pricing is like a pass, I mean , you have a pass -through kind like I'm saying whatever the increase you have been able to pass on...

Mithun Chand: For example, if I produce a corn hybrid, the remuneration for the normal farmer if he takes corn hybrid like is INR30,000, INR40,000, say. For our farmer, definitely looks at INR50,000, definitely 20% to 25% more than the existing farmer. So that's how the entire cost works out to be.

Janish Shah : Okay, understood. Thank you very much.

Moderator: Thank you. Th e next question is from the line of Krushi Parek from Ugle Rock. Please go ahead.

Krushi Parek : Yes. Just one housekeeping question. There was about 16%, 17% jump in the employee cost. Can you help me understand why this much jump? I understand revenue has jumped 22%, but from about INR35 crores last year and about INR30 crores on an average that we have for other quarters, around INR41 cro

res jump is something that I'm looking to understand?

Mithun Chand: For the entire 9 months you're talking about?

Krush i Parek : No, for the Dece mber quarter?

Mithun Chand: December quarter, sorry, employee cost?

Krushi Parek : Employee cost?

Mithun Chand: One, there are usual increments what we give. And the other thing is count also we have increased the count. We b oth wil l contribute for the employee cost.

Krushi Parek : Sorry, you have increased what?

Mithun Chand: One is the count, employee count and other one is a normal increments.

Krushi Parek : Okay. And the employee count is increased in a particular category of employees, in which category?

Mithun Chand: Across.

Krushi Parek : Across. And this is in anticipation of something?

Mithun Chand: So one -- see, one , we are increasing production t hat itself shows that we require more people in the production, more people to test and more people to process. Again, we require more

people to sell it also. So based on the areas and all those things, it all goes up across the Board.
Krushi Parek : Got it. So rate will be somewhere around 8%, 9%?
Mithun Chand: Yes, usually, aroun d 8%, 9% right.
Krushi Parek: Okay. Thank you.
Moderator: Thank you. Ladies and gentlemen that was the last question. Thank you for joining the call. For any other information, please be in touch with Mr. Rama Naidu from Intellect PR on 9920209623. On behalf of Kaveri Seed Company Limited, that concludes this conference. Thank you all for joining us. And you may now disconnect your lines. Thank you.

Call: May 2025

23rd May 2025

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir / Madam ,
Sub: Transcript – Kaveri Seed Q4 & FY 20 24-25 Results Conference Call on
Tuesday, 20th May , 202 5 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited
Q4 & FY 20 24-25 Results Conference Call made on Tuesday, 20th May , 202 5.

The transcript and audio is uploaded on the Company's website as well on below link :

https://www.kaveriseeds.in/wp -content/uploads/2025/05/Transcript -1.pdf

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

MANA

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Call: Aug 2025

18th August 2025

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir / Madam ,
Sub: Transcript – Kaveri Seed Q1 & FY 20 25-26 Results Conference Call on
Thurs day, 14th August , 202 5 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited
Q1 & FY 20 25-26 Results Conference Call made on Thur sday, 14th August , 202 5.

The transcript and audio is uploaded on the Company's website as well on below link :

https://www.kaveriseeds.in/wp -content/uploads/2025/08/Tran .pdf

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

"Kaveri Seed Company Limited
Q1 FY26 Earnings Conference Call"
August 14, 2025

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR –
KAVERI SEED COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seed Company Limited Q1 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. Joining us today on this call, we have with us Mr. Mithun Chand, Executive Director. Before we begin, I would like to mention that some of the statements made in today's conference call may be forward-looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation. I now hand the conference over to Mr. Mithun Chand. Thank you, and over to you, sir.

Mithun Chand: Thank you. Good afternoon, and welcome, everyone, to our Q1 financial FY26 earnings conference call. We hope you had a chance to review the presentation of our results, which is also available on our website. I would touch upon the operational financial performance of the company and then open the floor for Q&A.

We are delighted to declare a good set of numbers on account of increasing acreages and higher realizations of non-cotton segments like rice and maize. Increased volumes of non-cotton hybrids have resulted in good realizations, which has been well reflected in the overall revenue growth. The increase in contribution of new products of volumes of cotton will have major impact in the quarters to come in our overall cotton revenues growth. Rice, maize and vegetable segments continue to grow both in terms of acreages, revenues, so as realizations. In spite of restrictions in hybrid rice sowing in Punjab, we had delivered good set of growth in hybrid rice revenues. We have witnessed a trend of substantial increase in revenue growth as compared to volume growth across all non-cotton segments like rice, maize and vegetables, which would continue in the next years to come.

Revenue from operations was at RS. 945.31 crores as compared to RS. 808.09 crores in Q1 FY25, registered a growth of 16.98%. EBITDA was at RS. 332.85 crores as compared to RS. 292.79 crores in Q1 financial year FY25, increased by 13.68%. Net profit was at RS. 316.50 crores as compared to RS. 282.91 crores and registered a growth of 11.88%.

Key highlights. The contribution of new products of volumes of cotton, up from 12% to 34%. Cotton sales impacted by increase in illegal cotton, increase in cost of production of cotton seed impacted the profitability. Hybrid rice volumes increased by 6.48% and revenues increased by 32%. Hybrid rice restricted in Punjab affected the sales in that state. Selection rice volumes increased by 1.5% and revenues increased by 11.58%. Maize volumes increased by 21% and revenues increased by 54%.

Vegetable seed volumes increased by 28%, whereas revenues increased by 41%. Volumes of non-cotton hybrids increased by 8% and revenues increased by 31%. Volumes of cotton hybrid decreased by 15%, and there is a corresponding decrease in revenue. I would now open the floor for Q&A session.

Moderator: Thank you very much. The first question comes from the line of Siddhant from Goodwill. Please go ahead.

Siddhant: My first question was when you refer to the cotton illegal seeds, are these largely BG-III seeds?

Mithun Chand: Yes, basically illegal BG-II RRF seeds. That's what we call as illegal seeds.

Siddhant: Okay. Any update on the BG-III?

Mithun Chand: Not yet, but it's been positive, any time it should come by seeing the growth in this type of illegal cotton, even the government authorities are a bit worried about it and even farmers for new technologies. We

have a continuous dialogue with the approving authorities. So any time we may expect it.

Siddhant: Okay. Any update on non-cotton GMCs or testing?

Mithun Chand: As of now, now, the testing is going on, but not much. What we think is that initially, first thing will be the cotton segment because which is already approved in the market and non-cotton segment may take some more time to get the formal approvals.

Siddhant: Okay. The non-cotton growth that we achieved this quarter, firstly, congratulations on that. Secondly, do you think this will sustain at this rate for the next few years or maybe a lower rate?

Mithun Chand: Definitely, what we think is that non-cotton segment should be in and around the 20% growth levels going forward as we see acreage increase in maize. And even we see the rice market to go up. This time, even the rice market grew when compared to previous year, majority of the market was in this varietal speed and not in the hybrid segment.

But definitely, what we anticipate is that definitely the move to hybrids. We see both acreages coming up in both maize and hybrid rice, whereas Kaveri, we are well placed in maize. We have very good pipeline hybrids which are coming in, which are for not only for the southern segment, but also we are already working on the segments where we are not there.

Even in rice, we are working on the segments where we are not there. So we have very good

pipeline hybrids in those segments. What we think we believe is that going forward 20% growth in non-cotton segment is very much possible.
And coming back to cotton by seeing the base what we have. Even last year, we said that we have a low base, we will not go back but the illegal cotton has gone up this time and the acreages are also slightly down. That has impacted the sale. But the plus point in our sale this year is that even though we have decreased in our sale, the new cotton contributions have gone up when compared to the previous year.
So those are the segments which are doing well. So definitely, we think that even in cotton, we see a good growth coming. We just got delayed by a year or so, but we are pretty confident

about the cotton growth. And overall, we see the company to grow 15% to 20% going forward for the next 3 to 5 years which looks pretty much possible.
Siddhant: Okay. Within the cotton, is the illegal seeds productivity higher than the BG-II seeds that we are selling right now or the industry is selling right now?
Mithun Chand: Right now, what we anticipate is that is our company's internal thing, may differ from other companies. But what we see the 20% of the market is in the illegal BG now.
Siddhant: Okay. No, I'm talking about the productivity of those seeds. Is it better than...
Mithun Chand: No, we still need to watch it now, we have seen a mixed result on that. The crop is still growing and we are yet to see the results. But anyway, the government is also acting very harsh now. They have witnessed this type of growth. We all as an association, we all represented saying that it will harm the farmer going forward because they don't know what sort of seed they are putting in. So that also will impact yield going forward. So I think that will be corrected.
Siddhant: Perfect. Last question before I join is, what is our dividend cash payout policy? Because I think we're sitting on all-time high cash and we had a buyback policy before. Now what is it going forward?
Mithun Chand: Not at a high because as we have produced more inventory this year, majority of the cash is there in the inventories, which will be realized in the next coming quarteRs. But as of now, we have not taken any decision on the buyback policy. Dividend will definitely be there. We'll come back with the policy once we have the discussion on it.
Siddhant: Okay. And because you are sitting on all-time high inventory, do you exp

ect some inventory to get written off or not really?
Mithun Chand: Whatever inventory we have is all new inventory. Our written off is always a part of the system. So we don't see any sort of high risk in writing it off as of now. But the stock is not yet returned. We have just made a provision. It is reaching the stock. We'll meet it through the quality test and do that. But with our experience, what we see is that most of the stock is this year produced stock. So usually, these stocks lie for 2 to 3 years. So we don't see that sort of risk.
Moderator: The next question comes from the line of Amit Doshi from Care Portfolio Managers Private Limited.
Amit Doshi: Sir, while we say that we have a 17% growth, that's on the stand-alone. When I look at the consolidated numbers, we are in a single-digit growth. So is it fair to say that the sales that we have done is lying in as inventory in subsidiary? I mean any clarification that you would like to give.

Mithun Chand: So we don't have any inventories in subsidiaries because whatever we sell is through subsidiaries only. Majority of the subsidiaries when we see, it's only cotton, not the other crop. That's the reason you see a single-digit growth there.
Amit Doshi: No, still not very clear. So when you say consol has RS. 945 crores of sales, whereas -- sorry, stand-alone has RS. 945 crores of sales and consol has around RS. 90 crores less sales. So I didn't get the cotton part.
Mithun Chand: No, as per the accounting, we need to deduct that, but that's the only thing. That's the reason you see a single-digit growth there. We need to knock out that sale.
Amit Doshi: But ultimately, as a company, including subsidiary, we would have done sales of only RS. 50 crores, right, and not RS. 945 crores.
Mithun Chand: Subsidiaries, we have done more sale in subsidiaries. But when we see the entire source of the seed is from the main company seed. For example, if I sell RS. 700 -- if I sell at RS. 800 in

cotton there, the RS. 600 is registered in the books of Kaveri, only RS. 200 is registered in the books of subsidiary. That's the reason, you see a very small growth there, only RS. 50 crores sale there. Anyway I will come back with those -- anyhow I will come back with...
Amit Doshi: Not very clear on...
Mithun Chand: I will also try to clarify that. I will also try to clarify that regarding the consolidated one, in what way the accounts are treating it, I will just -- do that.
Amit Doshi: Sure, sure. Sir, in terms of volume growth and price growth, we have seen significant price hikes in all of the seeds except the cotton one. So any particular reason that this time there is no significant demand or some price hikes that we have taken? Anything particular because all volumes have grown, but the price has grown far higher. So anything on that?
Mithun Chand: If you see the last 2 quarter con calls, we were saying that the cost of production is going up in most of the crops. That's what we have seen here. And we were able to pass on the cost of goods to the farmers in non-cotton segment. Whereas in cotton segment, because the prices are restricted by the government and there was a lot of inventory, the demand was not that good. So these all have affected in not passing on to the farmer. That's the reason even though we have realized a few tens of rupees more than last year whereas the cost of production was really high when compared to the last year which had impacted our profitability.
Amit Doshi: Okay. So that is something which...
Mithun Chand: If you see the decline, we are down by like 1% in EBITDA margins compared to the previous year. Usually, when we do sale in non-cotton segment, the margin should go up. in fact, the margins have gone up in non-cotton segment, but the margins in cotton have dragged a bit. That's the reason we have seen a dip of 1% in the overall EBITDA mar

gins.
Amit Doshi: Understood. Understood.

Mithun Chand: And that's a very temporary thing. This year, all the companies have produced more. Now it should moderate.
Amit Doshi: Okay. Okay. And sir just earlier participant spoke about inventory of course we had a very high inventory compared to last year, RS. 750 crores, more than RS. 1,000 crores. So last time you mentioned we produce buffer stock. So you did mention, but do you see anything significantly liquidating in the second half in the rabi season? And how do you see rabi season...
Mithun Chand: Definitely, the second half will be much better than last year because we see a huge, I mean, very good positivity for maize. And if you see this year also, our major crop is maize, which has grown by more than 21% in terms of volumes as well. And going forward also maize is a crop which will grow. Vegetables have also gone up. And when you see the next 3 quarters of the second half, basically, it should be much better than what we had earlier.
Amit Doshi: Understood. Understood. Sir, any clarity on the tax matter that which is still pending or hanging for...
Mithun Chand: As of now, no case is disposed at commissioner level, I mean, the CAT appeals level. If anything is there, definitely, we'll inform to the investors and the exchange.
Amit Doshi: No anything at the policy level. So the current...
Mithun Chand: Policy level, not yet. But as an industry, as an association, I'm also part of it. We are continuously representing it, and they also want to make a policy which they are still working on it. There are many reports which suggest that it should be treated as agriculture income internally, but we are waiting for the policy. We are trying for it. I'm not sure when we'll get, but we are continuously trying for that.
Amit Doshi: Okay. Okay. And sir, we also have crop nutrients as a part of our sales. So what percentage of that would be -- I mean, sales breakup you have given, but this crop nutrient segment?
Mithun Chand: Sorry?
Amit Doshi: We also have crop nutrients segment, right? Or everything is...
Mithun Chand: Yes. we have but that all comes in the subsidiaries, but that's a very small part of the business.
Amit Doshi: Okay. It would be less than the...
Mithun Chand: The crop nutrients is only RS. 45-50 crores business as of now. But even we see good growth going forward in the next 3 to 5 years, it will contribute to the top line. We're working on the products earlier, maybe in a year or 2, most of the products and the network will be across India.
So we see good activity in those segments. And the other part, what we have done in this year in the last 1-2 years, even in subsidiaries, we were only doing cotton earlier. But we have

many products in R&D because we have expanded our subsidiary network to other states
where we are giving other products which are not there in Kaveri.
For example, if you have 2 or 3 hybrids in Kaveri, one of the hybrids are given to the
subsidiary so that we can market all the hybrids. Because in a company, we can't market all the
hybrids at a go. So we are already expanding those networks. So even in subsidiaries, we'll
also do very good business going forward, both in cotton and non-cotton segment.
Amit Doshi: Okay. Okay. And sir, when I look at other peer segment results, peer companies in the listed
space, so they have also done significantly well, like Rallis if I take more than 35% growth. So
this time, is it across industry, would you want to say that Kaveri has also done in line with
industry or slightly...
Mithun Chand: That we need to see because this time, the industry was tough, except for maize in most of the
crops, they were not able to do, for example, cotton, no. But whereas Rallis, their hybrid has
done well in Northern India, cotton beca

use every company has their own policies initially
because some do that in first quarter, some do in second quarter. But as a policy as a company,
we take only the liquidated stock as the sale and provide everything as returns, whereas other
companies take the policy of 10%, 15% or so.
Usually, this time, what we see in the industry is the returns are more than the usual terms. So
we need to check for the second quarter results, and we can only say what they have done well
because we don't have an exact idea what the liquidation amount is. Once you see the second
quarter, we can compare first half to first half and then we can draw a conclusion.
Amit Doshi: Okay. Okay. I will reach out to you separately on the revenue standalone consolidated.
Mithun Chand: Sorry.
Amit Doshi: Thank you so much for the stand-alone consolidated clarification. I will reach out to you
separately...
Mithun Chand: Yes. I'll definitely try to work on it. I'll just try to understand...
Moderator: The next question comes from the line of Dhruv Saraf from Bowhead India Fund.
Dhruv Saraf: Congratulations on the good numbeRs. Sir, just wanted to understand what is the R&D, as a
percent of sales for the quarter?
Mithun Chand: So last year, the entire revenue expenditure of R&D was close to RS. 60-odd crores. This
quarter, it should be in the same line, RS. 15 crores to RS. 17 crores and capital expenditure
extra will be over and above because we have again invested like RS. 45 crores to RS. 50
crores in a new R&D plant. Today, it was the opening of that R&D centre.
Dhruv Saraf: So you said around RS. 14 crores of depreciation in the first quarter. What is...
Mithun Chand: Sorry.

Dhruv Saraf: We've seen around RS. 14 crores of depreciation in the first quarter. So sir, what should we
assume this run rate as well going ahead? Or will depreciation increase...
Mithun Chand: Yes. Maybe for a year or so, this run rate will continue for the next 12 to 18 months, this
should go on because we have set up a new office. So that also was capitalized in the last
quarter. If you see last quarter, the depreciation was RS. 14 crores. This quarter, it is RS. 12
crores. So it will continue for the next 5, 6 quarters, then it should be done.
Dhruv Saraf: So you don't expect, sir, your depreciation to increase from these levels in the next few
quarters?
Mithun Chand: So the depreciation, that's including both last year and this year, the depreciation altogether
should be like RS. 12 crores to RS. 15 crores should be per quarter, and it will not go beyond
this.
Dhruv Saraf: Understood. Right, Mithun sir, what is the visibility you have on the export business on the
Bangladesh sales? Do you expect...
Mithun Chand: Compared to last year, we see a lot of positivity in Bangladesh, not only in Bangladesh, in
other countries like Tanzania, Vietnam, Philippines, we have already exported to some extent.
Compared to previous year, the export will definitely have a growth of 30% to 40%.
But whatever we are growing this year, that will be the base. And year-on-year, we see a good
growth in exports also because most of the products are accepted in new countries also, which
we were testing for the last 3 to 5 years. So some quantities are already exported this year. And
sorry, this quarter also, the running quarter also, we have done some sales.
Dhruv Saraf: I had a question on cotton, sir. So you've seen the new products perform well in the market,
and you scaled up to almost 10 lakh packets of new products. So going ahead in FY28, how do
you see the mix changing of cotton? Do you assume that -- should we assume that new
products in cotton would be most of the sales going ahead? Are you confident of that?

Mithun Chand: If you talk about FY28, 80% to 90% of the revenue from new products.
Moderator: The next question comes from the line of Krushi Parekh from Bu

glerock PMS.
Krushi Parekh: Sorry, first of all, for the background noise, but we had substantial jump in the inventory about 40% as compared to previous year in the March quarter. I mean the sales revenue jumped about 17-odd percent largely because of this cotton or...
Mithun Chand: Sorry, in between I was missing you. What's your question...
Krushi Parekh: My question is that we saw a jump in the inventory during the March quarter. And the revenue for this quarter jumped by about 17-odd percentage. So is the mismatch because of cotton seeds only or because of some other seeds as well?
Mithun Chand: So we have produced all seeds. If you recollect last year con call when we had a March quarter results, we said that we have intentionally increased the inventory. One is we are anticipating

good season. And second thing is we want to maintain some buffer stock because this time, we faced inventory crunch and we lost some sales that is last year. So we have produced more and strategically, we are keeping some as buffer stock.
Yes, cotton, as per our anticipation, we thought of doing better, but we have not done well. The cotton inventory is slightly higher than compared to what you say, like our anticipation. But if you see the overall level, if you see cotton as a percentage is only 20% of our revenue. So that will be in line with our inventories.
Krushi Parekh: Okay. And typically, who would be producing these illegal cotton seeds and how can...
Mithun Chand: There are many companies who do it. There are tens of companies who do it usually who are not the big companies only the smaller companies will produce them.
Krushi Parekh: Okay. And considering where we are today in terms of our inventory level, so how will -- our procurement will be in the next season?
Mithun Chand: Cotton, we have already given it. We are trying to reduce the inventory because we have not done well to what extent we'll be successful in that. Whatever inventory we have given is a new hybrid. So we don't have any worry about that. But whereas in other crops, we are yet to give the production because that all happens in the second half.
By seeing the inventory level, by saying which variety we need to give based on that we will give. So we don't see any threat in those non-cotton inventories. Even in cotton, it's a new hybrid, so we don't see any issue in that.
Moderator: The next question comes from the line of Anurag Jain, an individual investor.
Anurag Jain: Just to continue on the point of consolidated sales and stand-alone sales. Last year, the consolidated sales were around 8% higher than stand-alone sales. So for the full year, would you expect the same trend to continue that consolidated sales would be like 8% higher than, say, stand-alone sales?
Mithun Chand: But that's what I said that I just need to find out the accounting policy of stand-alone and consolidated. But if you see the subsidiary business when compared to last year, that will definitely be better than the next second half. Last year, second half to this year second half or last year 3 quarters to this year 3 quarters, it will be much better than the last year because as I said that earlier, we were only concentrating on cotton crops, now we are down to the non-cotton segment. Non-cotton segment usually comes in the second half. So that will be much better than last year.
Anurag Jain: The reason I'm asking this question is because if we look at consolidated sales, the growth is only 7%, which is good. But stand-alone sales growth is 17%, which is excellent. So for the full year, what kind of trend would you look at like a 7% growth or a 17% growth, which is the more meaningful number?

Mithun Chand: So consolidated, I'll just come back with the accounting policy, how they do that. But if you take the stan

d-alone process, it will be much better than the 17% growth.
Anurag Jain: Okay. Okay, sir.
Mithun Chand: The next 3 quarters will be much better than the first. For example, if we have done 17% growth when compared to Q2 to Q1. If you compare the next 3 quarters to this coming consequent 3 quarters, the 17% growth will be much higher than the 17% growth.
Anurag Jain: Okay. And...

Mithun Chand: Overall, what we think is that right now, the 17% growth, which is looking for quarter-on-quarter, but year-end, it should be like close to 20% growth overall.
Anurag Jain: Okay, sir. Okay. And then the same trend should be reflected in the consolidated sales too...
Mithun Chand: Yes, yes.
Anurag Jain: Because the consolidated should be higher than the stand-alone for the full year?
Mithun Chand: Let's just come back on how the accounting of the consolidated numbers. But definitely, the sale will be in terms of absolute figures will be higher, both in terms of the consolidated and in terms of the stand-alone.
Anurag Jain: Okay. And sir, there is a follow-up. One of the previous participants had asked that where are the illegal seeds coming from. So you said that it's coming from the smaller companies, but the smaller companies in India or is it coming from overseas?
Mithun Chand: Most of the cotton companies are Indian companies. I mentioned that these are very small pockets, they produce and they cater to their own segments.
Anurag Jain: Okay, sir. And sir, just to understand the growth in rice volumes, growth in rice seed volumes, the sowing area has increased by around 17% across different states as per the commentary in the presentation. But for selection rice, the volumes are up by 1.3% and hybrid rice volumes are up by 6.5%. So our volumes have grown lesser than what is the increase in the sowing area. So what would be the reason for this lower volume growth versus the growth in the sowing area for rice?
Mithun Chand: I've already commented on this, but again, I'll clarify on it. Regarding rice, we have grown at 6% in terms of the volumes in hybrid rice. Whereas in other areas, the rice acreage has gone up, but it all moved to the varieties, not to the hybrids. That's the reason we have seen a decline. We have remained same.
Anurag Jain: Okay, sir. Okay. So basically, we have maintained our share...
Mithun Chand: Yes. In fact, we have increased our share in hybrid rice.

Anurag Jain: Okay. Okay. All right, sir. And sir, for when the company says new products, for like cotton, we are saying that new products have gone up from 12% to 34%. So what is the definition of new products? These new products are like the products which are launched in last 1 year or last 2 years? What is the definition of...
Mithun Chand: Last 2 years, last 2 years.
Anurag Jain: Last 2 years?
Mithun Chand: yes, you can say that.
Moderator: The next question comes from the line of Dhruv Saraf from Bowhead India Fund.
Dhruv Saraf: Sir, what is the outlook on the cost of production going ahead? You had a tough season there. So do you believe you've seen the peak in terms of cost increases? Or are you seeing further increases in terms of next season?
Mithun Chand: I don't think so because last year, the competition was pretty high among all the companies because most of the companies were down with the inventories and everyone was very aggressive in producing it and the cost of production has gone up. This time, the inventories are there. Everyone is slowing down on the level of inventories. So I don't see any like further rise in some sort of inflation here, but not a significant rise as like what we have witnessed this year that we may not witness in the coming next 2 to 3 years.
Dhruv Saraf: And is it safe to assume that the margins can expand from here going ahead given the mix has changed to...
Mithun Chand: Even I said in the earlier thing

that going forward, the margin should improve.
Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.
Mithun Chand: Thank you. For any further queries, you can call our investor desk and anything. I'll come back with the consolidated one again. Thank you.
Moderator: Thank you for joining the call. For any other information, please be in touch with Rama Naidu from Intellect PR. On behalf of Kaveri Seeds Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

13th November 2025

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
Rotimda Building Plot No.C/1, G Block,
P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051
Scrip Code: 532899 Scrip Code: KSCL

Dear Sir / Madam ,
Sub: Transcript – Kaveri Seed Q2 & FY 20 25-26 Results Conference Call on Friday , 07th November , 202 5 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited Q2 & FY 20 25-26 Results Conference Call made on Friday , 07th November , 202 5.

The transcript and audio is uploaded on the Company's website as well on below link :

https://www.kaveriseeds.in/wp -content/uploads/2025/11/KaveriSeed -Earnings -Nov07 -2025.pdf

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

"Kaveri Seed Company Limited's Q2 FY'26 Earnings Conference Call "

November 07, 2025

MANAGEMENT : MR. MITHUN CHAND - EXECUTIVE DIRECTOR , KAVERI SEED COMPANY LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Kaveri Seed Company's Q2 FY '26 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions at the end of today's presentation. Please note that this co nference call will be recorded.
Joining us today on this call is Mr. Mi thun Chand – Executive Director.
Before we begin, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risks and uncertainties . For a list of such considerations, please refer to the Earnings Presentation . I would now like to hand the call over to Mr. Mithun Chand. Over to you, sir.
Mithun Chand: Thank you. Good evening an d welcome everyone to our Q2 H1 FY'26 Earnings Conference Call. We hope you had a chance to review the Presentation of our results, which is also available on our website.
I would touch upon the Operational and Financial Performance of the Company and t hen open the floor for question -and-answer session.
Revenue from operations registered a growth of 17.09% to Rs. 1 ,041.91 crore as compared to Rs. 889.85 crore in first half 20 25. EBITDA was at Rs. 333 crore grown by 11.12% as compared to Rs. 299.68 crores in first half '25 Net profit was at Rs. 301.45 crore as compared to Rs. 279.41 crore in first half 2025, grown by 7.9%. Cash -on-book stands at Rs. 363 crore s as against Rs. 559 crore. For Q2 FY '26, revenue from operations was at Rs. 96.61 crore. EBITDA was at Rs. 0.16 crore. Net profit was loss at Rs. 15.0 5 crore. Board has recommended 250% dividend i.e. Rs. 5 per equity share on a face value of Rs. 2 per equity

share. The double -digit growth in revenue and EBITDA are very impressive.
Substantial increase in maize volume resulted in much higher growth in terms of its revenue, which shows its potential in overall non -cotton portfolio and also shows the strength of the Company in this segment.
In spite of moderate volume growth in selection and hybrid rice, the realizations were higher. Maize volumes increased by 29.7% so as revenues increased by 56.76%. The contribution of new products to volumes of cotton is up from 11% to 36%. Cotton sales impacted by increased illegal cotton seed usag e. Increase in cost of production of cotton seed impacted the profitability. Hybrid rice volumes increased by 0.9% and revenues increased by 21.48%. Selection rice volumes increased by 2.6% and revenues increased by 11.07%. Vegetable se ed revenue increased by 31.06%.
I would now open the floor for question -and-answer session.
Moderator: Thank you very much, sir. Ladies and gentlemen, we w ill now begin with the question -and-answer session. The first question is from the line of Yogesh Mittal who is an individual investor. Please go ahead.
Yogesh Mittal: A question about the vegetable seeds. Since last few years, we have increased the focus on the R&D and we also have a dedicated sales team for this. But the sales and this have not gained much traction in last few quarters. Can you please explain what the Company is taking initiatives for growth of the vegetable seeds? And how is the competitive landscape happening in this area?
Mithun Chand: Vegetable market is a very competitive market and it's a year -long business. And vegetables in the sense like there are many segments in vegetables, but majority of the segment is dominated by chili, okra and

tomato. These three contribute to majority of the revenues. As a company, we are very much focused on vegetables. As you rightly said, we have intensified our R&D team. We are much focused on few vegetables and we have a separate dedicated team. Y

es, in last couple of
years, we were not able to grow much as anticipated, but definitely we have grown in terms of vegetable seed business. Even this year, we have grown in terms of revenues. Going forward, we are very bullish on vegetables and definitel y we will be achieving good growth in vegetables. And this year also, in the second half, we see a good growth in vegetables. In the first half, we have seen heavy rains. Even that has impacted a few amount of sales, but we are pretty optimistic about the second half.
Yogesh Mittal: Thank you, sir.
Moderator: Thank you. The next question is from the line of Dhruv Sara f from Bowhead India Fund. Please go ahead.
Dhruv Saraf: Hi, Mithun s ir. I just wanted two answers. One is, what is the R&D spend for the quarter, sir?
Mithun Chand: For last year, the entire R&D spend was Rs. 60 crores odd. This year, the R&D spend, if you take in a quarter wise, it will be slightly here and there. But every quarter, we will be spending in between Rs. 15 crores to Rs. 20 crores. I am talking about only recurring expenses. Again, CAPEX is different. If you observe the balance sheet, there is an increase in the amount of depreciation also. Yes. So, that is one because we have set up a new office and this year, this quarter, we started the R&D facility also. So, both are impacting the depreciation.

Dhruv Saraf: Secondly, the employee and the other expenses have broadly grown at 14% in H1. So, does this continue for the rest of the year? Do we expect an increase or a decrease or at the same level?
Mithun Chand: It will be in between the 12 % to 15% rise. One is that increments and the other is new headcount because as we are adding new crops and new people, new R&D facilities, that is how the costs are going up. That should be in between 12 % to 15%, both combination of both increments and headcount.
Dhruv Saraf: Understood. Finally, inventory has gone up significantly on a year -on-year basis in the half -year balance sheet. Will there be further build -up in inventory going ahead or does it remain at the current level?
Mithun Chand: Last year, we had build -up inventory in anticipation of a good sale this year. Unfortunately, even though we have achieved the sale, but got not per our anticipation, especially in seeds like cotton. In cotton, we had build -up inventory, but because of illegal usage and the acreages were coming down, we have seen some sort of inventory, higher inventory, and we have produced some buffer stock b ecause last year the entire inventory was cleaned up. So, in rice and maize also, we have some buffer stocks and inventory. This year, it will be high, but going forward, it should be in line with this year. It will not increase.
Dhruv Saraf: Okay, understood. I'll come back in the queue . Thank you.
Moderator: Thank you. The next question is from the line of Amit Doshi from Care PMS. Please go ahead.
Amit Doshi: Thank you. Sir, this cotton has again, Q1 also did not do well. Q2 also didn't do well. So, I wanted to understand in the inventory, which the earlier participant asked, what portion of it would be cotton and have we

taken, I mean, is it because illegal cottonseeds are cheaper? So, have we taken and you also mentioned that there is a higher cost of production of cottonseed. So, have we taken hit in the P&L towards that and the inventory is valued at the market price? How would the treatment go? Because trying to understand the impact on the margin, despite such a huge rise in the maize price revenue as well as volume growth ?
Mithun Chand: Basically, we take the inventory cost at cost. We'll not take at the selling price. We'll take it at cost, cost incurred by the Company. And as a policy, whenever we write out, write i

t off the inventory, we take it in
the balance sheets. So, all the inventory which is there in the books are saleable inventory and we are not worried about the inventory as it's all fresh production. In terms of cotton, the inventory stays for 3 to 4 years. So, we are not worried about that. Whereas in other crops also, the inventory, the cost of production has gone up both in maize and rice. But we were able to pass it on to the farmers in those segments. Whe reas in cotton, it was a restricted one. So, we were not able to pass it on. So, that's the reason you see a huge rise in the revenues and the volumes. And as a maize as a crop is growing crop and we see a huge potential in maize going forward. And as a company, we are very much focused on maize and that's how the volumes are reflecting that growth. And even in the second half, you see a good growth in maize. And that will continue for at least 3 to 5 years.

Amit Doshi: Yes, okay. So, that's wha t my point was about the cotton seed. Since you cannot sell it beyond a point. So, if we already have a higher cost inventory, which we are not going to be selling at that same cost, then why don't we kind of take it , a hit?

Mithun Chand: No, we can sell it in the next years also, right?

Amit Doshi: But the price is already high, right? So, basically just to understand , we are sitting on a high cost inventory, correct? Out of that 920 crores, there will be some portion which is cotton and which is a high cost inventory , at which price it is difficult to liquidate?

Mithun Chand: No, inventory , what I meant to say is that the cost of production was higher than last year, but definitely lower than the selling price.

Amit Doshi: Okay. That's what I wanted to confirm. Understood.

Mithun Chand: The margins have taken it. We are not getting any negative returns on that.

Amit Doshi: Okay. E xports, sir, can you share? How has been export? We were quite positive on exports. What portion is exports and if you can just give any color on that ?

Mithun Chand: Compared to last year, we will do well in the exports. Exports will come in the third and fourth quarter, majorly. We will do better than last year. Last year, the base was also very much lower. But we will be growing at least like 25 % to 30% more than last year. In fact, we should be in that Rs. 35 crores range this year in terms of exports. That will come in the 3rd and 4th quarter s. Overall sale. And that we are goi ng forward, going forward, year -on-year it will grow in terms of exports. Be cause we have tested in many countries, the results are very positive. And now we are getting new orders from different countries. But you know, as a seed business, it will be very minimal in the first few years , then it will increase. So, we are in the trialing and like initial stages. But year -on-year, we will definitely see growth in exports as well. Both in terms of the field crops and vegetables.

Amit Doshi: Okay. So, Rabi season has already begun. If you can just give as to how the season is looking, especially because of extended monsoon ? So, how the next two quarters are looking like , Rabi season ?

Mithun Chand: Majority of the sale will come from maize . Maize sowing is not yet started. It is b ecause of the, as rightly said, the extended monsoon. Now it will start now. Some areas it has already started. But now majority of the area will start in this month. So, we are very much bullish on May. And we have good inventories also. We have planned inventory for this Rabi. Anticipating good Rabi. So, we will see a good volume growth in Maize e ven in the second half.

Amit Doshi: Okay. Last time, sir, you had given guidance that Q2-Q3-Q4 will be better than last Q2 -Q3-Q4. So, it's not the case in Q2. I mean

, at least on
the profitability front. How do you see Q3, Q4?

Mithun Chand: Even in the profitability front, if you take in EBITDA minus other

income portion, we are positive. In terms of the percentage, even though Q2 is usually a lost quarter because it's just a spillover sale. Even in that occasion, if you take, even in that in stance, if you take the EBITDA minus other income, even the other income is lower this year, in this quarter, when compared to previous quarter. And the depreciation was high. So, if you take out these components, in terms of the margins, eve n though it's negative margins, we have done better than this last quarter. And Q3, Q4 also will do better than the last two quarters, in both in terms of the revenues and in terms of the profitability.
Amit Doshi: Okay. S ir, dividend we announced Rs. 5. That has been the case historically. But at that time, we used to do even buybacks. Now with the buyback probably not happening going forward, going to that law amendment , so how are we trying to, or kind of rewarding the shareholder?

Mithun Chand: We'll have a separate discussion in the board after that, because this time we have the entire money. Even if you can see the balance sheet, the reserves and the money, it all went into inventory. So, that will be realizing in the next 6 to 8 months, majority of the inventory, then we'll take a call on that.
Amit Doshi: Okay. I'll join back the queue if any more questions. Thank you. All the best.
Moderator: Thank you. The next question is from the line of Son aal Kohli from Bowhead . Please go ahead.
Sonaal Kohli: Hello, sir. Congratulations on your sales growth. After a pretty long period, it was very healthy in the first half. Sir, I have a question pertaining to the coming crop season. Because of the rain s, do you expect the outcome can be different than what you may be thinking now? Can it postpone the consumption of seeds in any way? Or lead to a permanent dent in seed demand? Not only for you, but generally for the industry.
Mithun Chand: We don't see that as of now, because usually this year, we have seen an excess rainfall. And most of the crops were impacted in the first quarter itself. First quarter, which was a major for us and the sowing pattern also has taken a hit. For example, in rice, majority of the rice moved to the varietal rice this time. That's the reason we have not grown much in hybrid rice. So, the impact is already done. But whereas in the second half, there's one positive point is that all the tanks are full , the moisture levels are pretty good. So, we see good Ra bi coming up. No doubt, the season got extended by, delayed by a week or two. But we don't see any threat as of now.

Sonaal Kohli: So, sir, some parts of India are still going through rains. I mean, if this continues, like for a whole longer period then that would make you change your view. Would it make a difference?
Mithun Chand: We don't see that because now you don't get any monsoon now. If you get any, you get only cyclone rains. But earlier it was all monsoon rains. Monsoon is a continuous thing. Cyclones are once in a while. So, we don't see that now.
Sonaal Kohli: So, you don't see that, any dent in demand?
Mithun Chand: No.
Sonaal Kohli: Secondly, sir, in terms of your margins, your gross margins have been falling. While your product mix has improved becaus e cotton hasn't done that well and I'm talking not only this quarter, but from a half yearly perspective, because I understand your business, l ooking on quarter -to-quarter doesn't make sense. But mostly from a 6 -1 perspective, it still makes a lot of sense to, because this is like, the year is gone in terms of profitability. So, when you were expecting a margin increase, so what happene

d? What led to a lower gross margin and hence a lower EBITDA margin for you and how would you expect it to go forward?
Mithun Chand: Basically, if you take the margins, we are down by like 1.5% to 2% in terms of the EBITDA levels. But if you take the entire cost, I've gone to the cost of goods. The major portion, the 2%, 2.5% was rising the cost of goods. So, as I said, the production c ost is up in both in cotton and non-cotton segments also. And there was a huge price rise and everything, we were not able to pass it on to the farmer. Majority of that, we have passed it on other crops. Cotton, we were not able to pass it on . But, this year was one of the year where we had taken a hit, but we'll definitely go back to our own previous profitable margins.

Sonaal Kohli: So, sir, this c ost increase is permanent in nature or do you expect the cost is falling or already started falling? Because you know, the cost increase has been going up for the last few years ?
Mithun Chand: No, usually every year, not every year, but when you see a 3 to 5 year base, year –on-year, the cost of production definitely goes up as the grain price goes up. And we'll pass it on to the farmer. This year, the cost of production was up by more than 15 % to 20%. That's the reason the entire cost was not passed out, passed to the farmer in one go. Because previous year, most of the companies were not having inventories and their production was very aggressive. This year, the cost will remain the same or will come down compared to last year.
Sonaal Kohli: So, sir, if I split it into cotton and non -cotton, were you able to pass on anything at all in cotton side?
Mithun Chand: Cotton, we were not able to pass it on. Cotton, we were not able to pass it on because the price remained there. Even though there was a few, like 3% increase in price, but practically, we were not able to pass it on to the farmer because the inventory was very high. There was full of inventory in the markets. The sentiment was not good for the farmer. The prices were not good, so that we were not able to pass it on in cotton. But in non -cotton segments, majority, like 2% here and there, but majority, we were able to pass it on to the farmer.
Sonaal Kohli: And because of this trade deal, there is a risk that the maize crop may come under a problem. Do you see anything like that? There is a lot of rumor that because of the US -India deal, if it happens, the maize crop may get impacted.
Mithun Chand: As of now, we don't see much, but when you see the Agriculture Ministry, if you can go back to the statement which was given a couple

of months back, a month or two, they wanted to double the maize production in the next five years. By 2035, they want to double maize production. So, because most of the ethanol crops have gone up now, most of the maize is going for the industrial usage. Earlier in India, more than 70 %-80% was poultry. So, we don't see that sort of a trade. And if you see as an overall acreage s also, this year, even in this market, with the heavy rainfall, the maize market overall acreage was up by 10 %-12% at the Indian lev el.
Sonaal Kohli: So, this year, your revenue growth of 15% is possible according to you?
Mithun Chand: So, we've already grown at 17% in terms of revenue in the first half. Second half, definitely it will improve.
Sonaal Kohli: Okay, great. Thank you so much.
Moderator: Thank you. The next question is from the line of Siddhant from Goodwill. Please go ahead.
Siddhant: Yeah, hi. I just wanted a usual update on new GM crops. If there's any update from the government?
Mithun Chand: As of now, nothing. Nothing has moved in terms of the government. It stands still there. There's sort of confusion even with the U.S. -India trad

e
deal also. Nothing is moving forward. So, we need to wait. We need to wait for some more time to get clarity on that.

Siddhant: Understood. Thank you.

Moderator: Thank you. The next question is from the line of Anurag Jain , who is an individual investor. Please go ahead.

Anurag Jain: Good afternoon, sir. Congratulations on the good results. My query is that, like some of the other listed peers which have reported the results till now, they have shown flat or slightly negative sales growth, which shows that at the industry level, the in dustry is still not out of the low growth or flat era. So, what is happening at the industry level and what is the outlook for the seed industry for the next 1-2 years?

Mithun Chand: Basically, seed i ndustry, when you're to a mid -to-long term range, it will definitely grow in terms of the seed segment. Yes, but which crop will grow, that is more important. What we see as of now is that the maize crop and rice. These are the two segments which will grow much faster. Maize will grow much faster and rice will also grow. Whereas cotton, we don't see that sort of a growth in terms of the segment. Companies who are dependent on 1 or 2 crops may suffer. That's the reason if you see our portfolio, we have a very diversified portfolio. We are not dependent on one crop. If you see, if you take our Company in the last 7-8 years, we were constantly saying that we want to decrease dependency on one crop. That's what we are seeing now. The cotton is less than 20%, whereas in earlier, it was more than 70%. So, in that way, we have balanced our portfolio well. Now we are also trying to increase revenues from vegetables and exports. We are de -risking ourselves from the entire seed industry, but overall, if you see, de -risking ourselves by depending on one cro p, but overall, if you see, the industry is in very good shape and it will grow well going forward. And t his year, there were many constraints in that one in terms of cotton crop and illegal BT, because there was no new technology was there . That's one part. There were heavy rains. Most of the time, the crop is damaged. The farmer was not able to sow the seeds. I mean to say, we were not having a good choice because already the season got delayed because of excess rain. So, there are many constraints in tha t. Even the chil li prices were not good earlier. Now the chil li prices are also good. These all impacted the

seed business. These are very short term things, but when you see in mid to long term, the seed industry will be very bullish. They say that by 2030, the hybrid seed market itself will be like $6 billion from $3 billion.

Anurag Jain: So, the current industry size is $3 billion and it is expected to grow to $6 billion for the Indian seed market by 2030?

Mithun Chand: Yes.

Anurag Jain: And sir, i f you allow, what is the outlook for Jowar seeds, Bajra seeds, and vegetable seeds in the next five years?

Mithun Chand: Vegetables are doing well. Vegetables will definitely grow going forward. Vegetables are a very big market. Year -on-year, the vegetables are growing at more than 18% to 20% hybrid vegetable markets. So, that's a very good market to be in. Whereas in Bajra and Jowar, there are very limited markets and stagnated markets. Bajra is a bigger market than Jowar. So, we are also releasing hybrids in Bajra. Even that revenue will also come in the next 2 to 3 years.

Anurag Jain: And so there were some smaller like oilseed segments, sunflower seeds, and mustard seeds. How are they doing?

Mithun Chand: These are very small markets. When you talk about mustard, sunflower, we are there in both the crops. In sunflower, we are in the top three segments. But the market is very small. And mustard, we have started doing we

ll in mustard. In terms of only in mustard segment, we h ave grown by more than 40% year -on-year with a small base. But going forward, mustard will also do well. But there are very limited and small markets. The biggest markets in India are maize, rice, and cotton, these

vegetables . These four contribute more than 85% of our total seed
market.

Anurag Jain: And mustard seed market is also a small market like sunflower? Or this should be mu ch bigger than sunflower seeds?
Mithun Chand: Mustard is slightly better than sunflower.
Anurag Jain: Thank you.
Mithun Chand: But mustard, it's all varieties. But we are concentrating on hybrids. That is a very small market. It is picking up now. And government is also focusing on mustard cultivation. So, that's another advantage for that.
Anurag Jain: And just one followup. For the cotton seed, there was some expectation that government will allow the new technology. So, is there any development on that? On the cotton seed s front ?
Mithun Chand: As of now, nothing. Like in the last 5 -6 months, all the negotiations and talks are all standstill. But once the US and India trade deal is done, then they may talk on it. But no one is taking a call on that. But as Kaveri even though we have done very low in cotton going forward, with our new technologies also, we have very good hybrids which we have already tested last year. And now the hybrids are already on ground now, which are giving very good results. Kaveri will grow in terms of cotton as well.
Anurag Jain: Thank you , sir.
Moderator: Thank you. We have the next question from the line of Dhruv Sara f. Please go ahead.
Dhruv Saraf: Sir, you mentioned that 36% of cotton sales are from new products. So, going ahead into next year, how do you see scaling these products up? Have they possibly seen good response? And can we imagine the sales going ahead in the same 1 year or 2 years?

Mithun Chand: Majority of the revenues, we say anything in the first 5 years as new products. Majority of the sales in the cotton, most of the crops are in the 2nd and 3rd year. And some are in the 1st year also. So, going forward, majority of the contributions will be from the new products.
Dhruv Saraf: And a ny feedback that you got ? On ground feedback about your products? How they are doing?
Mithun Chand: Cotton as of now, it's like 100 -120 days. C rop is really doing well.
Dhruv Saraf: Okay, sure. Thank you.
Moderator: Thank you. The next question is from the line of Amit Doshi from Care PMS. Please go ahead.
Amit Doshi: Sir, you mentioned that vegetables are very strong or whatever. It's growing very fast, 18 %-20%. We are also doing well. But the size or the contribution that we have is extremely low. So, why is that our numbers are so low considering that the market is so huge and we have good R&D spend in the vegetable seed space as well?
Mithun Chand: Vegetable market is a big mar ket. It's a growing market year -on-year. But to be more successful, we need to have better product which can beat the competition. So, in that way, we are putting our effort there. Now the pipeline hybrids are good and we are scaling up the revenues in vegetables. You know that seed industry, the research itself takes 8 - 10 years to get a good product. So, it is taking time. But most of the varieties or hybrids are there in trialing segment. Some are doing well. Definitely, we will increase our revenues in vegetables.
Amit Doshi: Okay. So, how many new products are in pipeline as far as vegetables are concerned? Because you mentioned in cotton, you have significant

and by FY '28, you will have all the new products in the cotton segment.
But about the vegetables, i

f you can share.
Mithun Chand: Vegetable is also, m ost of the products are new products because we have launched all the products in the last couple of years. And every year, we are launching and trying new hybrids. So, most of the sales are from new hybrids . And vegetables, there are many. Vegetables, there are tens of vegetables in that. So, we have many varieties of vegetables in the pipeline. And mainly in like okra, chil li, goats, and tomato. So, we are breeding more in these crops and most of the hybrids will be in these crops.
Amit Doshi: Okay. Sir, you mentioned that in maize etc., there is a huge price jump that we have seen because of inventory probably at the industry level was low. So, do we see this receding in the next year, coming year, for maize because of price hikes?
Mithun Chand: I've already commented on that. This year, the prices for sure, it will not go up than last year. In some crops, it's lower than last year.
Amit Doshi: It will be lower than last year. Okay. Sir, any update on that tax matter?
Mithun Chand: So, we've seen the appeal. Once it gets any, once we get any sort of communication, that will be disclosed.
Amit Doshi: Okay. And any discussion on that we were trying to, with this new tax bill etc., anything that, we can get a clarity about ?
Mithun Chand: That has become a continuous effort from our side of the seed industry. But the decision, we have not seen any decision coming in our favor or not in our favor, but it's still pending there.
Amit Doshi: Okay. Thank you.

Moderator: Thank you. We ha ve the next question from Jasmi t, an individual investor. Please go ahead.
Jasmi t: Hello. So, in percentage terms, what is the decline in the sale of cotton volumes? And also, according to you, when do you think the market will normalize? Or is there any other hybrid that can compete with the illegal variety that is being sold in the market currently?
Mithun Chand: In terms of the cotton, we are down by more than 20% in terms of the volumes. In terms of the volumes, in terms of the illegal market, as of now, we don't see that it will go up next year. But governments are most, all the state governments and central gov ernment is taking a view on how to cut down illegal BT. But we are not afraid of that because that's not legal and we can't fight with those things in the market.
Jasmi t: Right. And in terms of hybrid paddy, was there also any other reason apart from restrictions in Punjab that has impacted the volumes?
Mithun Chand: So, if you see, hybrid volumes are up by 2 %-3%. Even though we lost like 500 tons in Punjab, we have gained in other markets. If you see overall hybrid market, the markets are down compared to the previous year. The acreages were down because of the heavy rains. But this is a very short term thing. Going down the line, hybrids will definitely come in, will take major share in rice.
Jasmi t: So, the main reason is lower acreages only?
Mithun Chand: The main reason is lower acreages. Lower acreages in the sense like hybrid market. Most of the hybrids move to varieties this year because of excess rates.

Jasmi t: And sir one more thing I asked, do we have any hybrid that can counter the illegal... that can have the similar characteristics to the illegal seed of cotton that is being sold?
Mithun Chand: No. That's what I answered. But illegal, we can't compete with it because these are illegal technologies which are there in the market. As a Company, we don't enter into illegal things. The technology is illegal.
Jasmi t: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Yogesh Mittal in Individual Investor. Please o ahead.
Yogesh Mittal: Sir, thank you for giving me the opportunity again. Sir, I have heard in th

e call a few times that it takes about 7 years to 8 years to launch a new seed of any variety. So, just wanted to clarify that do we mean to say that suppose any new seeds have been launched in this year say for example the research and development and the development of process started about 7 years to 8 years ago on those? Is that right thing to understand ?
Mithun Chand: Yes. Because it's a continuous activity. We get many hybrids. We test on many things. It will take so much time. Based on the need and for that we sometimes fast track it. The basic time is like 6 to 7 years. And higher the research spend , higher the amount time you spend on it the more the chance of getting hybrids.
Yogesh Mittal: So, on the costing part of it do we understand that any cost being incurred to d evelop any new seed for last 7 -8 years or continuing even now those are being captured in the P&L? And the actual cost of that seed which will be for the actual production when it is sold , it is put i n the cost of goods sold?

Mithun Chand: We don't capitalize anything. We just expense it out every year as and when required.
Yogesh Mittal: Yes. I was saying the same thing like R&D expense is basically expensed off and the actual cost of the seed is captu red in the cost of goods sold w hen it is actually ready to sell.
Mithun Chand: Yes. When it is produced it is there in the cost of goods when it is in the research stage it is expensed out as R&D.
Yogesh Mittal: Okay, thank you.
Moderator: Thank you. The next question is from the line of Balaji who is an individual investor. Please go ahead.
Balaji: Sir, good evening. Sorry, I am in traffic. My voice might not be audible. Sir, have one question regarding tax. Is there any update regarding tax demand we have received from Commissioner of Tax?
Mithun Chand: We are there in the appeal stage and the entire thing is already disclosed to exchanges. As of now we have not received any fresh demand or fresh any objection from t here. Or any adverse or favorable in that matter.
Balaji: Sir, I have another question. Regarding recent floods in Andhra, Telangana, so does it have any impact on our receivables, are we directly impacted, is there any impact on our receivables?
Mithun Chand: Sorry?
Balaji: Recently there are floods in Telangana, Andhra Pradesh, so does it have any impact on our receivables, sir?
Mithun Chand: Not much. We don't have any, regarding these floods, we don't see any impact on the receivables.

Balaji: Okay. Sir, I have another thing, sir. As my understanding, we lease some agricultural land, we produce hybrid seeds, then we sell in market, so is that a type of flood situation, does it have any impact on our inventory, sir?
Mithun Chand: In terms of the production, we do take production in areas, when these types of rains are there, we are also part of it, even that is impacted. That is the reason we de -risk our production model, because we give it in many states and many seasons. So, that 's a continuous activity, somewhere here or there, but as of now we don't see much of impact, because most of the crops are not sown yet.
Balaji: Yes, sir. We are diversifying in other non -cotton products, sir, but as seen in presentation, sir, maize production is almost, it has increased drastically. Is it sustainable in the future, sir? Is it seen area -wise or in value -wise?
Mithun Chand: We see a good potential in maize crop and we don't see any threat in maize crop at all. And we are very much bullish on maize and most of the hybrid in maize are coming in the next few days, so we are not worried about that. In fact, we are very bullish an d optimistic on that.
Balaji: Sir, there is any impact on inventory returns, sir? As seen in our cash

flow stat

ement, almost in inventory we have positive, which we got cash
flow, but in receivable we are in negative. This year c ompared to
previous year, in cash flow operation we are in negative side. So, does
any impact on our inventory, sir?
Mithun Chand: No, because as I told earlier, we have produced more this year because
most of the inventory levels were low and some we were not able to sell
in the Kharif, especially in cotton. Other we have produced as a buffer

stock and everything will get normalized in next 2 or 3 quarters, 6 to 9
months it will get normalized.
Balaji: Thank you, sir. That's all from my side. Thank you very much, sir.
Moderator: Thank you very much. Ladies and gentlemen, that was the last question.
Thank you all for joining this conference call. For any further
information, please be in touch with Mr. Rama Naidu from Intellect PR
on 9920209623. On behalf of Kaveri Seed Company Limited, that
concludes this conference call. Thank you all for joining us and you may
now disconnect your lines. Thank you.

Call: Feb 2026

13th February 2026

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
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P.J.Towers, Dalal Street, Fort, Bandra Kurla Complex, Bandra (E)
MUMBAI – 400 001 MUMBAI – 400 051

Scrip Code: 532899 Scrip Code: KSCL

Dear Sir / Madam ,
Sub: Transcript – Kaveri Seed Q3 & FY 20 25-26 Results Conference Call on
Tuesday, 10th February , 202 6 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited
Q3 & FY 20 25-26 Results Conference Call made on Tuesday, 10th February , 202 6.

The transcript and audio is uploaded on the Company's website as well on below link :

https://www.kaveriseeds.in/wp -content/uploads/2026/02 /Earnings -Feb2026.pd f

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPAN Y LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

"Kaveri Seeds Company Limited
Q3 and nine months FY'26 Earnings Conference Call "
February 10 , 202 6

MANAGEMENT : MR. MITHUN CHAND – EXECUTIVE DIRECTOR –
KAVERI SEEDS COMPANY LIMITED

MODERATOR : MR. RAMA NAIDU – INTELLECT PR

Moderator: Ladies and gentlemen, good day, and welcome to Kaveri Seeds Company's Q3 and nine m onths
FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only

mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note, joining us today on this call, Mr. Mithun Chand, Executive Director.
Before we begin, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risks and uncertainties. For a list of such considerations, please refer to the earnings presentation.
I would like to hand the conference over to Mr. Mithun Chand. Thank you, and over to you, sir.
Mithun Chand: Thank you. Good evening, and welcome, everyone, to our Q3 and nine months FY '26 earnings conference call. We hope you have had a chance to review the presentation of our results, which is also available on our website. I would touch upon the operational and financial performance of the company and then open the floor for the quest ion-and-answer session.
Highlights. Revenue from operations has registered a growth of 16.94% to RS. 1,221.56 crores as compared to RS. 1,044.61 crores in nine months FY '25. EBITDA was at RS. 358.39 crores as compared to RS. 324.78 crores , registered a growth of 10.35%. Net profit was at RS. 308.91 crores as compared to RS. 294.46 crores, grown by 4.9%.
For the Q3 FY '26, revenue from operations was at RS. 173.65 crores , registered a growth of 16.08% from RS. 154.77 crores . EBITDA was at RS. 25.38 crores as compared to RS. 25.09 crores , registered a growth of 1.14%. Net profit was at RS. 7.46 crores . Cash and books stood at RS. 309 crores as against RS. 409 crores .
We are happy to declare a good set of quarterly numbers. Maize and selection rice volumes both have resulted in good revenue growth. Had there been a good rate support in maize during the Q3 FY '26, we would have delivered better profitability growth during the nine months of our operations. Having said that, this is a good indication for next year performance as we are able to clock better growth rates across our best -performing segments like rice, maize and vegetables.
Our investments in expanding plant capacities and increased spend in R&D is going to contribute for increasing share of new products in both cotton and non -cotton segments. The demand spike and increasing acreages of maize, hybrid rice and selection rice a nd vegetables are going to be major drivers in the years to come. This year, commercially maize prices were hovering around RS. 1,200 to RS. 1,600 per quintal against RS. 1,200 in the previous year, which affected rabi maize cultivation in early markets l ike Madhya Pradesh, Maharashtra, Gujarat and Karnataka.
The increasing areas of mustard and our continuous focus on bringing new varieties in , is paying off, and this is going to be a sizable business in the next couple of years for us. We are able to convert volumes of noncotton seeds into revenues growth due to good realizations and increasing market share and leadership in some of the leading segments where the company has good dominance in the market. During the quarter, volumes of non -cotton hybrids increased by

6.1% and revenues increased by 13% and volumes as well as revenues of cotton seed has registered a growth.
Research paddy has grown by 51% in volumes, whereas vegetable seeds have grown by 5% in volume. Sunflower has grown by 94% in volume and mustard has grown by 64% in volume.
Our efforts in entering into newer international markets in the last five years and increasing registration of

our seeds in these countries are expanding at ground level and delivering good results on our export front.
Exports have witnessed steep growth of 86% in the revenue during the current quarter and continue to grow and every year would be better than the previous year unless there is going to be any major unforeseen disruption in these markets.
As for our nine-month s results, we are witnessing continuous growth in increasing contribution of new products. Cotton sales continue to impact by increased illegal cotton and high cost of production. All rice segments are doing well, both on volumes and revenues front. We are able to maintain hybrid rice volumes in spite of restrictions in state of Punjab, which has been the largest market for hybrid rice which has been one of the largest market for us, whereas revenues of hybrid rice increased by 17.9%.
Selection rice volumes increased by 7% and revenues increased by 14.2%. Maize volumes increased by 21% and revenues increased by 42.6%. Vegetable seeds volumes increased by 1.5%, whereas revenue increased by 11.4%. During the next quarter, we are expecting major growth in spring maize in Bihar, UP and Punjab. Similarly expecting growth in summer millet in Gujarat, Rajasthan and Western UP.
I would now open the floor for question -and-answer session. Thank you.
Moderator: Thank you so much. Our first question comes from the line of Amit Agicha from HG Hawa & Company. Please go ahead.

Amit Agicha: Thank you for the opportunity. Sir, what percentage of annual revenue is currently reinvested into R&D and breeding? And how should this trend evolve?
Mithun Chand: As of now, our spend is in between 5% to 10% of our total revenue, both including revenue and capex . Going forward, they should stabilize at decently lower than what we have spent in the last year because most of the capex is already done there.
Amit Agicha: And how many new hybrids are expected to be commercialized annually across cotton and maize and rice?
Mithun Chand: That's a continuous activity. We don't track by number, but each and every segment, we have very good pipeline hybrids, like we have more than 200 hybrids in our portfolio. Each segment has got a different pipeline. So it's very difficult to track the numb er. But yes, in terms of major crops like rice, maize and cotton, we have at least 8 to 10 hybrids, which are really doing well.

Amit Agicha: Sir, can you put some color on like what is the typical gestation period like from lab research to commercial launch?
Mithun Chand: Basically, it's a very time -taking process. As we are there in the industry for the last many years, we are able to give hybrids in a very continuous manner. But for a new player it would take a very long time start get a hybrid seed.
Moderator: Our next question comes from the line of Dhruv Saraf from Bowhead India Fund.
Dhruv Saraf: Congratulations on a good set of numbers. Sir, just wanted to understand why are Q3 gross margin is like down almost 500 basis points year -on-year. And they are nearly at multiyear lows, if I look at Q3 in the past as well. So two, three key reasons for this?
Mithun Chand: Are you talking about the gross margins for the consolidated or both the...
Dhruv Saraf: Yes.
Mithun Chand: This time we have explained that the cost of production was a bit high when compared to the previous years in especially like crops like cotton that has impacted to some extent as we were not able to pass on everything to the farmer. That we already mentioned in the first quarter results where we have seen the impact. When you're talking about this quarter, the gross margins fell by 4% compared to previous year, which is in line with the consolidated one.
Dhruv Saraf: Yes. So the key reasons in this quarter given that cotton has a very low season this quarter, why woul

d gross margins have fallen this quarter specifically?
Mithun Chand: Even in maize and rice, the cost of production is a bit high when compared to the previous years. And usually, we used to sell higher , in terms of higher rates in rabi, but we were not able to pass it on to the farmer this time. So that 2% to 3% has impacted us this quarter, but this will not continue going forward because the production prices have already stabilized now. We don't see that going forward.
Dhruv Saraf: All right. All right. And sir, secondly, you spoke about cash at RS. 310 crores versus RS. 410 crores in the previous quarter. So sir, has there been further investment in working capital either due to inventory or debtors? And do you see this normalizing going ahead in Q4?
Mithun Chand: Yes. If you see the overall inventory levels, if you take the overall cash flow, like majority of that, close to RS. 200 crores plus has been into the inventory. And even though inventories are higher, trade payables are also lower when compared to the previous year. So I think once the season goes on, it will normalize it. As they have built the inventory, that's the re ason we are seeing some sort of a fresh outflow towards building up the inventory and some towards the capex , but not much.
Dhruv Saraf: Sure. Sir, lastly, sir, I wanted to get your sense on the cost of production for the coming season across cotton and non -cotton crops. So now that you would have received a lot of the cotton stock for the next season, sir, how is the next season looking li ke especially for all of these cotton, maize and rice on both cost of production and the general outlook on the season?

Mithun Chand: Basically, when you compare to year -on-year basis, compared to last year to this year, the cost of production has not gone up. In some cases, it has in fact gone down when compared to the previous years. But if the costs are stable, then anyway we will inc rease the prices to some extent that can be absorbed. So it will normalize to what it used to be earlier between that 45% to 48%.
Moderator: Our next question comes from the line of Saania Jain from Care PMS.
Saania Jain: Thank you for the opportunity. My first question was for the non -cotton segment. The other crops category has shown a strong growth at 59%. Could you please elaborate what are the key drivers behind this growth? Is this exports -led?

Mithun Chand: It's a combination of all other crops. Other crops include like wheat, mustard, bajra, sunflower, everything comes in the other crops. So the mustard and wheat moves in this segment, that's the reason we have seen a good growth in the other crop segment.
Saania Jain: Okay. Could you provide the revenue breakup for this segment?
Mithun Chand: We don't have the revenue breakup as of now. But overall, it's a very small portion when compared to the overall revenues because more than 80% of the revenues are contributed by 3 crops, maize, cotton and rice. So the y are a very small segment, which comes in a very few quarters, especially like third and fourth quarter. And I will try to provide the number when we speak to you next time, yes.
Saania Jain: Okay. And wanted to understand, you've mentioned in the investor presentation that research paddy volumes grew by 51%. What constitutes of research paddy?
Mithun Chand: Research paddy is nothing but a paddy, which are varieties which are developed by our own company.
Saania Jain: And this is not included in paddy sales?
Mithun Chand: Sorry?
Saania Jain: And this was not...
Mithun Chand: There are two types of paddy, one is hybrid paddy, what we report, and the research paddy. Both are in the paddy segment. Research paddies are varieties, whereas hybrid paddies are hybrids. That's the only difference. So we just give the split of it.
Saania Jain: Okay. And just a last

question. What are your views on the Draft Seeds Bill for 2025? And has there been any recent developments or updates? And what could be the potential impact of it on the industry or on the company?
Mithun Chand: No, no. In the new Seed Bill, lot of the things are trying to be addressed, one nation, one license. Most of the license are decentralized now. Proper registration of the hybrids, proper research, proper documentation, everything is coming in the new seed act. So it will be a very organized market. And I mean it will be very helpful for the farmers. We are still debating on some facts. But overall, it looks good when compared to the previous one.

Saania Jain: Any recent updates that has happened?
Mithun Chand: No, the draft is circulated within the industry, and we all submitted the comments and more or less it should be passed any time. Might be one round of discussion or so.
Moderator: Our next question comes from the line of Amit Agicha from HG Hawa & Company as a follow - up question.
Amit Agicha: Sir, with over RS. 300 crores cash, like what is the capital allocation priority? Like any inorganic like opportunities or dividend buybacks? Or what is the company's plan?
Mithun Chand: In the previous year, we have done all, dividend anyway we are giving it. We used to do all the buybacks in the last years. This year, because we were building up the inventory, we have seen some sort of liquidity. I mean the cash got stuck in these activi ties. So we have not taken any decision on it.
But in terms of the organic growth, we are open for it because as it is a very temporary situation what we are facing as of now, but maybe next three to six months the cash will be the free cash what we generate. So that we are open for inorganic growth even as of now. But in terms of the buybacks that have a meeting in the first quarter or the follow -up quarter, then we'll decide about the buyback thing. We' ll take a decision on the buyback.
Amit Agicha: And the last question, sir, how is the company tendering farmer loyalty and repeat usage like in a highly competitive seed market? Like are there any plans to digitize the farmer engagement demand forecasting or dealer analytics?
Mithun Chand: That's already we have done it. Most of that is digitalized now. We have a huge database of the early farmers, follow -ups are already there. We have digital marketing network. We have huge social media networks for that. We track everything from demand gen eration to the crop harvest.
Moderator: Our next question comes from the line of Sahil Malhotra, an individual investor.
Sahil Malhotra : My question is with respect to the demand received from income tax authorities. In two consecutive years, we have received a demand, in 1 year we received a demand for RS. 56 crores and second year we received a demand for RS. 70 crores. So I would like to get an update on how the management is pursuing these cases and whether in future we are getting this exemption from the tax authorities for the agriculture income or not, whether any provisions have been made in this regard or not?
Mithun Chand: The commission of appeals. Once we get the outcome of the appeal, we'll update the status.
Sahil Malhotra : Sir, whether any provisions we have made for this demand, RS. 56 crores and RS. 70 crores?
Mithun Chand: Provision is that we have made the appeals payment for that. Other one is like we are showing it in contingent liability.

Sahil Malhotra : As such, no provisions have been made till now.

Mithun Chand: No. Because we have cash , we have not made any provisions for that.
Sahil Malhotra : Okay. And when we are likely to get the update because like one case was in 2024 and this case was around nine months back. So when we are likely to get an update on these two cases?
Mithun Chand: Basically, there are three cases pending at the appeal stage. It's been almost like two and a half, three years there. Most probably it should come back in the next six months or so because the hearings are going on. The proceedings are going on. That should come about.
Moderator: Our next question comes from the line of Anurag Jain, an individual investor.
Anurag Jain: Sir, one question is a follow -up on the previous one regarding the cash. There is a dip in cash. So how has the receivables moved during the last one year? And because maize seeds is the one which has grown significantly compared to other seed varieties. So is there some significant sales to government agencies, government corporations for maize seeds? Is that leading to a buildup in receivables?
Mithun Chand: Not much. If you see actual receivables as of now at the end of 31st December, last year it was close to RS. 175-odd crores. This year is close to RS. 250-odd crores. Just RS. 75 crores have gone up because the sale is also higher in these quarters. So we are just waiting for that. But we don't see any government portion in it, where is an insignificant portion of government in it. We are not worried about that. As a company pol icy, we provide anything more than two years as bad debt s. We don't carry it.
Anurag Jain: Okay. And for exports, how do the receivables work ? Are the receivables outstanding for longer?
Mithun Chand: No, usually we work on LCs. We don't give any credit there. Very few cases.
Anurag Jain: Okay. So the receivables would be pertaining to our domestic sales only, not for the exports?
Mithun Chand: Majority of that will be on domestic s, and we don't see any difficulty in getting it. At the year -end, it will get normal. Usually, what, at the year -end, the outstanding are in between RS. 80 crores to RS. 90 crores or something like that, it should come back to those levels.
Anurag Jain: And sir, like two years ago, there was some outstanding receivable s with government corporation, which was unpaid. So the company had made a provision for it, but the company was still pursuing it with the government corporation for payment. So what was the outcome of that?
Mithun Chand: Still we have pending payments there. We received some RS. 3 crores or RS. 4 crores. We are trying to get it. We are doing that. But it is all provided in the provisions.
Anurag Jain: Yes, sir. That part I understand, that it was provided. And sir, another question is, there has been a sharp dip in maize prices. So for the farmers' output, not for the seed, but for the maize prices. So in light of that, do you expect there would be some correction in the volumes for maize next year because of the sharp dip in prices? Or do you expect the maize volumes to remain stable next year?

Mithun Chand: We think maize volumes should remain good and healthy and because the acreages are going up and the usage is also going up. I do agree that the maize prices are down. In fact, it went down to as low as RS. 1,200 crores to RS. 1,250 crores, RS. 1,300 crores. But right now it's close RS. 1,800 to RS. 1,900. Anything about RS. 2,000, RS. 2,000, near to RS. 2,000 is a good price for maize.
Anurag Jain: Okay. And what would be the price at which the farmer would break even, like at what price the farmer would break even?
Mithun Chand: No, farmer will definitely breakeven. But in terms of what returns he makes it, if anything close to RS. 2,000 is a good return for him.
Moderator: Our next question comes from the line of Dhruv Saraf from Bowhead India Fund as a follow -up.
Dhruv Saraf: Mithun sir, the last two years have been good for maize acreages . And a lot of companies had spoken in the past about there being a shortage of inventory. Do you see that going next season now that eve ryone knows that maize is the hot crop and acreages going up ? Is there a chance that the market could see increased supply and hence there could be pricing pressure for the industry and for yourself as well for next season and beyond?
Mithun Chand: If you see, that's what happened this quarter itself because last year, by seeing the demand for

the maize, everyone has produced more inventory, including us. All the industry players have produced more inventory. That's the reason the prices are also up in terms of the production cost. And there was a huge availability of inventory in the second half now. That's one of the reasons why we couldn't pass it on to the farmer, and that also made some dent in our revenues. But it will normalize now. It will normalize now because everyone has t he inventory and everyone knows that.

Dhruv Saraf: Okay. So do you not see the risk of extra inventory flooding for Kharif '26 as well?

Mithun Chand: I don't see that because already it's there in the inventory. Everyone, as an industry, we all know that the inventory will be available. And everyone is wiping on that parameters.

Dhruv Saraf: Not a lot of companies have taken aggressive production for next season, you are saying?

Mithun Chand: No. In fact, for this year itself, the current running year, '25 -'26 FY, most of the companies have taken aggressive production. And that has resulted in extra cost of production for all the companies. When you see the Rabi for the second and third quarter results, what we are talking about, when we see the maize market, most of the companies have got huge inventory and it was heavily flooded in the market.

Already, the prices at what we used to sell, that has been stabilized. That's the reason we were not able to pass it on to the farmer, and that's one of the factors why the cost of production has gone up for us when compared to the normal years.

Dhruv Saraf: Understood, sir. And sir, the cotton season, I mean the cotton crop for the last year must have been harvested sir. So have you received any feedback in terms of your performance of new products? You've seen products like the new products we've launched. How has the market feedback been for that?

Mithun Chand: Our products have really done well, performed well, and we will see that good set of growth numbers coming in the next couple of years starting from '26, '27. I mean to say like June '26. We'll get to see good revenue increase in that.

Dhruv Saraf: And finally, on cotton itself, sir, do you see any increase in illegal seed this year? Or do you see the volumes going up again for illegal seed...

Mithun Chand: See, that it will be in the same level as what it was in last year and increasing now.

Moderator: Our next question comes from the line of Jasmine Sodhi from Wealth Advisors.

Jasmine Sodhi : Congratulations on great numbers, first of all. Since we were just on the subject of inventory, I would like to specifically ask about the cotton inventory. Although I feel this must be an industry -wide problem because everyone is seeing a decline in cotto n sales because of the illegal HT sales. So what is our position of cotton inventory? Do we see any risk?

Mithun Chand: No. As of now, we are having enough stock till the end of the season, I mean to say by next year's season will be in between 8 million to 9 million packets for us, which is in line with our anticipation. And as a cotton seed, most of the hybrids are new in our case, most of the hybrids that we have produced are new hybrids.

So they will have lives at least for the next three to five years. So definitely we'll be liquidating them. So we don't see any threat in that. In fact, we'll be taking new production for this year also, which starts in the month of May, June of '26.

Moderator: Ladies and gentlemen, as there are no further question

s, we'll conclude the call. Thank you so much for joining the call. For any other information, please be in touch with Mr. Rama Naidu from Intellect PR on 9920209623. I repeat 9920 209 623.

On behalf of Kaveri Seed s Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

30th May 2026

Bombay Stock Exchange Ltd., National Stock Exchange of India Ltd.
1st Floor New Trading Ring Exchange Plaza, 5th Floor,
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Dear Sir / Madam ,
Sub: Transcript – Kaveri Seed Q4 & FY 20 25-26 Results Conference Call on
Wedne sday, 27th May , 202 6 – Reg.,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , Please find attached herewith Transcript of Kaveri Seed Company Limited Q4 & FY 20 25-26 Results Conference Call made on Wedn esday, 27th May , 202 6.

The transcript and audio is uploaded on the Company's website as well on below link :

https://www.kaveriseeds.in/wp -content/uploads/2026/05/KaveriSeed -Earnings -May27 -2026.pdf

This is for your information and records.

Thanking you,

Yours faithfully,
For KAVERI SEED COMPANY LIMITED

SREELATHA VISHNUBHOTLA
COMPANY SECRETARY

Encl: a/a.

"Kaveri Seed Company Limited
Q4 & FY26 Earnings Conference Call "
May 2 7, 202 6

MANAGEMENT : MR. MITHUN CHAND –EXECUTIVE DIRECTOR –
KAVERI SEED COMPANY LIMITED
MR. RAMA NAIDU – INVESTOR RELATIONS --
INTELLECT IR – KAVERI SEED COMPANY LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Kaveri Seed Company's Q4 and FY 26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of today's presentation. Please note that the conference call will be recorded.
Joining us today on this call is Mr. Mithun Chand, Executive Director. Before we begin, I would like to mention that some of the statements made in today's call may be forward -looking in nature and may involve risks and uncertainties. For a list of such co nsiderations, please refer to

the earnings presentation.
I would now like to hand over the call to Mr. Mithun Chand. Over to you, sir.
Mithun Chand : Thank you. Good evening, and welcome, everyone, to our Q4FY 26 earnings conference call. We hope you had a chance to review the presentation of our results, which is also available on our website. I will touch upon the operational and financial performance of the company and then open the floor for Q&A session. Fin ancial highlights.
Revenue from operations was at INR 82.21 crores as compared to INR 76.95 crores in Q4FY 25, grown by 6.84%. Net loss was at INR25.65 crores as compared to INR29.25 crores in Q4FY 25. Revenue from operations was at INR1,303.77 crores in FY26, as compared to INR1,121.57 crores in FY25 , grown by 16.25%. EBITDA was at INR349.75 crores as compared to INR274.29 crores in FY25, grown by 8.34%. Net profit was at INR283.26 crores as compared to INR265.21 crores in FY25, grown by 6.81%.
Major highlights.
FY26 was a strong year for the company with revenue from operations growing by 16.25% to INR1,303.77 crores while PAT increased by 6.8% to INR283.26 crores on account of delivering good growth rates across all non -cotton segments like rice, maize and vegetables.

Contribution for new cotton hybrids improved significantly, increasing from 10.3% to 30.05%, demonstrating strong acceptance of newly launched hybrids and strengthening of our future cotton portfolio expecting growth in cotton sales across North, Central a nd South India driven by new hybrid products.
Maize remained the key growth revenue during FY26, with volume growth of 18.84% and revenue growth of 40.17%, supported by improved acreage s and stronger market demand. Hybrid rice revenues increased by 18.3% despite restrictions in Punjab, while selection rice increased by 2.58% and revenues grew by 9.76%.
Hybrid rice growth is expected from key markets, including Punjab, Uttar Pradesh, Bihar, Chhattisgarh and Jharkhand. Export business delivered exceptional performance with approximately 90% growth during FY26, while Q4FY26 export s have registered a growth of nearly 76%, reflecting increasing acceptance in major international markets. Export business performance is expected to remain strong. Expecting growth in rainy millet across Rajasthan and Uttar Pradesh. The contribution of new products of volumes of cotton was up from 10.3% to 30.05%.
Hybrid rice revenues increased by 18.3%, selection rice volumes increased by 2.38% and revenue by 9.76%. Maize volumes increased by l8.84% and revenues increased by 40.17%. I would now open the floor for the Q&A session.
Moderator: Your question comes from the line of Siddhant Dand with Goodwill.
Siddhant Dand: My first question is regarding the inventory levels. Last year, our inventory had a pretty abnormal jump of 38%, but sales grew by only 16%. This year also, we've had a 17% inventory growth over the last year level s. So is inventory expected to normalize to a certain level? Or will we keep this extra buffer that we've started to create?

Mithu

n Chand : Inventory was up by 17%. This year, we have produced more because last year, there was a lot of competition in terms of production areas. So we have produced more intentionally to keep some buffer stocks. That's the reason we are increasing a bit of higher inventory level s, but it's not an issue for the company. Just strategically, we have produced much to some extent. And this time, to some extent, even 5% to 7% yields were also higher. So that is also an impact what we see in inventory levels.

Siddhant Dand: Okay, higher yield, that's good to know. Just as usual, any update on BG-III trails?
Mithun Chand : As of now nothing, but just moving in a very slow pace, but nothing concrete as such. Once we get any update, we will definitely let you know, but still moving in a very slow pace.
Siddhant Dand: Okay. El Nino effect or something that we see on our sales anytime or it's not really a thing?
Mithun Chand : It's too early to say because there's a lot of mixed opinion about the monsoon altogether. But in the last week or 3 or 4 days, we are seeing pre-monsoon showers across most of the parts. So that may not be a right thing to judge. But as a seed business, w e require initial 2 or 3 showers before the seeds.
So we may not have much impact, but the delay in the monsoon may impact the cropping patterns. But as we are there in most of the crops, and we are a product mix company, so we might mitigate that risk. As of now, we don't see much of that impact.
Siddhant Dand: Are you expecting cotton to continue degrowing?
Mithun Chand : Cotton should grow this year. This year, the sentiment is also good across India. The cotton acreages are in the initial trend, which the cotton acreages is also growing. And there will be El Nino effect, even the sentiment for cotton is also good because it's a hardy crop, the sentiment is good, and we see there will be an increase in the acreage. Definitely,

we'll have an advantage with that. We'll be definitely growing in cotton as a whole.
Siddhant Dand: Within that, we expect new products to become a larger contributor like it went from 10% to 30%. So can it become a 50% plus of our business or any high amount...
Mithun Chand : Yes, most of the growth what we anticipate this year should come from the new products, so that we have already seen the initial trend last year.
So that will grow and that will continue to grow.
Siddhant Dand: Will it have a similar margin or lower or something because of price cap?
Mithun Chand : This year, we may not be able to increase the prices, like how we have increased last year, but other than that, the production cost is also slightly lower than last year. So in that way, we will be able to maintain the margins slightly maybe in a better way than last year because the other costs will come down.
Siddhant Dand: Okay. Overall production costs are down from last year or...
Mithun Chand : Because the yields are higher, the production costs are slightly down.
Moderator: Your next question comes from the line of Dhruv Saraf from Bowhead India Fund.
Dhruv Saraf: Sir, just wanted to understand on the balance sheet, sir. On the other current liabilities, we've seen a reduction from INR600 crores of last year compared to INR470 crores this year. So sir, what does this pertain to? Is it due to lower customer advances that you've received?
Mithun Chand : Yes. If you see the advances from last year to this year, we have received INR75 crores to INR80 crores of lower advances. That's the main impact of that.
Dhruv Saraf: Okay. And what would be the reason behind this, sir?

Mithun Chand : And even the trade payables are also lower compared to that.
Dhruv Saraf: What would be the reason behind this lower advances, sir? Is it because of expect

ation of a poor season, for example?
Mithun Chand : Not really, but the sentiment of the farmers or the cash flow is a bit tight across the channels. And even we have not insisted more on advances because the margins are getting shrunk.
Dhruv Saraf: Okay. Sir, margins would be at the farmers' end is what you're trying to say?

Mithun Chand : No, no, margins at the company level. If we take an advance, we need to give more incentives to them. So we have not encouraged taking more advance and not floated attractive schemes.
Dhruv Saraf: Okay, sir. Sir, in terms of the key crops for us, cotton, maize and rice, how do you see the channel inventory in the system for all 3 of them? And if you can touch upon the illegal penetration, especially in cotton for this year?
Mithun Chand : So as of now, nothing is there in the channel, but if you see in the company levels because as the seed, nothing will be left in the channels. But most of the inventory will lie with the company or in the season with the channel. So the season is yet to be gin, the placements are slightly happening now in some areas. So the inventory levels are pretty high in the system, especially with the companies. So that's a challenge. But as the inventories are high, that the reason I said that we may not be able to increase the prices like what we did last year. But the branded products will move now.
Dhruv Saraf: Okay. Sir, would it be the same as you said, for all 3 crops? Or do you see any difference in, let's say, cotton versus others?
Mithun Chand : The inventory is higher in all 3 crops. In all 3 crops, the inventory is higher. I said that most of the yields are also good, so most of the

channels have the inventory. Coming back to your second question regarding the illegal BT, except in Gujarat, we don't see any rise in illegal BT. In Gujarat, it's still continuing as of now.
Dhruv Saraf: It's still continuing as of now. Okay, sir. All right. And sir, your expectation in terms of how FY '27 could pan out in terms of volume growth or revenue growth and margins?
Mithun Chand : Last time we have increased prices, that's the reason we have seen a lot of revenue growth. This time, the majority of the contribution will be from the volume growth. We see the 15 -plus percent of growth at the top line, and we might grow much higher than what we have projected like 15 -plus at a company level. But in cotton, it should be more than 20-odd percent.
Dhruv Saraf: So volume growth in the good case can be 20 -odd percent is what you're saying?
Mithun Chand : Yes. Overall, the revenue should be in between the 15% to 20% growth. And cotton should beat the overall company in terms of the growth. Like I said earlier, we may not increase the prices, so the revenue growth will be in line with the volume growth.
Moderator: Your next question comes from Amit Doshi with Care PMS .
Amit Doshi: Regarding inventories, what kind of inventory mix is there, you said mix of all the 3 crops would be there. But for the cotton, especially since now the hybrid is contributing more, would we have more inventory of the old cotton seed, which ultimately would call for a write -off considering 2 to 3 years of shelf lif e?
Mithun Chand : So if you see the inventory compared to last year, the inventories are only up by 15% to 18%. So as we are anticipating more than 15% growth in this year, so we are in line with the inventory levels. But in terms of the write -offs, most of the inventory is in new production. So we may not worry about the write -offs, especially in cotton, the seed wil l last for

3 years. So the inventory what we have is hardly maybe maximum of 1.3 to 1.5 years, not more than that. So if anything is left out, we will use next year.
Amit Doshi: Okay. So you mentioned tha

t this illegal cotton seed is still continuing in the state of Gujarat. So despite that, our confidence is extremely high on the cotton sales. Is it just because of the price parity that we would have vis -a-vis illegal cotton or anything else apart from that?
Mithun Chand : So we are not competing with illegal cotton at all. We are competing

with the normal legal BT cotton across. As if you can see, our new hybrids have contributed more even in last year. So those hybrids have performed well last year. So we are anticipating a growth in those hybrids. So that will contribute the majority of revenue in cotton.
Amit Doshi: Okay. So now do you believe the overall reduction in the last 4 years have come down of cotton from 45 to 120. Now of course, last year was an aberration. So what would be next year likelihood, 30% odd something would be for cotton?
Mithun Chand : So definitely, if you compare to last year, the contribution of cotton is definitely higher this year as compared to last year because we see a very good growth in cotton this year. That doesn't mean that we'll not grow in other crops. We'll also grow in o ther crops, but cotton we'll be growing much better than other crops.
Amit Doshi: Okay. Sir, we saw some announcement regarding the tax ruling, which is in favor of the company at the appellate level. Would you want to throw some sort of management highlights in terms of what is the likelihood of past as well as future such tax liabilit ies or the obligation vis-a-vis the call of income tax?
Mithun Chand : Whenever we have any litigation or any dispute with the tax authorities, we have already intimated to the exchanges and to the investors. Because as we claim it as an agriculture income, it's not our company, it's across the industry where most of the companies claim it as an

agriculture income. We are not the first or the only company who claim it. So there's a dispute. And across, if you see, not only to Kaveri, but across industry you see, all the seed companies have won against the tax department.
So it's just a recognition of the income, and we have won at the commissioner appeals level. And in most of the cases, most of the companies have got many orders at ITAT and High Court. So even though there might be a litigation, we are not worried about it. That's what you were saying in the last years also. We had a litigation. We are pretty confident that the nature of the income is agriculture income, and that is all clear in most of the courts. So it's a matter of time. As of now, we don't have any other litigations as of now. If some litigation definitely comes in, definitely we'll know. As of now, we don't have any litigation.
Amit Doshi: Okay. Sir, anything update on the Seeds Bill that was earlier last year proposed? Anything on that?
Mithun Chand : That should come this year most probably any time. It's moving very actively. That should be out very soon.
Amit Doshi: Okay. And sir, since last 2 years, obviously, dividend has been maintained, but last year we had done buyback as well. So this year, there is no announcement of additional dividend. Any thought process as how we should...
Mithun Chand : So usually, we give only one -time dividend, that is usually in the second or third quarter we see. We were regularly dividend paying. We have not changed our policy regarding the dividend, even though we don't have a policy, we're giving at the same time. But in terms of the buyback, last year, we have not done because we were pretty much sure that we are producing more, we need to maintain for the inventory. That's where money is stuck, and that's what you are seeing now. Once we realize this money by the next 3 to 5 months, then we'll come back with that.

Amit Doshi: Okay. And just last questio

n, sir, since now last year, of course, the cost of production, et cetera, were higher. Now you're saying that the cost of production is likely to be lower. On the other side, price rise is not going to happen. So like you said t hat 15% to 20% growth should be there on the revenue level. On the margin front, over 24%, do you believe that

we can cross 24% by a reduction in cost of production?
Mithun Chand : As most of the other expenses are same or will be lower than last year and slightly lower production cost compared to last year, that's where we see that the margin should go up this year compared to last year.
Moderator: The next question comes from the line of Anurag Jain, an Individual Investor .
Anurag Jain: My question is on the capital investment, capital expenditure. There is a capital work in progress of INR99 crores at the stand -alone level and INR129 crores at the consolidated level. What is the capex being undertaken by the company and its subsidiaries? What kind of facilities are being built?
Mithun Chand : Most of the facilities are office building or plant and machinery. Land, office building and plant and machinery, these are the one that most of the capex is there, out of which only INR30-odd crores is with one building, which is going on and some with acquisition of land and some with seed processing unit and the machinery.
Anurag Jain: And sir, the land purchase is basically for R&D land or for building some...
Mithun Chand : For R&D.
Moderator: The next follow -up question comes from the line of Dhruv Saraf with Bowhead India Fund.
Dhruv Saraf: Mithun sir, if I just look at the gross margins over the last 2, 3 years, we have fallen from those peaks of 49.5% to 47% today. So in FY '28, sir,

do you expect any gross margin expansion? Or will the margin expansion purely be led because of operating leverage?
Mithun Chand : Even we see something at gross margin level because in the last 2, 3 years, rightly said, rightly observed, the cost of production has gone up and the same ratio, we were not able to pass it on to the farmer. Now the cost of production is slightly lower an d the prices remain at the last year levels at least, if not higher. So we might increase the gross margin this year. So the addition in the bottom line should be across all, gross and the operational levels.
Dhruv Saraf: Sir, I just wanted to specifically touch on maize. You had alluded to the fact in one of the earlier calls that maize channel inventory in the system is very high compared to previous years. And given, sir, this is an El Nino year, maize has competing crop s like soybean and pulses, which are expected to do well. Do you see very high pricing pressure in maize for the coming kharif season?
Mithun Chand : So as of now, the sentiment is not that great for maize. Last year, the yields are very much higher. I'm talking just about the kharif part. Because the yields are good, the sentiment is good. One is because of El Nino, there's a mixed opinion about El Nin o.
And the other thing is that there's some sort of a shortfall in terms of the fertilizers in the market. That also is impacting to some extent, but it's too early to talk about that. So that's the reason we just see a sideways in the kharif part.
But second, rabi, we see a very positive thing for maize. And as a company as such, even in kharif, we'll be growing because we are targeting some other pockets where we are not strong. We have very good ability in those segments. We will be growing even in this particular tough conditions.
Dhruv Saraf: Okay. Sir, you had a lot of success with your new products in maize over the last 2, 3 years. Is there any major new product launches that you're

doing this year? Or have you done last year, which could

start
contributing to revenues?
Mithun Chand : That's a continuous activity what we do. But in the last 2, 3 years, what we have done, those will be a major contributor for this year and for the

next year.

Moderator: The next follow -up question comes from Anurag Jain, an Individual Investor .

Anurag Jain: Sir, till now, Kaveri Seed was using the Kaveri brand in the market. Now you have started using one of the subsidiaries, the Aditya brand also. So when you are looking at the market, how are you dividing the market segment between the Kaveri brand and Aditya brand? Are they targeting different segments or they are competing with each other also?

Mithun Chand : So in terms of the company level, it's a 100% subsidiary of Kaveri. But the products what we sell in Kaveri and Aditya are altogether different. We have another subsidiary by name Genomix also. All three companies sell different products because as we have good R&D and we are having many new hybrids, which are like B2 B in different segments. As a company, we may not be focusing on most of the hybrids. So those hybrids, we give it to them for marketing, we give it to Aditya and Genomix. In most of the cases, they compete also among themselves. But as a team, as hybrids, they all operate independently. There's nothing related to each other. And the main product is in Kaveri and something lik e B2B, we'll go to those products.

Moderator: Thank you. As there are no further questions, this concludes our question -and-answer session. Thank you for joining the call. For any other information, please be in touch with Rama Naidu from Intellect PR on 992 -020-9623. On behalf of Kaveri Seed Company Limited, that concludes this conference. Thank you, everyone, for joining us. You may now disconnect your lines.

Mithun Chand : Thank you.